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START WITH WHY

SIMON SINEK is an optimist who believes in a brighter future for humanity. His talk “How Great Leaders Inspire Action” became the second-most-watched talk of all time on TED.com. Learn more about his work and how you can inspire those around you at simonsinek.com.

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TO TAKE ACTION

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For Liv and Jake.
May you grow up in a world that starts with Why.

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There are leaders and there are those who lead.
Leaders hold a position of power or influence.
Those who lead inspire us.

Whether individuals or organizations, we follow those who lead not
because we have to, but because we want to.
We follow those who lead not for them, but for ourselves.

This is a book for those who want to inspire others and for those who
want to find someone to inspire them.

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FOREWORD

THE SEED OF A MOVEMENT

We live in a world in desperate need of inspiration. For multiple reasons, including the rise of the internet and our ability to measure every click, swipe, like or purchase, we have become metric, ROI and short-term obsessed. And it comes at a cost—the cost of trust, joy and the feeling that our work can offer us the chance to be a part of something bigger than ourselves. The good news is, we can reverse this trend if we can learn to start with WHY.

The concept of WHY came to me at a time in my life when I needed it most. I had fallen out of love with my work and found myself in a very dark place. There was nothing wrong with the quality of my work or my job, per se; it was the enjoyment I had for that work that I'd lost. By all superficial measurements, I should have been happy. I made a good living. I worked with great clients. The problem was, I didn't feel connected to the work anymore. I was no longer fulfilled by it, and I needed to find a way to rekindle my passion.

Perhaps it was good luck that I studied cultural anthropology at college and was mildly obsessed with human behavior, especially in urban, Western culture. Combined with the pressure I felt having lost any passion for my work, I was able to articulate the concept of WHY and The Golden Circle as a way to solve my own problem. And the result was profound.

In addition to restoring my passion to a level I had never felt before, the discovery of WHY also completely changed my view of the world. It was such a simple, powerful and actionable idea that I immediately shared it with my friends. That's what we do when we find something magical, we share it. If we read a great book or see a great movie, we tell our friends and family to read or watch it too. We want to share our experiences with people we care about. And the people with whom I shared my idea did exactly the same thing.

My friends invited me to share the concept of the WHY with their friends and the people they cared about. I would stand in someone's living room and tell people about the WHY. I even helped a few of them find their WHY for a hundred bucks on the side. Those living room talks, and my obsession with talking about the idea to whoever would listen, led to more invitations to speak. And the result was nothing short of inspiring. Those who embraced this new idea of WHY found renewed love for their jobs and supercharged their businesses and their careers. Some even started their own businesses as a result of having this newfound focus.

As you will read about in this book, learning to both start with WHY and apply the Law of Diffusion of Innovations is how ideas spread and social movements are built. What I did next was an experiment—I applied both these ideas to prove that you didn't need big marketing budgets or huge funding to spread an idea or build a business. And it worked...better than expected. My message spread, and not by any of the traditional channels—it spread by word of mouth...in a time before mass social media. People who believed what I believed shared the idea with people they liked and cared about. And stranger and stranger things started to happen. It wasn't a book agent but someone else who introduced me to a publisher at Penguin Random House—a publisher who then offered me the opportunity to write this very book. There was no application process; it was someone else who introduced me to the organizers of TEDxPugetSound, where I got to give a TEDx Talk that would go on to become the second-most-watched talk on TED.com. And it is because I learned how to start with WHY that I am now

writing a new foreword for the fifteenth-anniversary edition of *Start with Why*.

In many ways, the world we live in now is quite different from the one when I first wrote *Start with Why*. The global business environment has changed dramatically. Happily, the concept of seeking purpose in our careers, with our teams and at our companies is now a familiar one. Purpose-driven start-ups and B corps are no longer revolutionary; they have become business as usual. Purpose-at-work is now firmly on the map.

As the world continues to change at an increasingly rapid rate, it is more important than ever for companies and individuals to focus on their WHY and use it to guide their decision-making in a complex and distracting world. As we face some of the greatest challenges we have ever faced, we are also in desperate need for better leaders. Leaders who inspire us. Over the past few decades there has been a steady loss of idealism in the world. Unlike John F. Kennedy or Ronald Reagan, our leaders no longer speak of “world peace” or “peace on earth” as a driving motivation (in fact, even reading those words now sounds a little corny or cheesy). But it is idealism, the ability to start with WHY, that moves us to invent, explore and advance the world forward...and feel tremendous inspiration and fulfillment along the journey.

I am so proud and humbled by the impact this work has had in the world and, more importantly, in people’s lives. We decided to publish this fifteenth-anniversary edition to mark the movement that we are a part of. You and me. While I’ve revised the book in simple ways, updated some of the examples and tweaked some of the stories to bring them up to date, the core message and lessons of the book remain the same.

If you are coming to *Start with Why* for the first time, welcome. I hope it will challenge you to view how the world works through a new lens. If you’re revisiting the book for a second or third time, welcome back...and thank you for being a part of this movement to inspire those around us.

The more organizations and people there are who learn to start with WHY, the more people there will be who wake up feeling inspired, feeling

safe wherever they are and feeling fulfilled by the work that they do. And that's about the best reason I can think of to continue sharing this idea.

Inspire on!

Simon Sinek

January 2025

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INTRODUCTION

WHY START WITH WHY?

This book is about a naturally occurring pattern, a way of thinking, acting and communicating that gives some leaders the ability to inspire those around them. Although these “natural-born leaders” may have come into the world with a predisposition to inspire, the ability is not reserved for them exclusively. We can all learn this pattern. With a little discipline, any leader or organization can inspire others, both inside and outside their organization, to help advance their ideas and their vision. We can all learn to lead.

The goal of this book is not simply to try to fix the things that aren’t working. Rather, I wrote this book as a guide to focus on and amplify the things that do work. I do not aim to upset the solutions offered by others. Most of the answers we get, when based on sound evidence, are perfectly valid. However, if we’re starting with the wrong questions, if we don’t understand the cause, then even the right answers will always steer us wrong...eventually. The truth, you see, is always revealed...eventually.

The stories that follow are of those individuals and organizations that embody this pattern. They are the ones that start with Why.

1.

The goal was ambitious. Public interest was high. Experts were eager to contribute. Money was readily available.

Armed with every ingredient for success, Samuel Pierpont Langley set out in the late 1800s to be the first man to pilot an airplane. Highly regarded, he was a senior officer at the Smithsonian Institution, a mathematics professor who had also worked at Harvard University. His friends included some of the most powerful men in government and business, including Andrew Carnegie and Alexander Graham Bell. Langley was given a \$50,000 grant from the War Department to fund his project, a tremendous amount of money for the time. He pulled together the best minds of the day, a veritable dream team of talent and know-how. Langley and his team used the finest materials, and the press followed him everywhere. People all over the country were riveted to the story, waiting to read that he had achieved his goal. With the team he had gathered, and ample resources, his success was all but guaranteed.

Or was it?

A few hundred miles away, Wilbur and Orville Wright were working on their own flying machine. Their passion to fly was so intense that it inspired the enthusiasm and commitment of a dedicated group in their hometown of Dayton, Ohio. There was no funding for their venture. No government grants. No high-level connections. Not a single person on the team had an advanced degree or even a college education, not even Wilbur or Orville. But the team banded together in a humble bicycle shop and made their vision real. On December 17, 1903, a small group witnessed a man take flight for the first time in history.

How did the Wright brothers succeed where a better-equipped, better-funded and better-educated team could not?

It wasn't luck. Both the Wright brothers and Langley were highly motivated. Both had a strong work ethic. Both had keen scientific minds. They were pursuing exactly the same goal, but only the Wright brothers were able to inspire those around them and truly lead their team to develop

a technology that would change the world. Only the Wright brothers started with Why.

2.

In 1965, students on the campus of the University of California, Berkeley, were the first to publicly burn their draft cards to protest America's involvement in the Vietnam War. Northern California was a hotbed of antigovernment and antiestablishment sentiment; footage of clashes and riots in Berkeley and Oakland was beamed around the globe, fueling sympathetic movements across the United States and Europe. But it wasn't until 1976, nearly three years after the end of America's military involvement in the Vietnam conflict, that a different revolution ignited.

They aimed to make an impact, a very big impact, even challenge the way people perceived how the world worked. But these young revolutionaries did not throw stones or take up arms against an authoritarian regime. Instead, they decided to beat the system at its own game. For Steve Wozniak and Steve Jobs, the cofounders of Apple Computer, the battlefield was business and the weapon of choice was the personal computer.

The personal computer revolution was only beginning to brew when Wozniak built the Apple I. Just starting to gain attention, computer technology was primarily seen as a tool for business. Computers were too complicated and out of the price range of the average individual. But Wozniak, a man not motivated by money, envisioned a nobler purpose for the technology. If he could figure out a way to get a computer into the hands of the individual, he thought, the computer would give nearly everyone the ability to perform many of the same functions as a well-resourced company. The personal computer could level the playing field and change the way the world operated; one day, he imagined, a single person or small business would be able to compete with a corporation. Woz designed the Apple I, and improved the technology with the Apple II, to be affordable and simple to use.

No matter how visionary or how brilliant, a great idea or a great product isn't worth much if no one buys it. Wozniak's best friend at the time, the twenty-one-year-old Steve Jobs, knew exactly what to do. Though he had experience selling surplus electronics parts, Jobs would prove to be much more than a good salesman. He wanted to do something significant with his life, to "put a dent in the world," as he put it. Building a company was how he was going to do it. Apple was the tool he used to ignite a revolution.

In their first year in business, with only one product, Apple made a million dollars in revenue. By year two, they did \$10 million in sales. In their fourth year, they sold \$100 million worth of computers. And in just six years, Apple Computer was a billion-dollar company with over 3,000 employees. Apple was a unicorn in a time before there were unicorns.

Jobs and Woz were not the only people taking part in the personal computer revolution. They weren't the only smart guys in the business; in fact, they didn't know much about business at all. What made Apple special was not their ability to build such a fast-growth company. It wasn't their ability to think differently about personal computers. What made Apple special is that they were able to repeat the pattern over and over and over. Unlike any of their competitors, Apple has successfully challenged conventional thinking within the computer industry, the small electronics industry, the music industry, the mobile phone industry and the broader entertainment industry. And the reason is simple. Apple inspired. Apple started with Why.

3.

He was not perfect. He had his complexities. He was not the only one who suffered in a pre-civil rights America, and there were plenty of other charismatic speakers. But Dr. Martin Luther King Jr. had a gift. He knew how to inspire people.

Dr. King knew that if the civil rights movement was to succeed, if there was to be a real, lasting change, it would take more than him and his closest allies. It would take more than rousing words and eloquent speeches. It

would take people, tens of thousands of average citizens, united by a single vision, to change the country. At 10:00 a.m. on August 28, 1963, they would send a message to Washington that it was time for America to steer a new course.

The organizers of the March on Washington did not have the benefit of social media or mass email, nor was there any website to check the date. But on the right day and at the right time, the people came. And they kept coming and coming. All told, a quarter of a million people descended on the nation's capital in time to hear the words immortalized by history, delivered by the man who was leading a movement to change America: "I have a dream."

The ability to reach so many people of different races and backgrounds from across the country and join them together took something special. Though others knew what had to change in America to bring about civil rights for all, it was Dr. King who inspired a country to change not just for the good of a minority but for the good of everyone. Martin Luther King Jr. started with Why.

. . .

There are leaders and there are those who lead. The Wright brothers were not the strongest contenders in the race to take the first manned, powered flight but they led us into a new era of aviation and, in doing so, completely changed the world we live in. With only a very small market share in the United States, and an even smaller percentage worldwide, Apple has never been a leading manufacturer of home computers. Yet the company led the computer industry and other industries as well. Martin Luther King Jr.'s experiences were not uncommon, yet he inspired a nation to change.

Their goals were not unique, and their systems and processes were easily replicated. Yet the Wright brothers, Apple and Martin Luther King Jr. stand out among their peers. They stand apart from the norm and their impact is not easily copied. They are members of a very select group of leaders who do something very, very special. They inspire us.

Just about every person or organization needs to motivate others to act for some reason or another. Some want to motivate a purchase decision. Others are looking for support or a vote. Still others are keen to motivate the people around them to work harder or smarter or just follow the rules. The ability to motivate people is not, in itself, difficult. It is usually tied to some external factor. Tempting incentives or the threat of punishment will often elicit the behavior we desire. General Motors, for example, so successfully motivated people to buy their products that they sold more cars than any other automaker in the world for over seventy-seven years. And yet, though they were leaders in their industry, they did not lead their industry.

Great leaders, in contrast, are able to inspire people to act. Those who are able to inspire give people a sense of purpose or belonging that has little to do with any external incentive or benefit to be gained. Those who truly lead are able to create a following of people who act not because they are swayed but because they are inspired. They are able to create a following of people—supporters, voters, customers, workers—who act for the good of the whole not because they have to, but because they want to. Those who are inspired are often willing to pay a premium, put up with inconvenience and sometimes even endure personal suffering. For those who are inspired, the motivation to act is deeply personal.

Though relatively few in number, the organizations and leaders with the ability to inspire us come in all shapes and sizes. They can be found in both the public and private sectors. They are in all sorts of industries—selling to consumers or to other businesses. Regardless of where they exist, they all have a disproportionate amount of influence. They have the most loyal customers and the most loyal employees. They tend to be more profitable and more innovative than others in their industry. And, most important, they are able to sustain all these things over the long term. Many of them change industries. Some of them change the world.

The Wright brothers, Apple and Dr. King are just three examples. Harley-Davidson, Disney and Southwest Airlines are three more. John F. Kennedy and Ronald Reagan were also able to inspire. No matter where

they hail from, they all have something in common. All the inspiring leaders and companies, regardless of size or industry, think, act and communicate exactly alike...and it's the complete opposite of everyone else.

What if we could all learn to think, act and communicate like those who inspire?

I imagine a world in which the ability to inspire is practiced not just by a chosen few but by the majority. Studies show that nearly 80 percent of Americans do not have their dream job. And those who do tend to be of an older generation. If more knew how to build organizations that inspire, we could live in a world where that statistic was the reverse—a world where over 80 percent of people loved their jobs. People who love their work are more productive and more creative. They go home happier and have happier families. They treat their colleagues and clients and customers better. Inspired employees make stronger companies and stronger economies. That is why I wrote this book. I hope to inspire others to do the things that inspire them so that together we may build companies, an economy and a world in which trust and loyalty are the norm and not the exception.

This book is not designed to tell you what to do or how to do it. Its goal is not to give you a course of action. Its goal is to offer you the *cause* of action.

For those who have an open mind for new ideas, who seek to create long-lasting success and who believe that success requires others, I offer you a challenge. From now on, start with Why.

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PART 1

A WORLD THAT DOESN'T START WITH WHY

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1

WE ASSUME WE KNOW

On a cold January day, a forty-three-year-old man was sworn in as the chief executive of his country. By his side stood his predecessor, a famous general who, fifteen years earlier, had commanded his nation's armed forces in a war that resulted in the defeat of Germany. The young leader was raised in the Roman Catholic faith. He spent the next five hours watching parades in his honor and stayed up celebrating until three o'clock in the morning.

You know who I'm describing?

John F. Kennedy, right?

That's what most people think. But in fact, it's January 30, 1933, and I'm describing Adolf Hitler.

The point is, we make assumptions. We make assumptions about the world around us based on sometimes incomplete or false information. In this case, the information I offered was incomplete. Many of you were convinced that I was describing John F. Kennedy until I added one minor little detail: the date.

This is important because our behavior is affected by our assumptions or our perceived truths. We make decisions based on what we *think* we know. It wasn't too long ago that the majority of people believed the world was

flat. This perceived truth impacted behavior. During this period, there was very little exploration. People feared that if they traveled too far they might fall off the edge of the earth. So, for the most part, they stayed put. It wasn't until a minor detail—the world is round—was revealed that behaviors changed on a massive scale. Upon this discovery, societies began to traverse the planet at a scale never before seen. This was the start of modern globalization. New trade routes were established. New ideas about astronomy, medicine and mathematics spread around the world, which unleashed all kinds of innovations and advancements. The correction of a simple false assumption completely changed the course of nearly every single society on the planet.

Now consider how organizations are formed and how decisions are made. Do we really know why some organizations succeed and why others don't, or do we just assume we know? No matter your definition of success—making a certain amount of money, meeting a revenue or profit goal, getting a big promotion, starting your own company, winning public office, feeding the poor, losing weight, finding nirvana—how we go about achieving our goals is very similar. Some of us just wing it, but most of us try to at least gather some data. Sometimes this gathering process is formal—like conducting polls or market research. And sometimes it's informal, like doing online research, asking friends and colleagues for advice or looking back on our own personal experience to provide some perspective. Regardless of the process or the goals, most of us want to make educated decisions. More importantly, we want to make the *right* decisions.

As we all know, however, regardless of the amount of data we collect, not all decisions work out to be the right ones. Sometimes the impact of those wrong decisions is minor and sometimes it can be catastrophic. Whatever the result, we make decisions based on a perception of the world that may not, in fact, be completely accurate. You were likely certain that I was describing John F. Kennedy at the beginning of this section. You might even have bet money on it—a behavior based on an assumption. Certain, that is, until I offered a new detail—the date—that immediately changed your understanding of the situation.

Not only bad decisions are made on false assumptions. Sometimes when things go right, we think we know why. But do we really? That a result goes the way we want it to does not mean we can repeat it over and over. I have a friend who invests some of his own money. Whenever he does well, it's because of his brains and ability to pick the right stocks, at least according to him. But when he loses money, he always blames the market. I have no issue with either line of logic, but either his successes and failures hinge upon his own prescience and blindness or they hinge upon good and bad luck. It can't be both.

So how can we ensure that all our decisions will yield the best results for reasons that are fully within our control? Logic dictates that more information and data are key. And that's exactly what we do. We read books, attend conferences, listen to podcasts and ask friends and colleagues—all with the purpose of finding out more so we can figure out what to do or how to act. The problem is, we've all been in situations in which we have lots of data and get lots of good advice but things still don't go quite right. Or maybe the impact lasts for only a short time, or something happens that we could not foresee. A quick note to all of you who correctly guessed Adolf Hitler at the beginning of the section: The details I gave are the same for both Hitler and John F. Kennedy, it could have been either. You have to be careful what you think you know. Assumptions, you see, even when based on sound research, can lead us astray.

Intuitively we understand this. We understand that even with mountains of data and good advice, if things don't go as expected, it's probably because we missed one small but vital detail. In these cases, we go back to all our sources, maybe seek out some new ones, and try to figure out what to do; then the whole process begins again. More data, however, doesn't always help, especially if a flawed assumption set the whole process in motion in the first place. There are other factors that must be considered, factors that exist outside of our rational, analytical, information-hungry brains.

There are also times in which we have no data, or we choose to ignore the advice or information at hand and just go with our gut, and things work

out just fine, sometimes even better than we expect. This dance between gut and rational decision-making pretty much covers how we conduct business and even live our lives. We can continue to slice and dice all the options in every direction, but at the end of all the good advice and all the compelling evidence, we're left where we started: how to choose a course of action that yields a desired effect that is repeatable. How can we have twenty-twenty foresight? How can we ensure that all our decisions will yield the best results for reasons that are fully within our control?

There is a wonderful story of a group of American car executives who went to Japan to see a Japanese assembly line. At the end of the line, the car doors were put on the hinges, the same as in America. But something was missing. In the United States, a line worker would take a rubber mallet and tap the edges of the door to ensure that it fit perfectly. In Japan, that job didn't seem to exist. Confused, the American auto executives asked at what point they made sure the door fit perfectly. Their Japanese guide looked at them and smiled sheepishly. "We make sure it fits when we design it." In the Japanese auto plant, they didn't examine the problem and accumulate data to figure out the best solution—they engineered the outcome they wanted from the beginning. If they didn't achieve their desired outcome, they understood it was because of a decision they made at the start of the process.

At the end of the day, the doors on the American-made and Japanese-made cars appeared to fit when each rolled off the assembly line. Except the Japanese didn't need to employ someone to hammer doors, nor did they need to buy any mallets. More importantly, the Japanese doors are likely to last longer and maybe even be more structurally sound in an accident. All this for no other reason than they ensured the pieces fit from the start.

What the American automakers did with their rubber mallets is a metaphor for how so many people and organizations lead. When faced with a result that doesn't go according to plan, a series of perfectly effective short-term tactics are used until the desired outcome is hammered into place. But how structurally sound are those solutions? So many organizations function in a world of tangible goals and the mallets to

achieve them. In contrast, the ones that achieve more, the ones that get the best thinking from their people, the ones with an outsized amount of influence, build companies, design products and recruit people that all reflect the original intention. Even though the outcome may look the same, great leaders understand the value in the things we cannot see.

Every instruction we give, every course of action we set, every result we desire, starts with the same thing: a decision. Some of us will decide to manipulate the door to fit in order to achieve the desired result. Others will start from somewhere very different. Though both courses of action may yield similar short-term results, only one leads to predictable long-term success. The one that understands why the doors need to fit by design and not by default.

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2

CARROTS AND STICKS

Manipulation vs. Inspiration

There's barely a product or service on the market today that customers can't buy from someone else for about the same price, with about the same quality, the same level of service and about the same features. If you truly have a first-mover's advantage, it's probably lost in a matter of months. If you offer something actually novel, someone else will soon come up with something similar and maybe even better.

But if you ask most businesses why their customers are their customers, most will tell you it's because of superior quality, features, price or service. In other words, most companies have no clue why their customers are their customers. This is a fascinating realization. If companies don't know why their customers are their customers, odds are good that they don't know why their employees are their employees either.

If most companies don't really know why their customers are their customers or why their employees are their employees, then how do they know how to attract more customers and employees or encourage loyalty among those they already have? The reality is, most businesses today are

making decisions based on a set of incomplete or, worse, completely flawed assumptions about what's driving their business.

There are only two ways to influence human behavior: you can manipulate it or you can inspire it. As a concept, manipulation is not necessarily a bad thing; it's a very common and fairly benign tactic. In fact, many of us have been doing it since we were young. "I'll be your best friend" is the highly effective negotiating tactic employed by generations of children to obtain something they want from a peer. And as any child who has ever handed over candy hoping for a new best friend will tell you, it works.

From business to politics, manipulations run rampant in all forms of sales and marketing. Typical manipulations include: dropping the price, running a promotion, using fear or aspirational messages, applying social pressure and offering a promise of innovation to influence our behavior—be it a purchase, a vote or support. When companies or organizations do not have a clear sense of why their customers are their customers, or their employees are their employees, they tend to rely on a disproportionate number of manipulations to get what they need. And for good reason. Manipulations work. However, problems arise when they become the primary means of influence.

Price

Many companies are reluctant to play the price game, but they do so because they know it is effective. So effective, in fact, that the temptation can sometimes be overwhelming. There are few professional services firms that, when faced with an opportunity to land a big piece of business, haven't just dropped their price to make the deal happen. No matter how they rationalized it to themselves or their clients, price is a highly effective manipulation. Drop your prices low enough and people will buy from you. We see it at the end of a retail season when products are "priced to move." Drop the price low enough and the shelves will very quickly clear to make room for the next season's products.

Playing the price game, however, can come at tremendous cost and can create a significant dilemma for the company. For the seller, selling based on price is like heroin. The short-term gain is fantastic, but the more you do it, the harder it becomes to kick the habit. Once buyers get used to paying a lower-than-average price for a product or service, it is very hard to get them to pay more. And the sellers, facing overwhelming pressure to push prices lower and lower in order to compete, find their margins cut slimmer and slimmer. Desperate to increase their margins, there is a need to sell more to compensate. And the quickest way to do that is price again (which includes excessive cost cutting). And so the downward spiral of price addiction and cost cutting sets in. In the drug world, these addicts are called junkies. In the business world, we call them commodities. Insurance. Home computers. Mobile phone service. Internet. Any number of packaged goods. The list of things that became commodities as a result of companies playing the price game goes on and on. In nearly every circumstance, the companies that treated their products like commodities brought it upon themselves. I cannot debate that dropping the price is not a perfectly legitimate way of driving business; the challenge is staying profitable.

For years Walmart seemed to be an exception to the rule. They built a phenomenally successful business playing the price game. But it also came at a high cost. Scale helped Walmart avoid the inherent weaknesses of a price strategy, but there was a time when the company's obsession with price above all else left it scandal-ridden and hurt its reputation. Nearly every one of the company's scandals was born from its attempts to keep costs down so it could afford to offer such low prices.

Playing the price game always costs something. The question is, how much are you willing to pay for the money you make?

Promotions

General Motors had a bold goal. To lead the American automotive industry in market share. In the 1950s there were four choices of car manufacturer in the United States: GM, Ford, Chrysler and AMC. Before foreign

automakers entered the field, GM dominated. New competition, as one would expect, made that dominance harder to maintain. Still, General Motors held fast to its prized position through most of the last century.

Between 1990 and 2007, however, GM saw its U.S. market share drop dramatically from 35 percent to 23.8 percent. During the same period, Toyota's share of the U.S. market more than doubled, climbing from 7.8 percent to 16.3 percent. And in 2008, the unthinkable happened: after more than three quarters of a century of having the largest market share of any car maker in the world, GM was pushed aside by Toyota. But it wasn't just Toyota that challenged the American car makers. 2008 also marked the first time that Americans bought more foreign cars than ones produced domestically.

Facing an onslaught of new competition in the 1990s, GM and the other U.S. automakers scrambled to offer incentives in order to hold on to their dwindling share. GM, for one, heavily promoted cash-back incentives of between \$500 and \$7,000 to customers who bought their cars and trucks. The promotions worked brilliantly. GM's sales were on the rise again.

But over time, the incentives dramatically eroded GM's profit margins and put them in a deep hole. In 2007, GM lost \$729 per vehicle, in large part due to incentives. Realizing that the model was unsustainable, GM announced it would reduce the amount of the cash-back incentives it offered and, with that reduction, sales plummeted. No cash, no customers. The auto industry had effectively created cash-back junkies out of customers, building an expectation that there's no such thing as full price.

Whether it is "two for one" or "free toy inside," promotions are such common manipulations that we are often blind to the fact that we're being manipulated in the first place. Next time you're in the market for a new phone, for example, pay attention to how you make your decision. You'll easily find two or three phones with the specifications you need—comparable quality, comparable price, good brand name. But perhaps one has a promotion—a discount, a free second phone or favorable financing options. Given the relative parity of the features and benefits, that little something extra is sometimes all it takes to tip the scale. In the business-to-

business world, promotions are called “value added.” But the principles are the same—give something away for free to reduce the risk so that someone will do business with you. And like price, promotions work.

The manipulative nature of promotions is so well established in retail that the industry even named one of the principles. They call it “breakage.” Breakage measures the percentage of customers who fail to take advantage of a promotion and end up paying full price for a product instead. Take gift cards, for example. Many companies rely on the extra revenue they know they will receive from customers who forget about their gift cards, lose them or fail to spend the full value. Breakage is so effective, it often goes beyond an innocent source of passive income and becomes part of a company’s business strategy. One study estimates that about half of U.S. adults never use their gift cards, vouchers or store credits, giving over \$15 billion of free money back to companies. And this estimate doesn’t include all the “promotional” subscriptions, trials and memberships many of us are still paying for. In fact, industry has a word for that too. They call it “inertia.”

Inertia describes the consumer behavior of continuing to pay for subscriptions, memberships or online services after a free trial ends or when we are no longer using them. Like a tax on the disorganized, it punishes those who forget to cancel. And even if we remember to cancel, many companies purposely make the process overly complicated or inconvenient to increase the likelihood that we won’t act or, at least, that we will put it off for another month. “Cancel subscription” is often the most unintuitive, user-unfriendly function on a website. Worse, some companies require us to make a phone call to cancel!

A friend of mine enrolled in a membership program with the California-based athletics brand Fabletics. She was being charged \$59.95 per month for “access” to reduced prices, whether she bought anything or not. If she knew she didn’t want to buy anything one month, the company “allowed” her to skip that month so long as she logged in to her account during the first through the fifth of that month. (You getting all of this?)

After forgetting to skip for a few months and paying for something she no longer wanted or used, my friend decided to cancel her membership. The Fabletics site offered no simple or intuitive navigation to cancel. After digging for a while, she found an answer in the support section of their site. It said that customers could cancel “by phone, chat or online” and provided a phone number but no link to send an email. (They have since added a way to cancel if and only if you go to the account page.) Worse, if you click “cancel anytime” on their homepage, the link takes you to a questionnaire to sign up for their subscription! Eventually, my friend did manage to cancel her membership after a ten-minute engagement through the chat function. One can only conclude that either the company has terrible UX design or the executives decided to make it difficult to cancel on purpose, resulting in extra profit from an overly complicated process.

Net-net, it paints a picture of the power of a promotion. We are lured to buy with a promise of savings that, for too many of us, ends up costing more than we bargained for. But companies be warned. As effective and tempting as these manipulations may be, they come at a cost to you too. In fact, as this book is going to press, a new Federal Trade Commission regulation is requiring that companies simplify the cancelation process. Let us see how it plays out...

Fear

If someone were to hold up a bank with a banana in their pocket, they could be charged with armed robbery. Clearly, no victim was in any danger of being shot, but it is the belief that the robber has a real gun that is considered by the law. And for good reason. Knowing full well that fear will motivate people to comply, the robber took steps to make his victims afraid. Fear, real or perceived, is arguably the most powerful manipulation of the lot.

There was an old adage in business: “No one ever got fired for buying IBM.” That’s because, for decades, IBM was seen as the safe choice. An employee, even one tasked with finding the best suppliers for the best price,

would not take the risk of buying a product from a lesser-known company. Even if things didn't work out with IBM, so the thinking went, the employee responsible for the decision would not be blamed. The fear, real or perceived, was enough to make them ignore the express purpose of their job. Fear can influence anyone in a company to make a decision that undermines the company's best interest.

When fear is employed, facts are incidental. Deeply seated in our biological drive to survive, that emotion cannot be quickly wiped away with facts and figures. This is how terrorism works. Though the statistical probability that we could get hurt by a terrorist is quite low, it is the *fear* that it might happen that paralyzes a population.

Again, perhaps the most powerful of all the manipulations, fear is often used with far less nefarious motivations. We use fear to raise our kids. We use fear to motivate people to obey a code of ethics. Fear is regularly used in public service ads, say to promote child safety or the need to wear seat belts. There used to be a famous PSA to help combat drug abuse among teenagers. A man stood facing the camera holding an egg. "This is your brain," he said. Then he cracked the egg into a hot frying pan. It sizzled and spluttered. "This is your brain on drugs," he continued. "Any questions?" And another ad intended to scare the hell out of any brash teenager: "Cocaine doesn't make you sexy...it makes you dead."

Likewise, when a politician says that their opponent will raise taxes or cut spending on law enforcement, or the evening news alerts you that your health or security are at risk unless you tune in at eleven, both are attempting to seed fear among voters and viewers, respectively, in order to compel a behavior. Businesses also use fear to agitate the insecurity we all have in order to sell products. The idea is that if we don't buy the product or service, something bad could happen to us.

"Every thirty-six seconds, someone dies of a heart attack," states an ad for a local cardiac specialist. "You're missing out..." says the ad on Instagram. And, of course, the insurance industry would like to sell you term life insurance "before it's too late."

If anyone has ever tried to sell you anything by stoking your fear of missing out, being left out or even dying, they are putting a proverbial gun to your head to help you see the “value” of choosing their product. Or perhaps it’s just a banana.

Aspirations

“Giving up smoking is the easiest thing I ever did,” said Mark Twain. “I’ve done it a thousand times.”

If fear motivates us to move away from something horrible, aspirational messages tempt us toward something desirable. Marketers often talk about the importance of being aspirational, offering someone something they desire to achieve and the ability to get there more easily with a particular product or service. “Find love.” “Look better naked.” “Get rich quick.” All these messages manipulate. They tempt us with things we want to have or images of the person we wish we were.

Though positive in nature, aspirational messages are most effective with those who lack discipline or have a nagging fear or insecurity that they don’t have the ability to achieve their dreams on their own (which, at various times for various reasons, is everyone). Someone who lives a healthy lifestyle and is in a habit of exercising does not respond to “six easy steps to losing weight.” It’s those who don’t have the lifestyle that are most susceptible. It’s not news that a lot of people try diet after diet after diet in an attempt to get the body of their dreams. And no matter the regime they choose, each comes with the qualification that regular exercise and a balanced diet will help boost results. In other words, discipline.

Gym memberships tend to rise about 12 percent every January, as people try to fulfill their New Year’s aspiration to live a healthier life. Yet only a fraction of those aspiring fitness buffs are still attending the gym by the end of the year. I like to joke that you can get someone to buy a gym membership with an aspirational message, but to get them to go three days a week requires a bit of inspiration. Aspirational messages can spur behavior, but for most, it won’t last. A combination of external pressures,

our own egos and insecurities, want for immediate gratification and the rest of the psychological fruit salad that makes us who we are all contribute to our susceptibility when someone shows us the thing we want or want to be.

Such aspirational messages are not only effective in the consumer market, they are alive and well in the corporate world too. Managers of companies, big and small, all want to do well. So they make decisions, hire consultants and implement systems to help them achieve that desired outcome. As with the habitual dieter, it is often not the systems that fail but the ability to maintain them. I can speak from personal experience here. I've implemented a lot of systems or practices over the years to help me "achieve the success to which I aspire," only to find myself back to my old habits two weeks later. I aspire to find a system that will help me avoid implementing systems to meet all my aspirations. But I probably wouldn't be able to stick with it for very long.

Our impatience often pushes us to implement short-term responses to our long-term desires. A management consultant friend of mine was hired by a billion-dollar company to help it fulfill its goals and aspirations. The problem was, she explained, no matter the issue, the company's managers were always drawn to the quicker, cheaper option over the better long-term solution. Just like the habitual dieter, "they never have the time or money to do it right the first time," she said of her client, "but they always have the time and money to do it again."

Social (Media) Pressure

"Four out of five dentists prefer Trident," touts the chewing gum advertisement in an attempt to get you to try their product. "A double-blind study conducted at a top university concluded..." pushes the ad on YouTube. "If the product is good enough for professionals, it's good enough for you," the advertising eggs on. "With over a million satisfied customers and counting," teases another ad. These are all forms of social pressure. When marketers report that a majority of a population or a group of experts prefers their product over another, they are attempting to sway the buyer to

believe that whatever they are selling is better. Social pressure works because we want to fit in with our community or because we believe the experts might know more than we do. Social pressure works not because others are always right but because we fear that we may be wrong, missing out or out of touch.

Celebrity endorsements are sometimes used to add social pressure to the sales pitch. “If that person uses it,” we’re supposed to think, “it must be good.” Celebrity endorsements are also used to appeal to our aspirations and our desires to be like those celebrities. One of the most iconic and longest lasting examples of this is Gatorade’s “Be Like Mike” campaign, which promised that kids who drank their product would grow up to be just like Michael Jordan. Originally aired in 1992, the campaign (later tagged #BeLikeMike) has made multiple resurgences over the years, even as late as 2020.

The association of a Hall of Fame basketball player with a sports drink makes perfect sense. For other celebrity endorsements, however, it is harder to see the connection. In 2018, the British actress Millie Bobby Brown, who starred as Eleven in Netflix’s *Stranger Things*, was a spokesperson for the American technology conglomerate Cisco. But for her celebrity, it’s unclear what value a fourteen-year-old actor famed for her character’s telekinetic abilities offered the brand. Universal recognition of a celebrity is simply not enough anymore. The question is, can the celebrity exert social pressure over those who follow them?

In our modern social media world, many have decided they would rather be the influencer than the influenced. Celebrity endorsement has become a business unto itself. Unlike actors, singers or athletes, the modern influencer seems to have become the personification of a network or cable TV show. Instead of simply leveraging their recognition for financial gain (like traditional celebrity endorsers), they generate online content to attract more views for almost the sole purpose of increasing ad and sponsorship revenue. They are the content and the content is them.

At its height, the TV show *Seinfeld* attracted 30 million viewers per episode, with 76 million tuning in for the season finale. In comparison,

videos by influencer Charli D'Amelio, who made a name for herself as a teenager dancing in her bedroom, get an average of 12.5 million views and have earned D'Amelio billions of likes on TikTok. YouTuber Jimmy Donaldson, aka MrBeast, regularly gets between 100 and 200 million views per video! And both D'Amelio and Donaldson make tens of millions of dollars a year from ad revenues and sponsorships.

Given the money and fame that go with it, the social pressure to want to exert social pressure seems to have replaced aspirations to be almost anything else. A 2019 study found that a whopping 86 percent of thirteen-to-thirty-eight-year-olds aspire to be “influencers” (and 12 percent of them already think they are).

Social media pressure, disproportionately directed at today's youth, is way more intense than any influence four out of five dentists ever had over our choice of gum.

Novelty (aka Innovation)

“In a major innovation in design and engineering, [Motorola] has created a phone of firsts,” read a press release that announced the launch of the mobile phone manufacturer's newest entry to the ultracompetitive mobile phone market. “The combination of metals, such as aircraft-grade aluminum, with new advances, such as an internal antenna and a chemically-etched keypad, led to the formation of a device that measures just 13.9 mm thin.” Millions of people rushed to get one. The Motorola RAZR was the must-have product of 2004. Celebrities flashed theirs on the red carpet. Even a prime minister or two was seen talking on one.

Few could argue that the RAZR, having sold over 50 million units, wasn't a huge success. “By surpassing current mobile expectations, the RAZR represents Motorola's history of delivering revolutionary innovations,” said former Motorola CEO Edward Zander of his new wunder-product, “while setting a new bar for future products coming out of the wireless industry.” This one product was a huge financial success for Motorola. It was the iPhone before the iPhone.

Or was it?

Less than four years after the launch of the RAZR, Zander was forced out of Motorola and the stock traded at 50 percent of its average value. Motorola's competitors had easily matched or surpassed the RAZR's features and functionalities. The RAZR was no longer special and Motorola was once again rendered just another mobile phone manufacturer fighting for its piece of the pie. Motorola made a classic mistake—they had confused innovation with novelty. And it's not only technology companies that make the mistake.

In the 1960s, there were only two types of Colgate toothpaste. But as competition increased, Colgate's sales started to slip. So the company introduced a new product that included a new feature: the addition of fluoride. Then came a new product with another special feature. Then another. Whitening. Tartar control. Sparkles. Stripes. Each "innovation" certainly helped boost sales, for a while at least. And so the cycle continued. Guess how many different types of toothpaste Colgate has for you to choose from today? Forty-one! Today there are forty-one different types of Colgate toothpaste (excluding the ten they make for kids)!

Playing the novelty game can have a similar impact as playing the price game. It sends you on a downward spiral that's hard to get out of. Which is exactly what happened to Colgate and the whole toothpaste category. Today, there are literally hundreds of toothpastes to choose from. And thanks to all this "innovation," it's almost impossible to know which is the right toothpaste to choose. When a company offers too many options for the same product, it is a sure sign they are using novelty to help drive their sales. Novelty is a quick fix because it's easy to produce. Real innovation, in contrast, is special, different and rare. When something is actually innovative, the choice is obvious.

Real innovation changes the course of industries or even society. Edison's light bulb, Singer's electric sewing machine, Tesla's electric car, Netflix's streaming service and Amazon's...well, Amazon's everything. These products and companies changed how we conduct business, altered how we live our lives and challenged entire industries to completely

reevaluate their business models. With this revised definition in mind, Motorola's own description of their "innovative" RAZR reads more like a list of cool features: a metal case, hidden antenna, flat keypad and a thin phone. Hardly "revolutionary innovation." All Motorola had done was design the latest shiny object for people to get excited about for a short period of time.

Novelty is not a bad thing, but it can't be counted on to add any long-term value. Novelty can drive sales temporarily—the RAZR proved it—but it doesn't reinvent or make a lasting impact. A few years after its launch, Motorola's RAZR was replaced by Apple's iPhone as the popular must-have new mobile phone. The iPhone also had some brilliant features, but taking away the buttons and adding a touch screen was not what made the iPhone's success last or what reinvented the category. There was something else that Apple did that was vastly more significant. Apple influenced not only how mobile phones were designed but also how the entire industry functioned.

Prior to the iPhone, it was the service provider, not the phone manufacturer, that determined all the features and benefits the phone could offer. T-Mobile, Verizon Wireless, Sprint and AT&T all dictated to Motorola, Nokia, Ericsson, LG and others what the phones would do. Then Apple showed up. They announced that they would tell the service provider what the phone would do, not the other way around. AT&T was the only one that agreed, thus earning an exclusive deal to introduce the new product to the market. From this point on, service providers would no longer be in charge. Flipping the power dynamic allowed the consumer electronic companies to actually put the consumer at the center of their designs. This soon led to another innovation—access to third-party apps via an app store.

Novel, huh?

Manipulations Lead to Transactions, Not Loyalty

When the police offer a reward, they are not looking to nurture a relationship with the witness or tipster; it is just a single transaction. When

you lose your kitten and offer a reward to get it back, you don't need to have a lasting relationship with the person returning it; you just want your cat back. Carrots and sticks are a perfectly valid strategy for driving a transaction, or for any behavior that is only required once or on rare occasions. The rewards the police use are designed to incentivize witnesses to come forward to provide tips or evidence that may lead to an arrest. And, like any promotion, the manipulation will work if the incentive feels high enough to mitigate the risk.

Sadly, politicians these days don't seem to understand (or care about) the difference between the transactional nature of manipulation and the long-term benefits of inspiration. Ads discrediting opponents, a focus on single issues and an uncomfortable reliance on fear or aspirational desires are all tactics that help win elections, but they do not seed loyalties among the voters. Worse, they leave voters *feeling* manipulated and cynical of the process. Despite what politicians may say, we get the sense that they really care more about themselves than they do about us. And when the next election comes around, the whole process starts over as they work to court us again. In the corporate world, we call this repeat business.

There is a big difference between repeat business and loyalty. Repeat business is when people do business with you multiple times. Loyalty is when people are willing to turn down a better product or a better price to continue doing business with you. Loyal customers often don't even bother to research the competition or entertain other options. Loyalty is not easily won. Repeat business, however, is. All it takes is more manipulations. And those manipulations come at a cost.

The American car industry learned the hard way the high cost of relying on manipulations to build a business when loyalty was what they really needed to nurture. While manipulations may have been a viable strategy when times were good and money was flush, a change in market conditions made them too expensive. When the oil crisis of 2008 hit, the auto industry's promotions and incentives became untenable (the same thing happened in the 1970s). In this case, how long the manipulations could produce short-term gains was defined by the length of time the economy

could sustain the strategy. This is a fundamentally weak platform upon which to build a business, an assumption of never-ending boom. Though loyal customers are less tempted by other offers and incentives, in good times the free flow of business makes it hard to recognize their value. It's in the tough times that loyal customers matter most.

Manipulations don't build loyalty, but they do cost money. Lots of money. And when money is not as available to fund those tactics, not having a loyal following can cost a company even more. After September 11, there were customers who sent checks to Southwest Airlines to show their support. One note that accompanied a check for \$1,000 read "You've been so good to me over the years, in these hard times I wanted to say thank you by helping you out." The checks that Southwest Airlines received were certainly not enough to make any significant impact on the company's bottom line, but they were symbolic of the feeling customers had for the brand. They had a sense of partnership. The loyal behavior of those who didn't send money is almost impossible to measure, but its impact has been invaluable over the long term, helping Southwest turn a profit for more consecutive years than any other airline. Up until 2021, Southwest Airlines had turned a profit for forty-eight straight years.

This is the reason to invest in building loyalty among our customers and employees. Like loyal friends, we can feel confident they will be there for us when we need them most. It is the feeling of "We're in this together" shared between customer and company, voter and candidate, boss and employee that defines great leaders.

The Price We Pay for the Money We Make

Overreliance on manipulations has made it increasingly difficult for buyers to know which product, service, brand or company to choose. I joke about the proliferation of toothpaste varieties and the difficulty of choosing the right one. But toothpaste is just a metaphor. Nearly every decision we're asked to make every single day is like choosing toothpaste. Deciding which law firm to hire, college to attend, car to buy, company to work for,

candidate to elect—there are just too many choices. All the advertising, promotions and pressure employed to tempt us one way or another, each attempting to push harder than the other to court us for our money or our support, ultimately yields one consistent result: stress.

Stress is produced for the companies doing the selling too. Their ability to stand out in the market, to help us make a purchase decision, has also gotten more difficult. Every day, the competition is doing something new, something better. To constantly have to come up with a new promotion, a new online marketing campaign, a new feature to add, is hard work. Combined with the long-term effects of years of short-term decisions that have eroded profit margins, this raises stress levels inside organizations as well. When manipulations are the norm, no one wins.

It's not an accident that doing business today, and being in the workforce today, is more stressful than it used to be. Dr. Peter Whybrow's book *American Mania: When More Is Not Enough* is as relevant today as it was when it first came out in 2005. It argues that many of the ills that we suffer from today have very little to do with the bad food we're eating or the partially hydrogenated oils in our diet. Rather, it's the way that too many modern corporations operate that has increased our stress to levels so high it's literally making us sick. Americans are suffering ulcers, depression, high blood pressure, anxiety and cancer at record levels. According to Whybrow, all those promises of more, more, more are actually overloading the reward circuits of our brain. The short-term gains that drive business in America today are actually destroying our health.

Just Because It Works Doesn't Make It Right

The danger of manipulations is that they work. And because manipulations work, they have become the norm, practiced by the vast majority of companies and organizations, regardless of size or industry. That fact alone creates a systemic social pressure. With perfect irony, we, the manipulators, have been manipulated by our own system. With every price drop, promotion, fear-based or aspirational message and novelty we use to

achieve our goals, we find our companies, our organizations and our systems getting weaker and weaker.

The problem is, too many leaders of businesses can't see any other option and many aren't even looking for one. Like any addict, they are not driven to get sober but to find the next fix as quickly as they can. And as good as the short-term highs may feel, they have a damaging impact on the long-term health of the organization.

The economic crisis that began in 2008 is an extreme example of what can happen when a constant drive for short-term hits goes on for too long. The collapse of the housing market and the subsequent collapse of the banking industry were due to decisions made as a result of a series of manipulations. Employees were manipulated with bonuses that encouraged shortsighted decision-making. Open shaming of anyone who spoke out discouraged responsible dissent. A free flow of loans encouraged aspiring homebuyers to buy more than they could afford at all price levels. There was very little loyalty. It was all a series of transactional decisions—effective, but at a high cost. Few were working for the good of the whole. Why would they?—there was no reason given to do so. There was no cause or belief beyond instant gratification.

Bankers weren't the first to be swept up by their own success. American car manufacturers have conducted themselves the same way for decades—manipulation after manipulation, short-term decision built upon short-term decision. Buckling or even collapse is the only logical conclusion when manipulations are the main course of action.

The reality is, in today's world, manipulations are the norm.

But there is an alternative.

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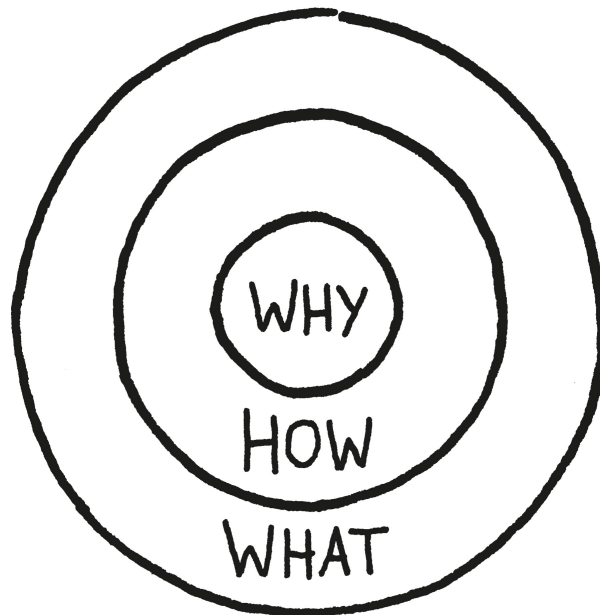
PART 2

AN ALTERNATIVE PERSPECTIVE

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3

THE GOLDEN CIRCLE



There are a few leaders who choose to inspire rather than manipulate in order to motivate people. Whether individuals or organizations, every single one of these inspiring leaders thinks, acts and communicates exactly the same way. And it's the complete opposite of the rest of us. Consciously or

not, how they do it is by following a naturally occurring pattern that I called The Golden Circle.

When I was trying to figure out how to name this seemingly magical pattern, I was inspired by the golden ratio—a simple mathematical relationship that has fascinated mathematicians, biologists, architects, artists, musicians and naturists since the beginning of history. From the Egyptians to Pythagoras to Leonardo da Vinci, many have looked to the golden ratio to provide a mathematical formula for proportion and even beauty. The golden ratio also supports the notion that there is more order in nature than we think, as in the symmetry of leaves and the geometric perfection of snowflakes.

What I find so attractive about the golden ratio is that it has so many applications in so many fields. And even more significantly, it offers a formula that can produce repeatable and predictable results in places where such results might have been assumed to be a random occurrence or luck. Like the golden ratio, which offers evidence of order in the seeming disorder of nature, The Golden Circle finds order and predictability in human behavior. Put simply, it helps us understand why we do what we do. The Golden Circle provides compelling evidence of how much more we can achieve if we remind ourselves to start everything we do by first asking why.

The Golden Circle is an alternative perspective to existing assumptions about why some leaders and organizations have achieved such a disproportionate degree of influence. It offers clear insight as to how Apple was able to innovate in so many diverse industries. It explains why people tattoo Harley-Davidson logos on their bodies. It provides a clearer understanding of why Southwest Airlines was able to turn a profit for so many years. It even gives some clarity as to why people followed Martin Luther King Jr. in a movement to change a nation and why we took up John F. Kennedy's challenge to put a man on the moon even after he died. The Golden Circle shows how these leaders were able to inspire action instead of manipulating people to act.

This alternative perspective is not just useful for big, change-the-world visions; there are practical applications too. It can be used to guide and improve the quality of leadership at any level, corporate cultures of any size, hiring practices, product development, sales and marketing. It can even help explain employee engagement, customer loyalty and how, with enough momentum, an idea can turn into a social movement.

And it all starts from the inside out. It all starts with Why.

Before we explore the applications of The Golden Circle, let me first define the terms, starting from the outside of the circle and moving inward.

WHAT: Every single company, organization and individual on the planet knows WHAT they do. This is true no matter how big or small, no matter what industry. Every one of us can easily describe the products or services our companies sell or the jobs we do. WHATs are easy to identify.

HOW: Some companies and people know HOW they do WHAT they do. Whether you call them a “differentiating value proposition,” “proprietary process,” “unique selling proposition” or “your strengths,” HOWs are often given to explain how something is different or better. Not as obvious as WHATs, many think these are the differentiating or motivating factors in a decision. It would be false to assume they are all that is required to inspire people to act. There is one missing detail:

WHY: Very few people or companies can clearly articulate WHY they do WHAT they do. When I say WHY, I don’t mean to make money—that’s a result. By WHY I mean what is your purpose, cause or belief? WHY does your company exist? WHY do you get out of bed every morning? And WHY should anyone care?

Most of us think, act or communicate from the outside in, from WHAT to WHY. And for good reason—we go from the clearest thing to the fuzziest thing. We say WHAT we do, we sometimes say HOW we do it, but we rarely say WHY we do WHAT we do.

But not the inspired companies. Not the inspired leaders. Every single one of them, regardless of their size or their industry, thinks, acts and communicates from the inside out.

I’ll start with a simple marketing example from Apple.

(I use Apple frequently as an example simply because they have broad recognition and their products are easy to grasp and compare to others. They are one of the few brands that both younger and older generations respect. What's more, Apple's success over time is not typical. That they were able to remain one of the most innovative companies for so many years, combined with their uncanny ability to attract a cult-like following, makes them a great example to demonstrate many of the principles of The Golden Circle.)

If Apple had been like most other companies, a marketing message from them would move from the outside in of The Golden Circle. It would start with some statement of WHAT the company does or makes, followed by HOW they think they are different or better than the competition, followed by some call to action. With that, the company would expect some behavior in return, in this case a purchase. A marketing message from Apple, if they were like everyone else, might sound like this:

We make great computers.

They're beautifully designed, simple to use and user-friendly.

Wanna buy one?

It's not a very compelling sales pitch, but that's how most companies sell to us. This is the norm. First they start with WHAT they do—"Here's our new car." Then they tell us how they do it or how they are better—"It's got leather seats, great gas mileage and great financing." And then they make a call to action and expect a behavior.

You see this pattern in business-to-consumer markets as well as business-to-business environments: "Here's our law firm. Our lawyers went to the best schools and we represent the biggest clients. Hire us." This pattern is also alive and well in politics—"Here's the candidate. Here are their views on taxes and immigration. See how they're different? Vote for them." In every case, the communication is organized in an attempt to convince someone of a difference or superior value.

But, again, that is not what the inspiring leaders and organizations do. Every one of them, regardless of size or industry, thinks, acts and communicates from the inside out.

Let's look at that Apple example again and rewrite it in the order Apple *actually* communicated. This time, the example starts with WHY.

In everything we do, we believe in challenging the status quo. We believe in thinking differently.

The way we challenge the status quo is by making our products beautifully designed, simple to use and user-friendly.

And we happen to make great computers.

Wanna buy one?

It's a completely different message. It actually *feels* different from the first one. We're much more eager to buy a computer from Apple after reading the second version—and all I did was reverse the order of the information. There's no trickery, no manipulation, no free stuff, no aspirational messages, no celebrities.

Apple didn't simply reverse the order of information: their message started with WHY, a purpose, cause or belief that had nothing to do with WHAT they did. WHAT they did—the products they made, from computers to small electronics—no longer served as the reason to buy, they served as the tangible proof of their cause. The design and user interface of Apple products, though important, were not enough in themselves to generate such astounding loyalty among their customers. Those important elements helped make the cause tangible and rational. Others can hire top designers and brilliant engineers, make beautiful, easy-to-use products and copy the things Apple did, and they could even steal away Apple employees to do it, but the results would not be the same. If others had simply copied WHAT Apple did or HOW they did it, it wouldn't have worked. There was something more, something hard to describe and near impossible to copy, that gave Apple such a disproportionate level of influence in the market.

The example starts to prove that people don't buy WHAT you do, they buy WHY you do it.

It's worth repeating: People don't buy WHAT you do, they buy WHY you do it.

Apple's ability to design such innovative products so consistently, and their ability to command such astounding loyalty for their products, came from more than simply WHAT they did. The problem is, most organizations use tangible features and benefits to build a rational argument for why their company, product or idea is better than another. Sometimes those comparisons are made outright and sometimes analogies or metaphors are drawn, but the effect is the same. Companies try to sell us WHAT they do, but we buy WHY they do it. This is what I mean when I say they communicate from the outside in; they lead with WHAT and HOW.

When communicating from the inside out, however, the WHY is offered as the reason to buy and the WHATs serve as the tangible proof of that belief. The WHATs are the things we can point to in order to rationalize or explain the reasons we're drawn to one product, company or idea over another.

WHAT companies do are external factors, but WHY they do it is something deeper. In practical terms, there is nothing special about Apple. It is just a company like any other. There is no real difference between Apple and any of its competitors—Dell, ASUS, Acer, Lenovo or HP. Pick one, it doesn't matter. They are all corporate structures. That's all a company is. It's a structure. They all make computers. They all have some systems that work and some that don't. They all have equal access to the same talent, the same resources, the same agencies, the same consultants and the same media. They all have some good managers, some good designers and smart engineers. They all make some products that work well and some that don't...even Apple. Why, then, did Apple have such a disproportionate level of success? How have they been so much more innovative over time? Why were they consistently more profitable than other players in their field? And how did they manage to build such a cultishly loyal following—something very few companies are ever able to achieve?

Again, people don't buy WHAT you do, they buy WHY you do it. This is the reason Apple has earned a remarkable level of flexibility. We are obviously comfortable buying a computer from Apple. But we are also perfectly comfortable buying a phone, or a watch, or an Apple TV or headphones from them. Consumers and investors are completely at ease with Apple offering so many different products in so many different categories. It's not WHAT Apple did that distinguished them. It is WHY they did it. Their products gave life to their cause.

I'm not so foolhardy as to propose that their products didn't matter; of course they did. But it's the reason they mattered that was contrary to the conventional wisdom. Their products, unto themselves, were not the reason Apple was perceived as superior; their products, WHAT Apple made, served as the tangible proof of what they believed. It was that clear correlation between WHAT they did and WHY they did it that made Apple stand out. This is the reason we perceived Apple as being authentic. Everything they did worked to demonstrate their WHY, to challenge the status quo. Regardless of the products they made or the industry in which they operated, it was always clear that Apple "thinks different."

When Apple first came out with the Macintosh, having an operating system based on a graphical user interface and not a complicated computer language challenged how computers worked at the time. What's more, where most technology companies saw their biggest marketing opportunity among businesses, Apple wanted to give an individual sitting at home the same power as any company. Apple's WHY, to challenge the status quo and to empower the individual, is a pattern that was repeated in everything they said and did over the years. It came to life in their iPod and even more so in iTunes, a product and a service developed by a mature company that challenged the status quo of the music industry's distribution model and was better suited to how individuals consumed music.

The music industry was organized to sell albums, a model that evolved during a time when listening to music was largely an activity we did at home. Sony changed that in 1979 with the introduction of the Walkman. But even the Walkman, and later the Discman, was limited to the number of

cassette tapes or CDs we could carry in addition to the device. The development of the MP3 music format changed all that. Digital compression allowed for a high quantity of songs to be stored on relatively inexpensive and highly portable devices. Our ability to walk out of the house with one easy-to-carry device transformed music into something we largely listened to away from home. And the MP3 not only changed where we listened to music, it also transformed us from an album-collecting culture to a song-collecting culture. While the music industry was still busy trying to sell us albums, a model that no longer suited consumer behavior, Apple introduced their iPod by offering us “1,000 songs in your pocket.” With the iPod and iTunes, Apple did a much better job of communicating the value of both the MP3 and the MP3 player relative to how we lived our lives. Their advertising didn’t offer exhaustive descriptions of product details (the WHATs); their message wasn’t about them, it was about us. And we understood WHY we wanted the product.

Apple did not invent the MP3, nor did they invent the technology that became the iPod, yet they are credited with transforming the music industry with it. The original multi-gigabyte portable hard drive music player was actually the Zen, invented by Creative Technology Ltd., a Singapore-based technology company that rose to prominence by making the Sound Blaster audio technology that enables home PCs to have sound. In fact, Apple didn’t introduce the iPod until twenty-two months after Creative’s entry into the market. This detail alone calls into question the assumption of a first mover’s advantage. Given their history in digital sound, Creative was more qualified than Apple to introduce a digital music product. The problem was, they advertised their product as a “5GB MP3 player.” It is exactly the same message as Apple’s “1,000 songs in your pocket.” The difference is Creative told us WHAT their product was and Apple told us WHY we needed it.

Only later, once we decided we had to have an iPod, did the WHAT matter—and we chose the 5GB version, 10GB version and so on, the tangible details that proved we could get the 1,000 songs in our pocket. Our decision started with WHY, and so did Apple’s offering.

Few of us could say with certainty that an iPod was actually better than Creative's Zen. The first iPods, for example, were plagued with battery life and battery replacement issues. They tended to just die. Maybe a Zen was better. The reality is, we didn't even care if it was. People don't buy WHAT you do, they buy WHY you do it. And it was Apple's clarity of WHY that drove their remarkable ability to innovate, often competing against companies seemingly more qualified than they, and succeed in industries outside their core business.

The same cannot be said for companies with a fuzzy sense of WHY. When an organization defines itself by WHAT it does, that's all it will ever be able to do. Apple's competitors, having defined themselves by their products or services, regardless of their "differentiating value proposition," are not afforded the same freedom. The computer maker Gateway, for example, started selling flat-screen TVs in 2003. Having made flat-screen monitors for years, they were every bit as qualified to make and sell TVs. But the company failed to make a credible name for itself among consumer electronics brands and gave up the business two years later to focus on its "core business."

Dell came out with personal digital assistants, or PDAs, (think digital address books) in 2002 and MP3 players in 2003 but lasted only a few years in each market. Dell makes quality products and was fully capable of producing these other technologies. The problem was they had defined themselves by WHAT they did; they made computers, and it simply didn't make sense to consumers to buy a PDA or MP3 player from them. It didn't feel right. How many people do you think would stand in line for six hours to buy a new mobile phone from Dell, as they used to for the release of Apple's latest iPhone? Or, to put it in more modern terms, how many people would mark the date in their calendar to remind them to get their online order in as soon as possible? People couldn't see Dell as anything more than a computer company. It just didn't make sense. Poor sales quickly ended Dell's desire to enter the small electronic goods market; instead they opted to "focus on their core business." Until Dell, and so many others like them, can rediscover their founding purpose, cause or

belief and start with WHY in all they say and do, all they will ever do is sell computers. They will be stuck in their “core business.”

Apple, unlike its competitors, defined itself by WHY they did things, not WHAT they did. It was not a computer company but a company that challenged the status quo and offered individuals simpler alternatives. Apple even changed its legal name in 2007 from Apple Computer, Inc. to Apple Inc. to reflect the fact that they were more than just a computer company. Practically speaking, it doesn't really matter what a company's legal name is. For Apple, having the word “Computer” in their name didn't limit WHAT they could do. It limited how they thought of themselves. The change wasn't practical, it was philosophical.

Apple's WHY was formed at its founding in the late 1970s and endured for decades. Regardless of the products they made or the industries into which they migrated, their WHY remained constant under Jobs. And Apple's intention to challenge accepted thinking has proved prophetic. As a computer company they redirected the course of the personal computing industry. As a small electronics company, they have challenged the traditional dominance of companies like Sony and Philips. As a purveyor of mobile phones, they pushed the old hands—Motorola, Ericsson and Nokia—to reexamine their own businesses. Apple's ability to enter and even dominate so many different industries challenged what it meant to be a computer company. Regardless of WHAT it did, we knew WHY Apple existed.

The same cannot be said for their competitors. Although they all had a clear sense of WHY at some point—it was one of the primary factors that helped each of them become billion-dollar companies—over the course of time, almost all of Apple's competitors lost their WHY. Now those companies define themselves by WHAT they do: we make stuff. They all turned from companies with a cause into companies that sold products. And when that happens, price, quality, service and features become the primary currency to motivate a purchase decision. At that point, a company and its products have ostensibly become commodities. As any company forced to compete on price, quality, service or features alone can attest, it is very hard

to differentiate for any period of time or build loyalty on those factors alone. Plus it costs money and is stressful waking up every day trying to compete on that level. Knowing WHY is essential for any company that wants lasting success and the ability to avoid being lumped in with others.

Any company faced with the challenge of how to differentiate themselves in their market is basically a commodity, regardless of WHAT they do or HOW they do it. Ask a milk producer, for example, and they will tell you that there are actually variations among milk brands. The problem is you have to be an expert to understand the differences. To the outside world, all milk is basically the same, so we just lump all the brands together and call it a commodity. In response, that's how the industry acts. This is largely the pattern for almost every other product or service on the market today, business-to-consumer or business-to-business. They focus on WHAT they do and HOW they do it without consideration of WHY; we lump them together and treat them like commodities. And the more we treat them like commodities, the more they focus on WHAT and HOW they do it. It's a vicious cycle. But only companies that act like commodities are the ones that wake up every day with the challenge of how to differentiate. Companies and organizations with a clear sense of WHY never worry about it. They don't think of themselves as being like anyone else and they don't have to "convince" anyone of their value. They don't need complex systems of carrots and sticks. They *are* different, and everyone knows it. They start with WHY in everything they say and do.

There are those who still believe that Apple's difference comes from its marketing ability. Apple "sells a lifestyle," marketing professionals will tell you. Then how come these marketing professionals haven't intentionally repeated Apple's success and longevity for another company? Calling it a "lifestyle" is a recognition that people who live a certain way choose to incorporate Apple into their lives. Apple didn't invent the lifestyle, nor does it sell a lifestyle. Apple is simply one of the brands that those who live a certain lifestyle are drawn to. As Harley-Davidson fits into the lifestyle of a certain group of people, and Gucci shoes fit the lifestyle of another group, it is the lifestyle that came first. Like the products the company produces,

which serve as proof of the company's WHY, so too does a brand or product serve as proof of an individual's WHY.

Others, even some who work for Apple, will say that what truly distinguishes Apple is in fact the quality of their products alone. Having high-quality products is of course important. No matter how clear your WHY, if WHAT you sell doesn't work, the whole thing falls flat. But a company doesn't need to have the best products, they just need to be good or very good. Better or best is a relative comparison. Without first understanding WHY, the comparison itself is of no value to the decision maker.

The concept of "better" begs the question: Based on what standard? Is a Ferrari F430 sports car better than a Honda Odyssey minivan? It depends why you need the car. If you have a family of six, a two-seater Ferrari is not better. However, if you're looking for a great way to impress someone, a Honda minivan is probably not better (depending on what kind of person you're looking to impress, I guess; I too shouldn't make assumptions). Why the product exists must first be considered. Why someone wants it must match. I could tell you about all the engineering marvels of the Honda Odyssey, some of which may actually be better than a Ferrari. It certainly gets better gas mileage. The odds are that I'm not going to convince someone who really wants that sports car to buy anything else. That some people are viscerally drawn to a Ferrari more than a Honda Odyssey says more about the person than the engineering of the product. The engineering, for example, would simply be one of the tangible points that a Ferrari lover could point out to prove how they feel about the car. The dogged defense of the superiority of the Ferrari from the person whose personality is predisposed to favor all the features and benefits of a Ferrari cannot be an objective conversation. Why do you think most people who buy Ferraris are willing to pay a premium to get it in red, whereas most who buy Honda Odysseys probably don't care much about the color at all?

For all those who will try to convince you that Apple computers are just better, I cannot dispute a single claim. All I can offer is that most of the factors that they believe make them better meet their standard of what a

computer should do. With that in mind, Macintoshes are, in practice, only better for those who believe what Apple believes. Those people who share Apple's WHY believe that Apple's products are objectively better, and any attempt to convince them otherwise is pointless. Even with objective metrics in hand, the argument about which is better or which is worse without first establishing a common standard creates nothing more than debate. Loyalists for each brand will point to various features and benefits that matter to them (or don't matter to them) in an attempt to convince the other that they are right. And that's one of the primary reasons why so many companies feel the need to differentiate in the first place—based on the flawed assumption that only one group can be right. But what if both parties were right? What if an Apple was right for some people and a PC was right for others? It's not a debate about better or worse anymore, it's a discussion about different needs. And before the discussion can even happen, the WHYs for each must be established first.

Not the Only Way, Just One Way

Knowing your WHY is not the only way to be successful, but it is the only way to maintain lasting success and have a greater blend of innovation and flexibility. When a WHY goes fuzzy, it becomes much more difficult to maintain the growth, loyalty and inspiration that helped drive the original success. By difficult, I mean that manipulation rather than inspiration fast becomes the strategy of choice to motivate behavior. This is effective in the short term but comes at a high cost in the long term.

Consider the classic business school case of the railroads. In the late 1800s, the railroads were the biggest companies in the country, the Googles and Amazons of the day. Having achieved such monumental success, even changing the landscape of America, remembering WHY stopped being important to them. Instead they became obsessed with WHAT they did—they were in the railroad business. This narrowing of perspective influenced their decision-making—they invested all their money in tracks and crossties and engines. But at the beginning of the twentieth century, a new

technology was introduced: the airplane. And all those big railroad companies eventually went out of business. What if they had defined themselves as being in the long-distance, mass-transportation business? Perhaps their behavior would have been different. Perhaps they would have seen opportunities that they otherwise missed. Perhaps they would own all the airlines today.

The comparison raises the question of the long-term survivability of so many other companies that have defined themselves and their industries by WHAT they do. They have been doing it the same way for so long that their ability to compete against a new technology or see a new perspective becomes a daunting task. The story of the railroads has eerie similarities to the case of the music industry discussed earlier. This is another industry that has not done a good job of adjusting its business model to fit a behavioral change prompted by a new technology. But other industries whose business models evolved in a different time show similar cracks—the newspaper, publishing, movie and television industries, to name but a few. These are the current-day railroads that are struggling to define their value while watching their customers turn to companies from other industries to serve their needs. Perhaps if music companies had had a clearer sense of WHY, they would have seen the opportunity to invent the equivalent of iTunes instead of leaving it to a scrappy computer company.

In all cases, going back to the original purpose, cause or belief will help these industries adapt. Instead of asking “WHAT should we do to compete?” the questions must be asked, “WHY did we start doing WHAT we’re doing in the first place, and WHAT can we do to bring our cause to life considering all the technologies and market opportunities available today?” But don’t take my word for it. None of this is my opinion. It is all firmly grounded in the tenets of biology.

4

THIS IS NOT OPINION, THIS IS BIOLOGY

The very basic human need to belong is a constant that exists across all people in all cultures. It is not rational. It is a feeling we get when those around us share our values and beliefs. When we feel like we belong we feel connected and we feel safe. As humans we crave the feeling and we seek it out.

Sometimes our feeling of belonging is incidental. We're not friends with everyone from our hometown, but when we travel across the state and meet someone from our hometown, we instantly have a connection with them. We're not friends with everyone from our home state, but travel across the country, and we'll feel a special bond with someone we meet who is from our home state. Go abroad and we'll form instant bonds with other Americans we meet. I remember a trip I took to Australia. One day I was on a bus and heard an American accent. I turned and struck up a conversation. I immediately felt connected to them: we could speak the same language, understand the same slang. As a stranger in a strange city, for that brief moment, I felt like I belonged, and because of it, I trusted that stranger on the bus more than any of the other passengers. In fact, we met for a coffee

later that week. No matter where we go, we trust those with whom we perceive we might have common values or beliefs.

Our desire to feel like we belong is so powerful that we will go to great lengths, do irrational things and sometimes spend money to get that feeling. We want to be around people and organizations who are like us and share our beliefs. When companies talk about WHAT they do and how advanced their products are, these things may appeal to us, but they do not necessarily represent something to which we want to belong. But when a company clearly communicates their WHY, what they believe, and if we believe what they believe, then we will sometimes go to great lengths to include those products or brands in our lives. This is not because they are better but because they become markers or symbols of the values and beliefs we hold dear.

Our natural need to belong also makes us good at spotting things that don't belong. It's a sense we get. A feeling. Something deep inside us, something we can't put into words, allows us to feel how some things just fit and some things just don't. Dell selling MP3 players just didn't feel right because Dell defined itself as a computer company, so the only things that belonged were computers. Apple defined itself as a company on a higher mission, and so anything they did that fit that definition felt like it belonged. In 2004, they produced a promotional iPod in partnership with the iconoclastic Irish rock band U2. That made sense. They would never have produced a promotional iPod with Barbra Streisand, even though she's sold vastly more records than U2 and may have a bigger audience. U2 and Apple belonged together because they shared the same values and beliefs. They both pushed boundaries.

For those who remember (or for those who want to look them up on YouTube), Apple's classic "I'm a Mac and I'm a PC" TV commercials are a perfect representation of how Mac users saw themselves. In the commercials, the Mac user is a young guy, always in jeans and a T-shirt, always relaxed and always having a sense of humor, poking fun at "the system." The PC, as defined by Apple, is in a suit. Older. Stodgy. To fit in with the Mac crowd, you had to be like Mac. Microsoft responded to Apple

with its own “I’m a PC” campaign, which depicted people from all walks of life identifying themselves as “PC.” Microsoft included many more people in their ads—teachers, scientists, musicians and children. As one would expect from the company that supplied 95 percent of computer operating systems, to belong to that crowd, you had to be “everyone else.” One was not better or worse; it depended on where you felt like you belonged. Were you a rabble-rouser or were you with the majority?

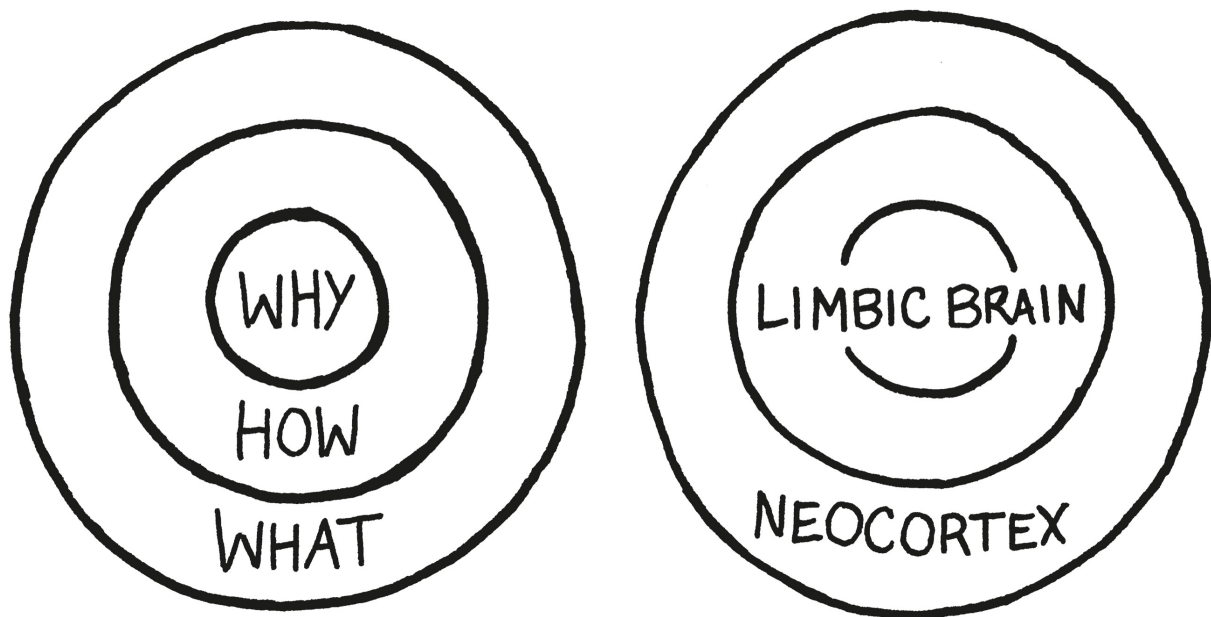
We are drawn to leaders and organizations that are good at communicating what they believe. Their ability to make us feel like we belong, to make us feel special, safe and not alone, is part of what gives them the ability to inspire us. Those whom we consider great leaders all have an ability to draw us close and to command our loyalty. And we feel a strong bond with those who are also drawn to the same leaders and organizations. The companies that start with WHY build brands that create a sense of belonging. Fan clubs are usually started by customers and are often formed without any help from the company itself. These people form communities, in person or online, not just to share their love of a product with others but to be in the company of people like them. The brand becomes a symbol of the shared values of the group. Apple users felt a bond with each other. Harley riders felt bonded to each other. Anyone who was drawn to hear Martin Luther King Jr. give his “I Have a Dream” speech, regardless of race, religion or sex, stood together in that crowd as brothers and sisters, bonded by their shared values and beliefs. They knew they belonged together because they could feel it in their gut.

Gut Decisions Don’t Happen in Your Stomach

The principles of The Golden Circle are much more than a communications hierarchy. Its principles are deeply rooted in the evolution of human behavior. The power of WHY is not opinion, it’s biology. If you look at a cross section of the human brain, from the top down, you see that the levels of The Golden Circle correspond precisely with the three major levels of the brain.

The newest area of the brain, our *Homo sapien* brain, is the neocortex, which corresponds with the WHAT level. The neocortex is responsible for rational and analytical thought and language.

The middle sections make up the limbic brain. The limbic brain is responsible for all of our feelings, such as trust and loyalty. It is also responsible for all human behavior and all our decision-making, but it has no capacity for language.



When we communicate from the outside in, when we communicate WHAT we do first, we address the neocortex. And yes, people can understand vast amounts of complicated information, like facts and features, but that isn't what drives behavior. In contrast, when we communicate from the inside out, we talk directly to the part of the brain that regulates our behavior, the limbic system, and once we have made our decisions, the language part of the brain allows us to rationalize those decisions.

The part of the brain that controls our feelings has no capacity for language. It is this disconnection that makes putting our feelings into words so hard. We have trouble, for example, explaining why we married the person we married. We struggle to put into words the real reasons why we

love them, so we talk around it or rationalize it. “They’re funny, they’re smart,” we start. There are lots of funny and smart people in the world, but we don’t love them, and we don’t want to marry them. There is obviously more to falling in love than just personality and competence. Rationally, we know our explanation isn’t the real reason. It is how our loved ones make us feel, but those feelings are really hard to put into words. So when pushed, we start to talk around it. We may even say things that don’t make any rational sense. “They complete me” or “They get me,” we might say, for example. What does that mean and how do you look for someone who does that so you can marry them? That’s the problem with love; we only know when we’ve found it because it “just feels right.”

The same is true for other decisions. When a decision feels right, we have a hard time explaining why we did what we did. Again, the part of the brain that controls decision-making doesn’t control language, so we rationalize. This complicates the value of polls or market research. Asking people why they chose you over another may provide wonderful evidence of how they have rationalized the decision, but it does not shed much light on the true motivation for the decision. It’s not that people don’t know, it’s that they have trouble explaining why they do what they do. Decision-making and the ability to explain those decisions exist in different parts of the brain.

We say our gut decisions just feel right. Except there is no part of the stomach that controls decision-making, it all happens in the limbic brain. It’s not an accident that we use that word “feel” to explain those decisions either. The reason gut decisions feel right is because the part of the brain that controls them also controls our feelings. Whether we defer to our gut or we’re simply following our heart, no matter which part of the body we think is driving our decisions, the reality is: it is all in our limbic brain.

Our limbic brain is powerful, powerful enough to drive behavior that sometimes contradicts our rational and analytical understanding of a situation. We often trust our gut even if the decision flies in the face of all the facts and figures. Richard Restak, a well-known neuroscientist, talks about this in his book *The Naked Brain*. When we force people to make

decisions with only the rational part of their brain, they almost invariably end up “overthinking.” These rational decisions tend to take longer to make, says Restak, and can often be of lower quality. In contrast, decisions made with the limbic brain, gut decisions, tend to be faster, higher-quality decisions. This is one of the primary reasons why teachers tell students to go with their first instinct when taking a multiple-choice test, to trust their gut. The more time spent thinking about the answer, the bigger the risk that it may be the wrong one. Our limbic brains are smart and often know the right thing to do. It is our inability to verbalize those reasons that may cause us to doubt ourselves or trust the empirical evidence when our gut tells us not to. That’s when things can get complicated.

Consider the experience of buying a new TV. We scroll through the selection of the online retailer of our choice, trying to figure out the differences. We read a bunch of the reviews of the highly rated TVs, yet we are still none the wiser as to which one is best for us. After an hour, we still have no clue. Our minds are on overload because we’re now overthinking the decision. We eventually make a choice, fill out the credit info and hit “buy”...but we’re still not 100 percent convinced we chose the right one. Then we go to a friend’s house and see that they bought the “other one.” They go on and on about how much they love their new TV. Suddenly we’re jealous, even though we still don’t know that theirs is really any better than ours. We wonder, “Did I buy the wrong one?”

Companies that fail to communicate a sense of WHY force us to make decisions with only empirical evidence. This is why those decisions take more time, feel difficult or leave us uncertain. Under these conditions, manipulative strategies that exploit our desires, fears, doubts or fantasies work very well. We’re forced to make these less-than-inspiring decisions for one simple reason—these companies don’t offer us anything else besides the facts and figures, features and benefits upon which to base our decisions. They don’t tell us WHY.

People don’t buy WHAT you do, they buy WHY you do it. A failure to communicate WHY creates nothing but stress or doubt. In contrast, many people who were drawn to buy Macintosh computers or Harley-Davidson

motorcycles, for example, didn't need to talk to anyone about which brand to choose. They felt the utmost confidence in their decision, and the only question they asked was which Mac or which Harley. At that level, the rational features and benefits, facts and figures absolutely mattered, but they didn't drive the purchase decision or foster loyalty. That decision was already made. The tangible features were simply to help direct the choice of which exact product best fit their needs. In these cases, the decisions happened in the perfect inside-out order. Those decisions started with WHY—the emotional component of the decision—and then the rational components allowed the buyer to verbalize or rationalize the reasons for their decision.

This is what we mean when we talk about “winning hearts and minds.” The heart represents the limbic, feeling part of the brain, and the mind is the rational language center. Most companies are quite adept at winning minds; all that requires is a comparison of the features and benefits. Winning hearts, however, takes more work. Given the evidence of the natural order of decision-making, I can't help but wonder if the order of the expression “hearts and minds” is a coincidence. Why does no one set out to win “minds and hearts”?

The ability to win hearts before minds is not easy. It's a delicate balance of art and science—another coincidental grammatical construction. Why is it that things are not a balance of science and art but always art before science? Perhaps it is a subtle clue our language-impaired limbic brain is sending us to help us see that the art of leading is about following our heart. Perhaps our brains are trying to tell us that WHY must come first.

Absent a WHY, a decision is harder to make. And when in doubt we look to science, to data, to help guide decisions. Companies will tell us that the reason they start with WHAT they do or HOW they do it is because that's what their customers asked for. Quality. Service. Price. Features. That's what the data reported. But for the fact that the part of the brain that controls decision-making is different from the part of the brain that is able to report back that decision, it would be a perfectly valid conclusion to give people what they ask for. Unfortunately, there is more evidence that sales

don't significantly increase and bonds of loyalty are not formed simply when companies say or do everything their customers want. Henry Ford summed it up best when he supposedly said, "If I had asked people what they wanted, they would have said a faster horse."

This is the genius of great leadership. Great leaders and great organizations are good at seeing what most of us can't see. They are good at giving us things we would never think of asking for. When the computer revolution was afoot, computer users couldn't ask for a graphical user interface. But that's what Apple gave us. In the face of expanding competition in the airline industry, most air travelers would never have thought to ask for less instead of more. But that's what Southwest did. And in the face of hard times and overwhelming odds, few leaders would have uttered the words "Ask not what your country can do for you—ask what you can do for your country," the very cause upon which John F. Kennedy introduced his presidency. Great leaders trust their gut more often. They are those who understand the art before the science. They win hearts before minds. They are the ones who understand that the best decisions are emotional. And emotions are usually hard to verbalize.

It's What We Can't See That Matters

"Gets your whites whiter and your brights brighter," said the TV commercial for the newest laundry detergent. This was the value proposition for so many years in the laundry detergent business. A perfectly legitimate claim. That's what the market research revealed customers wanted. The data was true, but the truth of what people wanted was different.

The makers of laundry detergent asked consumers what they wanted from detergent, and consumers said whiter whites and brighter brights. Not such a remarkable finding, if you think about it, that people doing laundry wanted their detergent to help get their clothes not just clean but very clean. So brands attempted to differentiate how they got whites whiter and brights brighter by trying to convince consumers that one additive was more

effective than another. Protein, said one brand. Color enhancers, said another. And so it went for many years, until finally a group of anthropologists hired by one of the packaged-goods companies revealed that all those additives weren't in fact driving behavior. They observed that when people took their washing out of the dryer, no one held it up to the light to see how white it was or compared it to newer items to see how bright it was. The first thing people did when they pulled their laundry out of the dryer was to smell it. This was an amazing discovery. *What they couldn't see was more important than what they could.* There was a presumption that all detergents get your clothes clean. That's what detergent is supposed to do. But having their clothes *smell* fresh and clean mattered much more than the nuanced differences between which detergent actually made clothes measurably cleaner.

That a false assumption swayed an entire industry to follow the wrong direction is not unique to detergents. Cell phone companies believed people wanted more options and buttons until Apple introduced its iPhone with fewer options and only one button. The German automakers believed their engineering alone mattered to American car buyers. They were stunned and perplexed when they learned that great engineering wasn't enough. One by one, the German luxury car makers begrudgingly added cup holders to their fine automobiles. It was a feature that mattered a great deal to commute-minded Americans but was rarely mentioned in any research about what factors influenced purchase decisions. I am not, for a moment, proposing that cup holders make people loyal to BMWs. All I am proposing is that even for rationally minded car buyers, there is more to decision-making than meets the eye. Literally.

The power of the limbic brain is astounding. It not only controls our gut decisions, but it can also influence us to do things that seem illogical or irrational. Leaving the safety of home to explore faraway places. Crossing oceans to see what's on the other side. Leaving a stable job to start a business out of our basement with no money in the bank. Many of us look at these decisions and say, "That's stupid, you're crazy. You could lose everything. You could get yourself killed. What are you thinking?" It is not

logic or facts but our hopes and dreams, our hearts and our guts, that drive us to try new things.

If we were all rational, there would be no small businesses, there would be no exploration, there would be very little innovation and there would be no great leaders to inspire all those things. It is the undying belief in something bigger and better that drives that kind of behavior. But the limbic brain also controls behavior born out of other emotions, like hate or fear. Why else would someone plot to hurt someone they had never met?

The amount of market research that reveals that people want to do business with the company that offers them the best-quality products with the most features and the best service, and all at a good price, is astounding. But consider the companies with the greatest loyalty—they rarely have all those things. If you wanted to buy a custom Harley-Davidson, you might have to wait six months for delivery (to give them credit, they've got it down from a year). That's bad service! Apple's computers are at least 25 percent more expensive than comparable PCs. And rationally speaking, there isn't much that they can do that a PC can't do. In fact, there are things that a PC can do that a Mac can't. If people made only rational decisions, and did all the research before making a purchase, hardly anyone would ever buy a Mac. But of course, many people do buy Macs. And some don't just buy them—they love them, a feeling that comes straight from the heart. Or the limbic brain.

We all know someone who is a die-hard Mac lover. Ask them WHY they love their Mac. They won't tell you "Well, I see myself as someone who likes to challenge the status quo, and it's important for me to surround myself with the people, products and brands that prove to the outside world who I believe I am." Biologically, that's what happened. But their purchase decision was made in the part of the brain that controls behavior not language. So they will provide a rationalization: "It's the user interface. It's the simplicity. It's the design. It's the high quality. They're the best computers. I'm a creative person." In reality, their purchase decision and their loyalty are deeply personal. They don't really care about Apple; it's all about how they see themselves.

The same can be said for the people who love to work at Apple. Even employees can't put it into words. In their case, their job is one of the WHATs to their WHY. They too are convinced it's the quality of the products alone that is behind Apple's success. But deep inside, they all love being a part of something bigger than themselves. The most loyal Apple employees, like the most loyal Apple customers, all love a good revolution. A great raise and added benefits couldn't convince a loyal Apple employee to work for Dell, and no amount of cash-back incentives and rebates could convince a loyal Mac user to switch to a PC (many are already paying double the price). This is beyond rational. This is a belief. It's no accident that the culture at Apple is often described as a cult. It's more than just products, it's a cause to support. It's a matter of faith.

Remember the Honda and the Ferrari? Products are not just symbols of what the company believes, they also serve as symbols of what the loyal buyers believe. Not too long ago, people with Apple laptops, for example, loved opening them up while sitting in an airport. They liked that everyone knew they were using a Mac. It was an emblem, a symbol of who they were. That glowing Apple logo said something about them and how they saw the world. Did anyone notice when someone popped open the lid of their Dell computer? No! Not even the people using the computer cared. Dell had a fuzzy sense of WHY, so their products and their brands didn't symbolize anything about the users. To the Dell user, their computer, no matter how fast or sleek, was not a symbol of a higher purpose, cause or belief. It was just a computer. In fact, for the longest time, the logo on the lid of a Dell computer faced the user so when they opened it, it would be upside down for everyone else (*slaps hand on forehead and rolls eyes*).

Products with a clear sense of WHY give people a way to tell the outside world who they are and what they believe. Again, people don't buy WHAT you do, they buy WHY you do it. If a company does not have a clear sense of WHY, then it is impossible for the outside world to perceive anything more than WHAT the company does. And when that happens, manipulations that rely on pushing price, features, service or quality become the primary currency of differentiation.

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CLARITY, DISCIPLINE AND CONSISTENCY

Nature abhors a vacuum. In order to promote life, Mother Nature attempts to find balance whenever possible. When life is destroyed because of a forest fire, for example, nature will introduce new life to replace it. The existence of a food chain in any ecosystem, in which each animal exists as food for another, is a way of maintaining balance. The Golden Circle, grounded in natural principles of biology, obeys the need for balance as well. When the WHY is absent, imbalance is produced and manipulations thrive. And when manipulations thrive, uncertainty increases for buyers, instability increases for sellers and stress increases for all.

Starting with WHY is just the beginning. There is still work to be done before a person or an organization has the ability to inspire. For The Golden Circle to work, each of the pieces must be in balance and in the right order.

Clarity of WHY

It all starts with clarity. We have to know WHY we do WHAT we do. People don't buy WHAT you do, they buy WHY you do it. It follows, if you

don't know WHY you do WHAT you do, how will anyone else? If the leader of the organization can't clearly articulate WHY the organization exists in terms beyond its products or services, then how do they expect the employees to know WHY to come to work? If a politician can't articulate WHY they are seeking public office beyond the standard "to serve the people" (the minimum rational standard for all politicians), then how will the voters know whom to follow? Manipulations can impact the outcome of an election, but they don't ensure we get the best leader. To lead requires those who willingly follow. It requires those who believe in something bigger than a single issue. To inspire starts with the clarity of WHY.

Discipline of HOW

Once we know WHY we do what we do, the question is HOW will we do it? HOWs are the values or principles that guide HOW to bring our cause to life. HOW we do things manifests in the systems and processes within an organization and the culture. Understanding HOW we do things and, more importantly, having the discipline to hold the organization and all its employees accountable to those guiding principles enhances our organization's ability to work to its natural strengths. Understanding HOW gives us greater ability, for example, to hire people or find partners who will naturally thrive when working with us.

Ironically, the elusive answer to this important question—WHY do you do what you do?—is actually quite simple and efficient to discover. The discipline to stay true to our cause, to hold ourselves accountable to HOW we do things, is the hardest part. To help, we remind ourselves of our values by writing them on the wall...as nouns. Integrity. Honesty. Innovation. But nouns are not actionable. They are things. We can't build systems or develop incentives around those things. It's nearly impossible to hold people accountable to nouns. "A little more innovation today, if you would please, Bob." And if you have to write "honesty" on your wall to remind you to do it, then you probably have bigger problems.

For values or guiding principles to be truly effective they have to be actions. It's not "integrity," it's "do the right thing." It's not "innovation," it's "look at the problem from a different angle." It's not "honesty," it's "tell the truth." Articulating our values as verbs gives us clearer direction on how to act in any situation. We can hold each other accountable to measure our values or even build incentives around them. Asking people to have integrity doesn't guarantee that their decisions will always keep customers' or clients' best interests in mind; telling them to always do the right thing does. I wonder what values Fabletics had written on the wall when they developed their sales model and designed their website.

The Golden Circle offers an explanation for long-term success, but the inherent nature of doing things for the long term also includes making short-term decisions. This is the reason it matters so much to stay focused on the WHY and to act in ways consistent with our values. The WHY serves as a compass for the long journey and the HOW guides the route we choose, the steps we have to take, along the way.

Consistency of WHAT

A WHY is a belief. It lives in our imagination. HOWs are the actions we take to realize that belief. But we live in the tangible world. Everything we say and everything we do has to prove what we believe. WHATs are the tangible results of our actions: our products, services, marketing, PR, culture and whom we hire, everything people can see. If people don't buy WHAT you do but WHY you do it, then all these things must be consistent. The only way people will know what we believe is by the things we say and do, and if we're not consistent in the things we say and do, no one will know what we believe.

It is at the WHAT level that authenticity happens. "Authenticity" is that word so often bandied about in the corporate and political worlds. Everyone talks about the importance of being authentic. "You must be *authentic*," experts say. "All the trend data shows that people prefer to do business with *authentic* brands." "People vote for the *authentic* candidate." "That

marketing piece you're working on," a CEO might instruct, "please make it a little more authentic." The problem is, that instruction is totally unactionable.

So what do companies do to be authentic?

The common solution is hilarious to me. They go out and do customer research and they ask the customers, what would we have to tell you for us to be authentic? This entirely misses the point. You can't ask others what you have to do to be authentic. Being authentic means that you already know who you are and what you stand for. What does a politician say when told to be "more authentic"? How does a leader act more "authentically"? Without a clear understanding of WHY, the instruction is completely useless.

What authenticity means is that our Golden Circle is in balance. It means that everything we say and everything we do we *actually* believe. This goes for management as well as employees. Only when that happens can the things we say and do be viewed as authentic. Apple believed that its original Apple computer and its Macintosh challenged the dominant IBM DOS platforms. Apple believed that its iPod and iTunes products were challenging the status quo in the music industry. And we all understood WHY Apple did what it did. It was because of that mutual understanding that we viewed those Apple products as authentic. Dell introduced MP3 players in an attempt to enter the small electronics business. We didn't know what Dell's WHY was. We had no certainty about what the company believed or WHY it produced those products beyond self-gain and a desire to capitalize on a new market segment. Those products were not authentic. It's not that Dell couldn't enter other markets—it certainly had the knowledge and ability to make good products—but its ability to do so without a clear understanding of WHY made it much harder and much more expensive. Just producing high-quality products and marketing them does not guarantee success. Authenticity cannot be achieved without clarity of WHY. And authenticity matters.

Ask the best salesperson what it takes to be a great salesperson. They will always tell you that it helps when you really believe in the product

you're selling. What does *belief* have to do with a sales job? Simple. When salespeople actually believe in the things they are selling, the words that come out of their mouths are authentic. When belief enters the equation, passion exudes. It is this authenticity that produces the relationships upon which all the best sales organizations are based. Relationships also build trust. And with trust comes loyalty. Without a balanced Golden Circle, there is no authenticity, which means no strong relationships, which means no trust. And you're back at square one selling on price, service, quality or features. You are back to being like everyone else. Worse, without that authenticity, companies are more likely to resort to manipulation: pricing, promotions, social pressure, fear, take your pick.

The Right Order

After we have clarity of WHY, are disciplined and accountable to our own values and guiding principles, and are consistent in all we say and do, the final step is to keep it all in the right order. Just as with that little Apple marketing example I used earlier, simply changing the order of the information, starting with WHY, changes the impact of the message. The WHATs are important—they provide the tangible proof of the WHY—but WHY must come first. The WHY provides the context for everything else. As you will see over and over in all the cases and examples in this book, whether in leadership, decision-making or communication, starting with WHY has a profound and long-lasting impact on the result. Starting with WHY is what inspires people to act. Only when all the pieces are in place, when we are clear about our WHY, disciplined in HOW we bring it to life and consistent in WHAT we do, then and only then, will people know who we are and what we stand for. Only then can we inspire people to act.

If You Don't Know WHY, You Can't Know HOW

Rollin King, a San Antonio businessman, hatched the idea to take what Pacific Southwest was doing in California and bring it to Texas—to start an

airline that flew short-haul flights between Dallas, Houston and San Antonio. He had recently gone through a long and messy divorce and turned to the one man he trusted to help him get his idea off the ground: his Wild Turkey–drinking, chain-smoking divorce lawyer, Herb Kelleher.

In nearly every way, King and Kelleher were opposites. King, a numbers guy, was notoriously gruff and awkward, while Kelleher was gregarious and likable. At first Kelleher called King’s idea a dumb one, but by the end of the evening King had successfully inspired his friend with his vision. Kelleher had even agreed to consider coming on board. It would take four years, however, before Southwest Airlines would make its first flight from Dallas’s Love Field to Houston.

Southwest did not invent the concept of a low-cost airline. Pacific Southwest Airlines pioneered the industry—Southwest even copied their name. Southwest had no first mover’s advantage—Braniff International Airways, Texas International Airlines and Continental Airlines were already serving the Texas market, and none was eager to give up any ground. But Southwest was not built to be an airline. It was built to champion a cause. They just happened to use an airline to do it.

In the early 1970s, only 15 percent of the traveling population traveled by air. At that rate, the market was small enough to scare off most would-be competitors to the big airlines. But Southwest wasn’t interested in competing against everyone else for 15 percent of the traveling population. Southwest cared about the other 85 percent. Back then, if you asked Southwest whom their competition was, they would have told you, “We compete against the car and the bus.” But what they meant was, “We’re the champion for the common man.” That was WHY they started the airline. That was their cause, their purpose, their reason for existing. HOW they went about building their company was not a strategy developed by a high-priced management consultancy. It wasn’t a collection of best practices that they saw other companies doing. Their guiding principles and values stemmed directly from their WHY and were more common sense than anything else.

In the 1970s, air travel was expensive, and if Southwest was going to be the champion for the common man, they had to be cheap. It was an imperative. And in a day and age when air travel was elitist—back then people wore ties on planes—Southwest, as the champion for the common man, had to be fun. It was an imperative. In a time when air travel was complicated, with different prices depending on when you booked, Southwest had to be simple. If they were to be accessible to the other 85 percent, then simplicity was an imperative. At the time, Southwest had two price categories: nights/weekends and daytime. That was it.

Cheap, fun and simple. That's HOW they did it. That's how they were able to champion the cause of the common man. The result of their actions was made tangible in the things they said and did—their product, the people they hired, their culture and their marketing. “You are now free to move about the country,” they said in their advertising. That was much more than a tagline. That was a cause. And it was a cause looking for followers. Those who could relate to Southwest, those who saw themselves as average Joes and average Janes, now had an alternative to the big airlines. And those who believed what Southwest believed became fiercely loyal to the company. They felt Southwest was a company that spoke directly to them and directly for them. More importantly, they felt that flying Southwest said something about who they were as people. The loyalty that developed with their customers had nothing to do with price. Price was simply one of the ways the airline brought their cause to life.

Howard Putnam, one of the former presidents of Southwest, liked to tell a story of a senior executive of a large company who approached him after an event. The executive said he always flew one of the big airlines when he traveled on business. He had to, it was a company mandate. And although he had accumulated many frequent flier miles on the other airline and money was no object, when he flew for himself or with his family, he always flew Southwest. “He loves Southwest,” Putnam said with a grin when he told the story. Just because Southwest is cheap didn't mean it only appealed to those with less money. Cheap was just one of the things Southwest did that helped us understand what they believed.

What Southwest has achieved is the stuff of business folklore. With clarity, discipline and consistency, they became one of, if not the most, profitable airlines in history. They made a profit after September 11 and during the oil crises of the 1970s and early 2000s. It wasn't until COVID that they suffered their first loss ever. Everything Southwest says and does is authentic. Everything about them reflects the original cause King and Kelleher set out to champion decades earlier. And it has never veered.

Fast-forward about thirty years after Southwest was founded. United Airlines and Delta Air Lines looked at their success and decided they needed a low-cost product to compete and share in all that success. "We got to get us one of those," they thought. In April 2003, Delta launched a low-cost alternative, called Song. And less than a year later United launched Ted. In both cases, they copied HOW Southwest did it. Both Ted and Song were cheap, they were fun and they were simple. And both failed.

United and Delta were both old hands in the airline business and were every bit as qualified to add whatever products they wanted to adapt to market conditions or seize opportunities. They may have even been better than Southwest. But it didn't matter. The problem was not with WHAT they did, the problem was no one knew WHY Song or Ted existed. Sure, people flew them, but there are always reasons people do business with you that have nothing to do with you. That people can be motivated to use your product is not the issue; the problem was that too few were loyal to the brands. Without a sense of WHY, Song and Ted were just another couple of airlines. Without a clear sense of WHY, all that people had to judge them on was price or convenience. They were commodities that had to rely on manipulations to build their expensive proposition. United and Delta both abandoned their entry into the low-cost airline business just four years after they each introduced their products.

It is a false assumption that differentiation happens in HOW and WHAT you do. Simply offering a high-quality product with more features or better service or a better price does not create difference. Doing so guarantees no success. Differentiation happens in WHY and HOW you do it. Southwest isn't the best airline in the world. Nor are they always the cheapest. They

have fewer routes than many of their competitors and fly to only a handful of relatively nearby destinations outside the continental United States. WHAT they do is not always significantly better. But WHY they do it is crystal clear and everything they do proves it. There are many ways to motivate people to do things, but loyalty comes from the ability to inspire people. Only when the WHY is clear, and when people believe what we believe, can a true, loyal relationship develop.

Manipulation and Inspiration Are Similar, but Not the Same

Manipulation and inspiration both tickle the limbic brain. Aspirational messages, fear or social pressure all push us to decide one way or another by appealing to our irrational desires or playing on our fears. But it's when that emotional feeling is something bigger than any insecurity, uncertainty or dream that our behavior is more likely to align with who we really are versus who we are trying to be (or not to be). It is at that point that behavior moves from being motivated to inspired. When we are inspired, the decisions we make have more to do with who we are and less to do with the companies we buy from or the products we're buying.

When our decisions *feel* right, we're willing to pay a premium or suffer an inconvenience for those products or services. This has nothing to do with the rational price or quality. It is those visceral limbic feelings that create loyalty. And it is that loyalty that gives Apple or Harley-Davidson or Southwest Airlines or Martin Luther King Jr. or any other great leader who commands a following such a huge advantage. Loyalty and real emotional value exist in the brain of the buyer, not the seller.

It's hard to make a case to someone that your products or services are important in their lives based on external rational factors that *you* have defined as valuable (remember the Ferrari versus the Honda). However, if your WHY and our WHY correspond, then we will see your products and services as tangible ways to prove what *we* believe. When WHY, HOW and WHAT are in balance, authenticity is achieved and we feel fulfilled. When

they are out of balance, stress or uncertainty exists. And when that happens, the decisions we make will also be out of balance. Without WHY, we are more easily motivated by aspiration or fear. At that point, it is we, the buyers, who are at the greatest risk of ending up being inauthentic. If we buy something that doesn't clearly embody our own sense of WHY, then those around us have little evidence to paint a clear and accurate picture of who we are.

The human animal is a social animal. We're very good at sensing subtleties in behavior and judging people accordingly. Our survival depends on it. We get good feelings and bad feelings about people. There are some people we feel we can trust and others we feel we can't. And we adjust our behavior accordingly. We judge different people differently, depending on our values and beliefs. We are more likely to like the friends of our friends than we are to like the friends of someone we don't like or trust. Those same instincts help us judge organizations too.

This is the value of The Golden Circle. It is a communications tool to help companies talk to us on a level that appeals to us as individuals rather than as abstract consumers. An online video may have 100,000 unique views, for example, but that number represents 100,000 individual human beings. And each of those human beings share the exact same biology that controls decision-making. Because the levels of The Golden Circle overlap with our biology, if we work to ensure clarity and discipline consistently in our messages, speeches, marketing, pitches, campaigns and PowerPoint presentations, then they are more likely to connect *biologically* with all those individuals who believe what we believe. Put more simply, if the levels of The Golden Circle are in balance, just as we are more likely to trust a friend of a friend, those who share the organization's view of the world are more likely to be drawn to the brand, sometimes like moths to a light bulb.

Doing Business Is Like Dating

I'd like to introduce you to our imaginary friend Brad. Brad is looking for a relationship. Good news, he has a date tonight. It's a first date and he's pretty excited. He thinks the woman he's about to meet is really beautiful, he's heard good things about her and he thinks there is potential. Brad sits down for dinner and he starts talking.

"I am extremely rich."

"I have a big house and I drive a beautiful car."

"I know lots of famous people."

"I'm on TV all the time, which is good because I'm good-looking."

"I've actually done pretty well for myself."

The question is, does Brad get a second date?

The way we communicate and the way we behave are all a matter of biology. That means we can make some comparisons between the things we do in our social lives and the things we do in our professional lives. After all, people are people. To learn how to apply WHY to a business situation, we needn't look much further than how we act on a date. Because, in reality, there is no difference between sales and dating. In both circumstances, we sit across a table from someone and hope to say enough of the right things to at least get a second date. Of course, we could always opt for a manipulation or two, a fancy dinner, dropping hints of tickets that we have or whom we know. Depending on how badly we want to close the deal, we could tell them anything they want to hear. Anything to close the deal. This may work once. Maybe twice. With time, however, maintaining that relationship will cost more and more. No matter the manipulations we choose, this is not the way to build a trusting relationship.

In Brad's case, it is obvious that the date did not go well. The odds are not good that he will get a second date, and he's certainly not done a good job of laying down the foundation to build a relationship. Ironically, the woman's initial interest may have been generated based on the more

superficial stuff. She agreed to go on the date because her friends told her that Brad was good-looking and that he had a good job and that he knew a lot of famous people. That list works like any other aspirational message. It appeals to someone's vision of the life they'd like to have. It is a manipulation (not necessarily a bad one) that motivated a transaction—show up for a first date. Even if all those things are true, they do not form the basis for a relationship. They are WHATs and should rather be used as proof of WHY. Because Brad started with WHAT, the date plainly fell flat.

Let's send Brad out again, but this time he's going to start with WHY.

"I love what I do," he starts this time. "I get to wake up every day to inspire people to do the things that inspire them. It's the most wonderful thing in the world. In fact, the best part is trying to figure out all the different ways I can do that. It really is amazing. And believe it or not, I've actually been able to make a lot of money from it. I bought a big house and a nice car. I get to meet lots of famous people and I get to be on TV all the time, which is fun. I'm very lucky that I'm doing something that I love, and I've actually been able to do pretty well because of it."

This time the chances Brad will get a second date, assuming that whoever is sitting across from him believes what he believes, went up exponentially. More importantly, he's also laying a good foundation for a relationship, one based on values and beliefs. He said all the same things as on the first date; the only difference is he started with WHY, and all the WHATs, all the tangible benefits, served as proof of that WHY.

Now consider how most companies do business. Someone sits down across a table from you, they've heard you're a good prospect, and they start talking.

"Our company is extremely successful."

"We have beautiful offices, you should stop by and check them out sometime."

"We do business with all the biggest companies and brands."

"I'm sure you've seen our advertising."

"We're actually doing pretty well."

In business, as on a bad date, many companies work hard to prove their value without saying WHY they exist in the first place. We will have to do more than show our résumé before someone finds us appealing. But that is exactly what companies do. They provide us with a long list of their experience—WHAT they've done, whom they know—all with the idea that we will find them so desirable that we will drop everything to do business with them.

People are people, and the biology of decision-making is the same no matter whether it is a personal decision or a business decision. It's obvious that in the dating scenario it was a bad date, so why would we expect it to be any different in the business scenario?

Like on a date, it is exceedingly difficult to start building a trusting relationship with a potential customer or client by trying to convince them of all the rational features and benefits. Those things are important, but they serve only to give credibility to a sales pitch and allow buyers to rationalize their purchase decision. As with all decisions, people don't buy WHAT you do, they buy WHY you do it, and WHAT you do serves as the tangible proof of WHY you do it. But unless you start with WHY, all people have to go on are the rational benefits. And chances are you won't get a second date.

Here's the alternative:

"You know what I love about our company? Every single one of us comes to work every day to do something we love. We get to inspire people to do the things that inspire them. It's the most wonderful thing in the world. In fact, the fun part is trying to figure out all the different ways we can do that. It really is amazing. The best part is, it is also good for business. We have done really well. We have beautiful offices, you should stop by sometime to see. We work with some of the biggest companies. I'm sure you've seen our ads. I'm really proud of all our success."

Now, how certain are you that the second pitch was better than the first?

Three Degrees of Certainty

When we can only provide a rational basis for a decision, when we can only point to tangible elements or rational measurements, the highest level of confidence we can give is “I *think* this is the right decision.” That would be biologically accurate because we’re activating the neocortex, the “thinking” part of our brain. At a neocortical level we can verbalize our thoughts. This is what’s happening when we spend all that time sifting through the pros and cons, listening to all the differences between one product or another, when we’re reading all the reviews.

When we make gut decisions, the highest level of confidence we can offer is “The decision *feels* right,” even if it flies in the face of all the facts and figures. Again, this is biologically accurate, because gut decisions happen in the part of the brain that controls our emotions and decision-making, not language. Ask the most successful entrepreneurs and leaders what their secret is and invariably most say the same thing: “I trust my gut.” The times things went wrong, they will tell you, “I listened to what others were telling me, even though it didn’t feel right. I should have trusted my gut.” It’s a good strategy, except it’s not scalable. The gut decision can only be made by a single person. It’s a perfectly good strategy for an individual or a small organization, but what happens when success necessitates that more people be able to make decisions that *feel* right?

That’s when the power of WHY can be fully realized. The ability to put a WHY into words provides the emotional context for decisions. It offers greater confidence than “I think it’s right.” It’s more scalable than “I feel it’s right.” When we know our WHY, the highest level of confidence we can offer is “I *know* it’s right.” When we *know* the decision is right, not only does it feel right, but we can also rationalize it and easily put it into words. The decision is fully balanced. The rational WHATs offer proof for the feeling of WHY. If we can verbalize the feeling that drove the gut decision, if we can clearly state our WHY, we’ll provide a clear context for those around us to understand why that decision was made. If the decision is consistent with the facts and figures, then those facts and figures serve to

reinforce the decision—this is balance. And if the decision flies in the face of all the facts and figures, then it will highlight the other factors that need to be considered. Starting with WHY can turn a controversial decision from a debate into a discussion.

My former business partner, for example, would get upset when I turned away business. I would tell him that a potential client didn't "feel" right. That would frustrate him to no end because "The client's money was as good as everyone else's," he would tell me. He couldn't understand the reason for my decision, and worse, I couldn't explain it. It was just a feeling I had. In contrast, these days I can easily explain WHY I'm in business—to inspire people to do the things that inspire them. If I were to make the same decision now for the same gut reason, there is no debate because everyone is clear WHY the decision was made. We turn away business because those potential clients don't believe what we believe and they are not interested in anything to do with inspiring their people or their customers or clients. With a clear sense of WHY, a debate to take on a bad-fit client turns into a discussion about whether the imbalance is worth the short-term gain they may give us.

The goal of business should not be to do business with anyone who simply wants what you have. It should be to focus on the people who believe what you believe. When we are selective about doing business only with those who believe in our WHY, trust emerges.

PART 3

LEADERS NEED A FOLLOWING

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6

THE EMERGENCE OF TRUST

To say that most of the company's employees were embarrassed to work there was an understatement. It was no secret that the employees felt mistreated. And if a company mistreats their people, just watch how the employees treat their customers. Mud rolls down a hill, and if you're the one standing at the bottom, you get hit with the full brunt. In a company, that's usually the customer. Throughout the 1980s, this was life at Continental Airlines—the worst airline in the industry.

"I could see Continental's biggest problem the second I walked in the door in February of 1994," Gordon Bethune wrote in *From Worst to First*, the CEO's firsthand account of Continental's turnaround. "It was a crummy place to work." Employees were "surly to customers, surly to each other, and ashamed of their company. And you can't have a good product without people who like coming to work. It just can't be done," he recounts.

Herb Kelleher, who led Southwest for twenty years, was considered a heretic for positing the notion that it is a company's responsibility to look after the employees first. Happy employees ensure happy customers, he said. And happy customers ensure happy shareholders—in that order. Fortunately, Bethune shared this heretical belief.

Some would argue that the reason Continental's culture was so poisonous was that the company was struggling. Bethune's predecessors would tell you that it's hard for executives to focus on anything other than survival when a company is facing hard times. "Once we get profitable again," the logic went, "then we will take a look at everything else." And without a doubt, throughout the 1980s and early 1990s, Continental struggled. The company filed for Chapter 11 bankruptcy protection twice in eight years—once in 1983 and again in 1991—and managed to go through ten CEOs in a decade. In 1994, the year Bethune took over as the newest CEO, the company had lost \$600 million and ranked last in every measurable performance category.

But all that didn't last long once Bethune arrived. The very next year Continental made \$250 million and was soon ranked as one of the best companies to work for in America. And while Bethune made significant changes to improve the operations, the greatest gains were in a performance category that is nearly impossible to measure: trust.

Trust does not emerge simply because a seller makes a rational case why the customer should buy a product or service, or because an executive promises change. Trust is not a checklist. Simply fulfilling all your responsibilities does not create trust. Trust is a feeling, not a rational experience. We trust some people and companies even when things go wrong, and we don't trust others even though everything might have gone exactly as it should have. Trust begins to emerge when we have a sense that another person or organization is driven by things other than their own self-gain.

With trust comes a sense of value—real value, not just value equated with money. Value, by definition, is the transference of trust. We can't convince someone we have value, just as we can't convince someone to trust us. We have to earn trust by communicating and demonstrating that we share the same values and beliefs. We have to talk about our WHY and prove it with WHAT we do. Again, a WHY is just a belief, HOWs are the actions we take to realize that belief and WHATs are the tangible results of

those actions. When all three are in balance, trust is built and value is perceived. This is what Bethune was able to do.

There are many talented executives with the ability to manage operations, but great leadership is not based solely on great operational ability. Leading is not the same as being a leader. Being a leader means you hold the highest rank, either by earning it, having good fortune or navigating internal politics. Leading, however, means that others willingly follow you—not because they have to, not because they are paid to, but because they want to. Frank Lorenzo, the CEO before Bethune, may have been the leader of Continental, but Gordon Bethune knew how to lead the people. Those who lead are able to do so because those who follow trust that the decisions made at the top have the best interest of the group at heart. In turn, those who trust work hard because they feel like they are working for something bigger than themselves.

Prior to Bethune's arrival, the twentieth floor of the company's headquarters, the executive floor, was off-limits to most people. The executive suites were locked. Only those with a rank of senior vice president or higher were permitted to visit. Key cards were required to get onto the floor, security cameras were ubiquitous and armed guards roamed the halls to eliminate any doubt that the security was no joke. Clearly, the company suffered from trust issues. One story handed down was that Frank Lorenzo would not even drink a soda on a Continental plane if he didn't open the can himself. He didn't trust anyone, so it is no great leap of logic that no one trusted him. It's hard to lead when those you are supposed to be leading are not inclined to follow.

Bethune was very different. He understood that, beyond the structure and systems, a company is nothing more than a collection of people. "You don't lie to your own doctor," he's said, "and you can't lie to your own employees." Bethune set out to change the culture by giving everyone something they could believe in. And what, specifically, did he give them to believe in that could turn the worst airline in the industry into the best airline in the industry, with all the same people and all the same equipment?

In college I had a roommate named Howard Jeruchimowitz. Now an attorney in Chicago, Howard learned from an early age about a very simple human desire. Growing up in the suburbs of New York City, he played outfield on the worst team in Little League. They lost nearly every game they played—and not by small margins either; they were regularly annihilated. Their coach was a good man and wanted to instill a positive attitude in the young athletes. After one of their more embarrassing losses, the coach pulled the team together and reminded them, “It doesn’t matter who wins or loses, what matters is how you play the game.” It was at this point that young Howard raised his hand and asked, “Then why do we keep score?”

Even as a child, Howard understood the very human desire to win. No one likes to lose, and most people would like to feel like a winner. The only variations are the scores we use for the various games we play. For some it’s money, for others it’s fame or awards. For some it’s power, love, a family or spiritual fulfillment. The metric is relative, but the desire is the same. A billionaire doesn’t need to work. Money becomes a way to keep score—a relative account of how things are going for them versus how it’s going for others. Even a billionaire who loses millions due to poor decisions can get depressed. Although the money may have zero impact on their lifestyle, no one likes to lose.

The drive to win is not, per se, a bad thing. Problems arise, however, when the metric becomes the only measure of success, when the WHAT is no longer connected to the WHY. That was the problem with most, if not all, of the CEOs who preceded Bethune. They wanted to win—to be profitable, make lots of money and be celebrated as heroes. The problem was, that was the only thing that was motivating them. Bethune also wanted to win, but what inspired him was something bigger. He defined winning as creating a place where people loved coming to work. If he could do that, the performance metrics would follow. Those metrics would become the tangible proof he needed to demonstrate he had turned around the culture. And most of the employees decided to stick around to find out if he could

do it. Bethune wanted to keep those who believed what he believed...which was not everyone.

One executive, for example, had an entire flight held because he was running late. He was asked to leave, as were thirty-nine more of the top sixty executives who didn't buy into Bethune's vision. No matter how experienced they were or what they brought to the table, they were asked to leave if they weren't team players and weren't able to adapt to the new culture that Bethune was trying to build. There was no room for those who didn't believe in the new Continental.

Bethune knew that building a team to go out and win meant more than giving a few rah-rah speeches or offering bonuses for the top brass if they hit certain revenue targets. He knew that if he wanted to build a real lasting success, people had to want to win not for him, not for the shareholders and not even for the customer. For the success to last, the employees of Continental had to want to win for themselves.

Everything Bethune talked about was in terms of how it benefited the employees. Instead of telling crews to help keep the planes clean for customers, he pointed out something more obvious. Passengers left the plane after their flight, but many of the flight attendants had to stay on for at least one more trip, if not more. The plane is your office, he told them. It's the place you work. It's nicer to come to work in a clean environment.

Bethune also got rid of all the security on the twentieth floor. He instituted an open-door policy and made himself incredibly accessible. It was common for him to show up and sling bags with some of the baggage handlers at the airport. From now on, this was a team and everyone had to work together.

Bethune focused on the things he knew to be important, and to an airline one of the most important things is to get the planes running on time. In the early 1990s, before Bethune arrived, Continental had the lowest on-time rating of the nation's ten largest airlines. So Bethune told employees that each month that Continental's on-time percentage ranked in the top five, every employee would receive a check for sixty-five dollars. When you consider that Continental had 40,000 employees in 1995, every on-time

month would cost the airline a whopping \$2.5 million. But Bethune knew he was getting a deal: Being chronically late cost a lot more than \$2.5 million. It cost \$5 million a month in additional expenses, like having to put up passengers overnight in a hotel. Most important to Bethune, however, was what the bonus program did for the company culture: it got tens of thousands of employees, including managers, all pointed in the same direction for the first time in years.

Gone were the days when only the brass would enjoy the benefits of success. Everyone got their sixty-five dollar check when the airline did well, and no one got it when the airline missed its targets. Bethune even insisted that a separate check be sent out. It wasn't just added to their salary. He wanted this check to feel different. He wanted it to serve as a symbol, a tangible recognition for their additional effort. On every check there was a message to remind them of WHY they came to work: "Thank you for helping make Continental one of the best."

"We measured things the employees could truly control," Bethune said. "We made the stakes something the employees would win or lose on together, not separately."

Everything they did made people feel like they were in it together. And they were.

The Only Difference Between You and a Caveman Is the Car You Drive

The reason the human race has been so successful is not because we're the strongest animals—far from it. Size and might alone do not guarantee success. We've succeeded as a species because of our ability to form cultures. Cultures are groups of people who come together around a common set of values and beliefs. When we share values and beliefs with others, we form trust. Trust allows us to rely on others to help protect our children and ensure our personal survival. The ability to leave the den to hunt or explore, with confidence that the community will protect our family

and our stuff until we return, is one of the most important factors in our survival as individuals and the advancement of our species.

That we trust people with common values and beliefs is not, in itself, a profound assertion. There is a reason we're not friends with everyone we meet. We're friends with people who see the world the way we see it, who share our views and our belief set. No matter how good a match someone looks on paper, that doesn't guarantee a friendship. We can think of it on a macro-scale also. The world is filled with different cultures. Being American is not better than being French. They are just different cultures—not better or worse, just different. American culture strongly values ideals of entrepreneurship, independence and self-reliance. We call our WHY the American Dream. French culture strongly values ideals of unified identity, group reliance and *joie de vivre*. (Notice that we use the French word to describe the joy-of-life lifestyle. Coincidence? Perhaps.) Some people feel like they “belong” in French culture and some people feel like they “belong” in American culture. It is not a matter of better or worse, they are just different.

Most people who are born and raised in one culture will, for obvious reasons, end up feeling like the culture is a reasonably good fit for them, but not always. There are people who grew up in France who never quite felt like they belonged; they were misfits in their own culture. So they moved, maybe to America. Drawn to the feelings they had for America's WHY, they followed the American Dream and emigrated.

It is always said that America is fueled in large part by immigrants. But it is completely false that all immigrants make productive members of a society. It's not true that all immigrants have an entrepreneurial spirit—just the ones that are viscerally drawn to America. That's what a WHY does. When it is clearly understood, it attracts people who believe the same thing. And assuming they are good fits for what Americans believe and how they do things, those immigrants will say of America, “I love it here,” or “I love this country.” This visceral reaction has less to do with America and more to do with them. It's how they feel about their own opportunity and their own

ability to thrive in a culture in which they feel like they belong versus the one they came from.

And within the big WHY that is America, it breaks down even further. Some people are better fits in New York City and some are better fits in Bozeman, Montana. One culture is not better or worse than the other, they are just different. Many people dream of moving to New York, for example, attracted to the glamour or the perception of opportunity. They arrive with aspirations of making it big, but they fail to consider whether they will fit into the culture before they make their move. Some make it. But so many don't. Over and over, I've seen people come to New York with big hopes and dreams, only to struggle with the intensity that seems to permeate all facets of New York City life. They are not dumb or bad or poor workers. It just isn't right for them. They either stay in New York and suffer the stress while hating their jobs and their lives, or they move. If they move to a city that suits them better—Denver or Nashville or somewhere else—they often end up much happier and more successful. New York is not rationally better than other cities, it's just not right for everyone. Like all cities, it's only right for those who are good fits.

The same can be said for any place that has a strong culture or recognizable personality. We do better in cultures in which we feel like we belong. We do better in places that reflect our own values and beliefs.

Now consider what a company is. A company is a culture. A group of people brought together around a common set of values and beliefs. It's not products or services that bind a company together. It's not size and might that make a company strong, it's the culture—the strong sense of beliefs and values that everyone, from the CEO to the receptionist, all share. So the logic follows, the goal is not to hire people who simply have a skill set you need, the goal is to hire people who, first, believe what you believe. The goal is not to take a job simply because one company pays you more than another, the goal is to work in a culture that, first, believes what you believe.

Finding the People Who Believe What You Believe

Early in the twentieth century, the English adventurer Ernest Shackleton set out to explore the Antarctic. Roald Amundsen, a Norwegian, had only just become the first explorer ever to reach the South Pole, leaving one remaining conquest: the crossing of the continent via the southernmost tip of the earth. “The unknown fields in the world which are still unconquered are narrowing down, but there still remains this great work,” Shackleton was quoted in *The Lowell Sun* on January 26, 1914. “The crossing of the south polar continent will be the biggest polar journey ever attempted.”

The crew would start the land part of the expedition at the frigid Weddell Sea, below South America, and travel 1,700 miles across the pole to the Ross Sea, below New Zealand. The cost, Shackleton estimated at the time, would be about \$250,000.

On December 5, 1914, Shackleton and a crew of twenty-seven men set out for the Weddell Sea on the *Endurance*, a 350-ton ship that had been constructed with funds from private donors, the British government and the Royal Geographical Society. By then, World War I was raging in Europe, and money was growing more scarce. Donations from English schoolchildren paid for the dog teams.

But the crew of the *Endurance* would never reach the continent of Antarctica.

Just a few days out of South Georgia Island in the southern Atlantic, the ship encountered mile after mile of pack ice and was soon trapped, as winter moved in early and with fury. Ice closed in around the ship “like an almond in a piece of toffee,” a crew member wrote. Shackleton and his crew were stranded in the Antarctic for ten months as the *Endurance* drifted slowly north, until the pressure of the ice floes finally crushed the ship. On November 21, 1915, the crew watched as it sank in the frigid waters of the Weddell Sea.

Stranded on the ice, the crew of the *Endurance* boarded their three lifeboats and landed on tiny Elephant Island. There Shackleton left behind

all but five of his men and embarked on a hazardous journey across eight hundred miles of rough seas to find help. Which, eventually, they did.

What makes the story of the *Endurance* so remarkable, however, is not the expedition, it's that throughout the whole ordeal no one died. There were no stories of people eating others and no mutiny.

This was not luck. This was because Shackleton hired good fits. He found the right men for the job. When you fill an organization with good fits, those who believe what you believe, people rise to the challenges before them. And how did Shackleton find this amazing crew? Legend has it, with a simple ad in the London *Times*.

Like Shackleton, we post want ads too. Whether we post on LinkedIn or some other job site, or hire a recruiter, the process is largely the same. We provide a list of qualifications for the job and expect that the best candidate will be the one who meets those requirements.

The issue is how we write those ads. They are all about WHAT and rarely about WHY. A want ad might say, for example, "Account executive needed, minimum five years' experience, must have working knowledge of industry. Come work for a fantastic, fast-growing company with great pay and great benefits." The ad may produce loads of applicants, but how do we know which is the right fit, someone who will contribute to the strength of the culture?

Shackleton's ad for crew members was different. His did not say WHAT he was looking for. His ad did not say: "Men needed for expedition. Minimum five years' experience. Must know how to hoist mainsail. Come work for a fantastic captain."

Rather, Shackleton was looking for those with something more. He was looking for a crew that belonged on such an expedition. His ad ran like this: "Men wanted for Hazardous journey. Small wages, bitter cold, long months of complete darkness, constant danger, safe return doubtful. Honour and recognition in case of success."

The only people who were viscerally drawn to the job were those who read the ad and thought it sounded great. They loved insurmountable odds. They were survivors. Shackleton only hired people who believed what he

believed. If any group could beat the odds, it was this crew. When employees belong, they dramatically increase the chance of success. And they won't be working hard and looking for innovative solutions for you, they will be doing it for themselves and each other.

What all great leaders have in common is the ability to find good fits to join their organizations—those who believe what they believe. Southwest Airlines is a great example of a company with a knack for hiring people who will contribute to their culture. Their ability to find people who embody their cause makes it much easier for them to provide great service. As Herb Kelleher famously said, “You don't hire for skills, you hire for attitude. You can always teach skills.” This is all fine and good; the problem is, which attitude? What if their attitude is not one that fits your culture?

I love asking companies whom they like to hire, and one of the most common answers I am given is “We hire only passionate people.” But how do you know if someone is passionate for interviewing, but not so passionate for working? The truth is, almost every person on the planet is passionate, we are just not all passionate about the same things. Starting with WHY when hiring dramatically increases our ability to attract those who are passionate for what we believe. Simply hiring people with a solid résumé or great work ethic does not guarantee success. The best engineer at Amazon, for example, would likely be miserable if they worked at Intel. Likewise, the best engineer at Intel would probably not thrive at Amazon. Both are highly experienced and work hard. Both may come highly recommended. However, each engineer does not fit the culture of the other's company. The goal is to hire those who are passionate for your WHY, your purpose, cause or belief, and who have the attitude that fits your culture. Once that is established, only then should their skill set and experience be evaluated. Shackleton could have had the most experienced crew money could buy, but if they weren't able to connect on a level much deeper than their ability, their chance of survival would have been dramatically reduced.

For years, Southwest didn't have a complaints department—they didn't need one. Though Kelleher rightly talked about the need to hire for attitude,

the airline in fact deserves more credit for hiring the good fits who were responsible for providing great service. Kelleher was not the only one making the hiring decisions, and asking everyone to simply trust their gut would have been too risky. Their genius came from figuring out why some people were such good fits and then developing systems to find more of them.

In the 1970s, Southwest Airlines decided to put their flight attendants in hot pants and go-go boots as part of their uniforms (hey, it was the 1970s). It wasn't their idea: Pacific Southwest, the California-based airline after which Southwest modeled itself, did it first, and Southwest simply copied them. Unlike Pacific Southwest, however, Southwest figured out something that would prove invaluable. They realized that when they recruited flight attendants, a huge number who applied for the job were cheerleaders and majorettes. That's probably because they didn't mind wearing the new uniforms. Cheerleaders and majorettes, however, fit in perfectly at Southwest. They didn't just have a great attitude, their whole disposition was about cheering people on. Spreading optimism. Leading crowds with "Let's go, team!" They were perfect fits at a company that was the champion of the common man. After they realized this, Southwest started to specifically recruit only cheerleaders and majorettes.

Great companies don't hire skilled people and motivate them, they hire already motivated people and inspire them. People are either motivated or they are not. Unless we give motivated people something to believe in, something bigger than their job to work toward, they will motivate themselves to find a new job and we'll be stuck with whoever's left.

Give 'Em a Cathedral

Consider the story of two stonemasons. You walk up to the first stonemason and ask, "Do you like your job?" He looks up at you and replies, "I've been building this wall for as long as I can remember. The work is monotonous. I work in the scorching hot sun all day. The stones are heavy and lifting them day after day can be backbreaking. I'm not even sure if this project will be

completed in my lifetime. But it's a job. It pays the bills." You thank him for his time and walk on.

About thirty feet away, you walk up to a second stonemason. You ask him the same question, "Do you like your job?" He looks up and replies, "I love my job. I'm building a cathedral. Sure, I've been working on this wall for as long as I can remember, and yes, the work is sometimes monotonous. I work in the scorching hot sun all day. The stones are heavy and lifting them day after day can be backbreaking. I'm not even sure if this project will be completed in my lifetime. But I'm building a cathedral."

WHAT these two stonemasons are doing is exactly the same; the difference is, one has a sense of purpose. He feels like he belongs. He comes to work to be a part of something bigger than the job he's doing. Simply having a sense of WHY changes his entire view of his job. It makes him more productive and certainly more loyal. Whereas the first stonemason would probably take another job for more pay, the inspired stonemason works longer hours and would probably turn down an easier, more lucrative job to stay and be a part of the higher cause. The second stonemason does not see himself as any more or less important than the guy making the stained glass windows or even the architect. They are all working together to build the cathedral. It is this bond that creates camaraderie. And that camaraderie and trust is what brings success. People working together for a common cause.

Companies with a strong sense of WHY are able to inspire their employees. Those employees are more productive and innovative, and the feeling they bring to work attracts other people eager to work there as well. It's not such a stretch to see why the companies that we love to do business with are also the best employers. When people inside the company know WHY they come to work, people outside the company are vastly more likely to understand WHY the company is special. In these organizations, from the management on down, no one sees themselves as any more or any less than anyone else. They all need each other.

When Motivated by WHY, Success Just Happens

It was a turn-of-the-century version of the tech boom. The promise of a revolutionary new technology was changing the way people imagined the future, and there was a race to see who could do it first. It was the end of the nineteenth century, and the new technology was the airplane. One of the best-known men in the field was Samuel Pierpont Langley. Like many other inventors of his day, he was attempting to build the world's first heavier-than-air flying machine. The goal was to be the first to achieve machine-powered, controlled, manned flight. The good news was Langley had all the right ingredients for the enormous task; he had what most would consider the recipe for success.

Langley had achieved some renown within the academic community as an astronomer, which earned him high-ranking and prestigious positions. He was secretary of the Smithsonian Institution. He had been an assistant in the Harvard College Observatory and professor of mathematics at the United States Naval Academy. Langley was very well connected. His friends included some of the most powerful men in government and business, including Andrew Carnegie and Alexander Graham Bell. He was also extremely well-funded. The War Department, the precursor of the Department of Defense, had given him \$50,000 for the project, a lot of money in those days. Money was no object.

Langley assembled some of the best and brightest minds of the day. His dream team included test pilot Charles Manly, a brilliant Cornell-trained mechanical engineer, and Stephan Balzer, the developer of the first car in New York. Langley and his team used the finest materials. The market conditions were perfect and his PR was great. *The New York Times* followed him around everywhere. Everyone knew who Langley was and was rooting for his success.

But there was a problem.

Langley had a bold goal, but he didn't have a clear sense of WHY. His purpose for wanting to build the plane was defined in terms of WHAT he was doing and WHAT he could get. He had possessed a passion for

aeronautics since a very young age, but he did not have a cause to champion. More than anything else, Langley wanted to be first. He wanted to be rich and he wanted to be famous. That was his driving motivation.

Although already well regarded in his own field, he craved the kind of fame Thomas Edison or Alexander Graham Bell had, the kind that comes only with inventing something big. Langley saw the airplane as his ticket to fame and fortune. He was smart and motivated. He had what we still assume is the recipe for success: plenty of cash, the best people and ideal market conditions. But few of us have ever heard of Samuel Pierpont Langley.

A few hundred miles away in Dayton, Ohio, Orville and Wilbur Wright were also building a flying machine. Unlike Langley, the Wright brothers did not have the recipe for success. Worse, they seemed to have the recipe for failure. There was no funding for their venture. No government grants. No high-level connections. The Wright brothers funded their dream with the proceeds from their bicycle shop. No one on the team had a college education; some did not even finish high school. What the Wright brothers were doing wasn't any different from Langley or all the others trying to build a flying machine, but the Wright brothers did have something very special. They had a dream. They knew WHY it was important to build this thing. They believed that if they could figure out this flying machine, it would change the world. They imagined the benefits to everyone else if they were successful.

Samuel Pierpont Langley was consumed with acquiring the level of prestige of his associates like Alexander Graham Bell, fame that he knew would come only with a major scientific breakthrough. He “did not have the Wrights’ passion for flight, but rather was looking for achievement,” said James Tobin, the Wright brothers’ biographer. Wilbur and Orville, in contrast, were true scientists. As Tobin explained, they were focused on trying to solve the problem of flight and gave little thought to how they would personally benefit if they did. “The best dividends on the labor invested have invariably come from seeking more knowledge rather than

more power,” said Orville and Wilbur in a report they wrote for the Aero Club of America.

Orville and Wilbur preached what they believed and inspired others in the community to join them in their cause. The proof of their commitment was self-evident. With failure after failure, most would have given up, but not the Wright brothers’ team. The team was so inspired that no matter how many setbacks they suffered they would show up for more. Every time the Wright brothers went out to make a test flight, so the stories go, they would take five sets of parts with them, because they knew that’s how many times they were likely to fail before deciding to come home for the day.

Then it happened. On December 17, 1903, on a field in Kitty Hawk, North Carolina, the Wright brothers took to the sky. A twelve-second flight at a distance of 120 feet at the speed of a jog was all it took to usher in a new technology that would change the world.

What Langley and the Wright brothers were trying to create was exactly the same; both were building the same product. Both the Wright brothers and Langley were highly motivated. Both had a strong work ethic. Both had keen scientific minds. What the Wright brothers’ team had that Langley didn’t wasn’t luck. It was inspiration. One was motivated by the prospect of fame and wealth, the other by a belief. And as Wilbur Wright said, “A man who works for the immediate present and its immediate rewards is nothing but a fool.”

Where the Wright brothers excited the human spirit of those around them, Langley paid for talent to help him get rich and famous. Where the Wright brothers were inspired by the WHY, Langley was motivated by the WHAT. A short time after Orville and Wilbur took flight, Langley got out of the business. He could have said, “That’s amazing, now I’m going to improve upon their technology.” But he didn’t. He found the defeat humiliating—his own test flight had landed in the Potomac River, and the newspapers all made fun of him. Because Langley was so preoccupied with becoming famous, he cared too much about what others thought of him. And because he wasn’t first, he simply quit.

Innovation Happens at the Edges

Dream teams are not always so dreamy. When a team of experts comes together they often work for themselves and not for the good of the whole. This is what happens when companies feel the need to pay mega-salaries to “get the best talent.” Those people are not necessarily showing up because they believe in the WHY, they are showing up for the money. A classic manipulation. Paying someone a lot of money and asking them to come up with great ideas ensures very little. However, pulling together a team of like-minded people and giving them a cause to pursue ensures a greater sense of teamwork and camaraderie. Langley pulled together a dream team and promised them riches. The Wright brothers inspired a group of people to join them in pursuit of something bigger than each member of the team. Average companies give their people something to work on. In contrast, the most innovative organizations give their people something to work toward.

The role of a leader is not to come up with all the great ideas. The role of a leader is to create an environment in which great ideas can happen. “The people at the top have all the authority,” says David Marquet, author of *Turn the Ship Around!*, “but the people at the bottom have all the information.” Smart executives are often not the best qualified to innovate. It is the people inside the company, those on the front lines, who are often better at finding new ways of doing things. The people who answer the phones and talk to customers, for example, can tell you more about the kinds of questions they get than can anyone sitting in an executive suite miles away. If the people inside a company are told to come to work and just do their job, that’s all they will do. If they are constantly reminded WHY the company was founded and told to always look for ways to bring that cause to life while performing their job, however, then they will do more than their job.

Steve Jobs, for example, did not personally come up with the iPod or iTunes or the iPhone. Others inside the company did. Jobs gave people a filter, a context, a higher purpose around which to innovate: find existing status quo industries, those in which companies fight to protect their old-

fashioned business models, and challenge them. This is WHY Apple was founded. It is what Jobs and Wozniak did when they started the company, and it is what Apple's people and products did for decades after. It was a repeating pattern.

When new recruits from other tech companies started working at Apple, Apple's in-house historian recounts, they would come in with their big salaries and their big egos about what they accomplished at their previous jobs. The executives would look at them, unimpressed, and say, "We don't care about what you did in the past, we only care about what you're going to do in the future." Apple's employees were expected to look for new ways to bring their cause to life in as many places as they could. And it worked.

Apple did not have a lock on good ideas; there are smart, innovative thinkers at most companies. But great companies give their people a purpose or challenge around which to develop ideas rather than simply instructing them to "be more innovative." Companies with a clear sense of WHY tend to ignore their competition, whereas those with a fuzzy sense of WHY are obsessed with what others are doing. They study their competitors in hopes of adding the features and benefits that will make *their* products *better*, only further entrenching themselves in WHAT they do. This is how companies like Colgate find themselves with forty-one different types of toothpaste (not including the ten for kids).

The ability of a company to innovate is not just useful for developing new ideas, it is invaluable for navigating struggle. When people come to work with a higher sense of purpose, they find it easier to weather hard times or even to find opportunity in those hard times. People who come to work with a clear sense of WHY are less prone to giving up after a few failures because they understand the higher cause. Thomas Edison, a man definitely driven by a higher cause, had many failures on his way to inventing the light bulb. As he said, "I have not failed, I've just found ten thousand ways that won't work."

Southwest Airlines is famous for pioneering the ten-minute turnaround—the ability to deplane, prep and board a plane in ten minutes. This ability helps an airline make more money, because the more the planes are in the

sky, the better the company is doing. What few people realize is that this innovation was born out of struggle.

In 1971, Southwest was running low on cash and needed to sell one of their aircrafts to stay in business. This left them with three planes to fly a schedule that required four. They had two choices: they could scale back their operations, or they could figure out how to turn their planes around in ten minutes. They refused to abandon their cause simply to stay in business, which is what most other companies would have done. Though they could have easily scaled back, instead they innovated. And thus was born the ten-minute turnaround. Whereas most other airline employees would have simply said it couldn't be done, Southwest's people rallied to figure out how to perform the unprecedented and seemingly impossible task. They got so creative that they experimented with playing music in the jet bridge during the on-boarding process. When they played the William Tell Overture (better known as the Lone Ranger theme), passengers boarded the plane significantly faster.

Southwest's remarkable ability to solve problems, Apple's remarkable knack for innovation and the Wright brothers' ability to develop a technology with the teams they had were all possible for the same reason: the leaders believed they could and they trusted their people to do it.

The Definition of Trust

Founded by Sir Francis Baring in 1762, Barings Bank was the oldest merchant bank in England. The bank, which survived the Napoleonic Wars, World War I and World War II, was unable to survive the predilection for risk of one self-proclaimed rogue trader. Nick Leeson single-handedly brought down Barings Bank in 1995 by performing unauthorized, extremely high-risk trades. Had the proverbial winds continued to blow in the right direction, Leeson would have made himself and the bank extremely rich, and he would have been hailed as a hero.

But such is the nature of unpredictable things like the weather and financial markets. Few dispute that what Leeson was doing was anything

more than gambling. And gambling is very different from calculated risk. Calculated risk accepts that there can be great losses, but steps are taken to either guard against or respond to an unlikely but possible outcome. Even though an emergency landing on water is “unlikely,” as the airlines tell us, they still provide us life jackets. And if only for peace of mind, we’re glad they do. To do otherwise is a gamble few airlines would be willing to take, even though the actuarial tables are heavily weighted on their side.

Leeson strangely held two positions at Barings, ostensibly serving as both a trader and his own supervisor, but that fact is not interesting given the subject matter. That one man had such a tolerance for risk that he could create so much damage is not very interesting either. Both of those are short-term factors, and both of these would have lost their impact if Leeson had either left the company or changed jobs, or if Barings had assigned a new supervisor to oversee his operations. What is more interesting is the culture at the bank that could allow these conditions to exist in the first place. Barings had lost its WHY.

The culture at Barings was not one in which people came to work inspired. Motivated, yes, but not inspired. Manipulated by the promise of massive payouts for performance, for sure, but not inspired to work in the best interest of the whole. As Leeson reported in his own account of how he got away with such risky behavior for so long, it was not that others didn’t recognize that what he was doing was potentially dangerous. It was worse than that. There was a stigma against speaking out. “People at the London end of Barings,” Leeson explained, “were all so know-all that nobody dared ask a stupid question in case they looked silly in front of everyone else.” The lack of a clear set of values and beliefs, along with the weak culture that resulted, created the conditions for an every-man-for-himself environment, the long-term impact of which could yield little else than disaster. This is caveman stuff. If the people aren’t looking out for the community, then the benefits of a community erode. Many companies have star employees, but few have a culture that produces great people as a rule and not an exception.

Trust is a remarkable thing. Trust allows us to rely on others. We rely on those we trust for advice to help us make decisions. Trust is the bedrock for the advancement of our own lives, our families, our companies, our societies and our species. We trust our friends more than we trust strangers. We trust a stranger from our faith community more than we trust any other stranger. And we trust a stranger who a friend vouches for more than we trust a stranger who speaks highly of themselves (even if everything they tell us is true). When there is a degree of closeness or community, when there are shared values and beliefs, trust comes much easier.

Which raises an interesting question when we consider how we hire people: What's more important, their résumé or their values? We seem to apply a very different trust filter in our lives compared to the one we use at work. Is there a false assumption at play here as to who makes the best employee?

Historically, trust has played a bigger role in advancing companies and societies than skill set alone. If there were no trust, then fewer people would take risks. No risks would mean no exploration, no experimentation and no innovation. That's a remarkable concept: only when individuals can trust the culture or organization will they take personal risks in order to advance the interests of the organization or society.

No matter how experienced, no matter how proficient, a trapeze artist will not attempt a totally new death-defying leap without first trying it with a net. And depending on how death-defying the trick is, they may insist on always having a net when performing the trick. Besides its obvious advantage of catching them if they fall, the net also provides a psychological benefit. Knowing it is there gives the trapeze artist the confidence to try something they've never done before, or to do it again and again. Remove the net and they will only do the safe tricks, the ones they know they can land. The more the trapeze artist trusts the quality of the net, the more they will take personal risks to make the act better. The trust the circus management gives their performer by providing them a net is probably afforded to other performers too. Soon all the performers will feel confident to try new things and push themselves further. That collection of

personal confidence and personal risk results in the entire circus putting on a much better show. An overall better show means more customers. And the system thrives. But not without trust. For those within a community, or an organization, they must trust that their leaders provide a net—practical or emotional. With that feeling of support, those in the organization are more likely to put in extra effort that ultimately benefits the group as a whole.

I will admit that there are always those who will take the risk, for the first time or repeatedly, without the net. There will always be those who will explore regardless of who is home holding down the fort. These people sometimes earn their rightful spots as the innovators. The ones who pushed further, the ones who did things no one else would do. Some of them may advance a business or even society. And some of them end up dead before they achieve anything.

There is a big difference between jumping out of a plane with a parachute on and jumping without one. Both produce extraordinary experiences, but only one increases the likelihood of being able to try again another time. A trapeze artist with a personality predisposed to taking extraordinary risks without a net may be the star attraction in an otherwise mediocre show. But if they die or leave for another circus, then what? This is the paradigm in which someone is motivated by self-gain regardless of the consequences or the benefits to the organization for which they work. In such a case, the effort may be good for the individual and it may be good for the group, but the benefits, especially for the group, come with a time limit. Over time, this system will break down, often to the detriment of the organization. Developing trust to encourage people other than those with a predilection for risk, like Nick Leeson, is a better long-term strategy.

Great organizations become great because the people inside the organization feel protected. The strong sense of culture creates a sense of belonging and acts like a net. People come to work knowing that their leaders, colleagues and the organization as a whole will look out for them. This results in reciprocal behavior: individual decisions, efforts and behaviors that support, benefit and protect the long-term interest of the organization as a whole.

Southwest Airlines, a company renowned for its customer focus, does not, as a matter of policy, believe the customer is always right. Southwest will not, for example, tolerate customers who abuse their staff. They would rather those customers fly on a different airline. It's a subtle irony that one of the best customer service companies in the country cares as much, if not more, about their employees as their customers.

Trust between management and employees, not dogma, is what produces great customer service. And, as in any relationship, trust is built on a foundation of shared values and the feeling that someone has our back. When we get that right, people become more than "good fits," they become culture contributors. When they trust and feel trusted, their will to "go the extra mile," to explore, to invent, to innovate, to advance and, more importantly, to do so again and again and again, increases dramatically.

Real Trust Comes from the Things You Can't See

"Rambo 2," said the voice over Brigadier General Jumper's radio, referring to him by his call sign. "Your group 180, twenty-five miles, closing fast."

"Barnyard radar contact," replied Rambo 2, reporting that he had picked up the enemy group on his own radar. A one-star general, John Jumper was an experienced F-15 pilot with thousands of hours of flight time and over a thousand combat hours. By all measures, he was one of the best. Born in Paris, Texas, he had enjoyed a distinguished career. He'd flown just about everything the U.S. Air Force had, from cargo planes to fighter jets. Decorated and distinguished, the commander of his own combat wing, he was the embodiment of what it meant to be a fighter pilot. Smart and confident.

But on that day, Jumper's reaction didn't match the situation he faced. By twenty-five miles, he would have been expected to fire his weapons or take some other offensive movement. Fearing that Jumper was locked onto the wrong contact on his radar, Captain Lori Robinson calmly repeated what she could see from miles away: "Rambo 2 confirm radar contact YOUR group now 190 twenty miles."

As the air weapons controller who was watching the action on her radar screen from a nearby command-and-control center, it was Lori Robinson's job to direct the pilot toward enemy aircraft so that he could use his weapons to intercept and destroy them. Unlike an air traffic controller, whose job it is to keep air traffic apart, the weapons controller has to bring the planes closer together. From the vantage point of the radar screen, only the weapons controller has the big picture, as the pilot's onboard navigation system shows only what's directly in front of the aircraft.

Captain Robinson saw her job as something bigger, however, than just staring at radar, something more profound than just being the eyes and ears for the pilots who were hurtling into harm's way at 1,500 mph. Captain Robinson knew WHY her job was important. She saw herself as responsible for clearing a path for the pilots in her care so that they could do what they needed to do, so they could push themselves and their aircraft further with greater confidence. And for this reason, she was unusually good at her job. Robinson couldn't make mistakes. If she did, she would lose the trust of her pilots, and worse, they would lose trust in themselves. You see, it's confidence that makes fighter pilots so good at their jobs.

And then it happened. Captain Robinson could tell from the calm of Jumper's voice over the radio that he was unaware of the threat coming at him. On a cloudless day, 20,000 feet over the desert, the alarm screeched in Rambo 2's \$25-million, state-of-the-art fighter jet. He looked up from his radar screen and saw the enemy engaging him. "BREAK RIGHT! BREAK RIGHT!" he screamed into his radio. On October 9, 1988, Brigadier General John P. Jumper was killed.

Captain Robinson waited. There was an eerie calm. Before too long, Jumper stormed into the debriefing room at Nellis Air Force Base. "You got me killed!" he barked at Captain Robinson. Situated in the Nevada desert, Nellis is home to the Air Force's "Top Gun," officially called the U.S. Air Force Weapons School, and on that day, General John Jumper took a direct hit from a simulated missile from another U.S. Air Force jet playing the part of an enemy combatant.

“Sir, it was not my fault,” Captain Robinson replied calmly. “Check the video. You’ll see.” General Jumper, then the 57th Wing commander, a graduate of the USAF Fighter Weapons School and a former instructor at Nellis, routinely evaluated every detail of every training mission he flew. Pilots often relied on the video to learn from their exercises. The video didn’t lie. And it didn’t on that day either. It revealed that the error was indeed his, not Captain Robinson’s. It was a classic blunder. He had forgotten he was part of a team. He had forgotten that what made him so good at his job was not just his ability. Jumper was one of the best because there were others who were looking out for him. A massive infrastructure of people he couldn’t see.

Without question General Jumper had been given the best equipment, the best technology and the best training that money could buy. But it was the mechanics, the teachers, his fellow pilots, the culture of the Air Force and Captain Robinson who ensured that he could trust himself to get the job done. General Jumper forgot why he was so good and made a split-second decision that cost him his life. But this is what training is for, to learn these lessons.

Some sixteen years after his lesson over the Nevada desert, General Jumper went on to big things. Now a retired four-star general, he served as chief of staff of the U.S. Air Force from 2001 to 2005, the highest-ranking uniformed office in the entire Air Force, responsible for the organization, training and equipping of nearly 700,000 active-duty, guard, reserve and civilian forces serving in the United States and overseas. As a member of the Joint Chiefs of Staff, he, along with the other service chiefs, advised the secretary of defense, the National Security Council and the president.

This is not, however, a story about General Jumper. It is a story about Lori Robinson. She no longer has her face down a scope. There are no more bogeys and bandits, the Air Force’s nicknames for the good guys and the bad guys, in her life. Her jobs changed as she moved through the ranks, but General Robinson still started every day by reminding herself WHY she came to work.

As much as she misses “her kids,” as she called those who served under her command, General Robinson is still looking for ways she can clear a path for others so that they can push themselves and the organization further. “The time to think of yourself is done, it is not about you, it is about the lieutenants behind you,” she’d remind her students when she was an instructor at the Fighter Weapons School. “If enough of us do this,” she goes on, referring to WHY she does what she does, “then we leave this military and this country in better shape than we found it. And isn’t that the point?” And it is that sense of purpose, a clear idea of WHY she comes to work, that has been the cornerstone of General Robinson’s success. And that, incidentally, has been remarkable.

Working hard to clear a path for others so that they can confidently go on to do bigger and better things has in turn inspired others to clear a path for General Robinson to do exactly the same thing. As a woman in the very masculine world of the military, she sets an example for how to lead. Great leadership is not about flexing and intimidation; great leaders, as General Robinson proves, lead with WHY. They embody a sense of purpose that inspires those around them.

General Robinson was so trusted as a weapons controller that it was not unusual for pilots in training to request that she be assigned to them. “The greatest compliment I ever got was when people would say, ‘When I go to war, I want Lori on the radio,’” she says. She is the first woman in the history of the Air Force to command the 552nd Air Control Wing out of Tinker Air Force Base, one of the largest wings in Air Combat Command (the wing that flies the AWACS airborne control aircraft—the fleet of Boeing 707s with the huge rotating radar dishes on top). She is the first commander of a combat wing ever who didn’t come up through the pilot ranks. She was the first female Weapons School instructor to teach at the Air Force Fighter Weapons School, where the Air Force trains all its top guns. She was the first female director of the Secretary of the Air Force and chief of staff of the Air Force Executive Action Group, the first female combatant commander and, at the time of her retirement in 2018, the

highest-ranking female officer in the history of the United States military. And the list goes on.

By any measure, General Lori Robinson is a remarkable leader. Some in management positions operate as if they are in a tree of monkeys. They make sure that everyone at the top of the tree looking down sees only smiles. But all too often, those at the bottom looking up see only asses. Great leaders like General Robinson are respected by those both above and below. Those in her command trusted her implicitly because they knew she was committed to looking after them. “There’s nothing you can do that I can’t fix,” she was often heard telling students at Fighter Weapons School. And those to whom she reported showed remarkable deference to her. “I don’t know how she gets away with half the stuff she does,” say those who know her. More importantly, it is said with a grin and with respect. General Robinson’s ability to lead developed not because she’s the smartest or the nicest. She’s a great leader because she understands that earning the trust of an organization doesn’t come from setting out to impress everyone, it comes from setting out to serve those who serve her. It is the invisible trust that gives a leader the following they need to get things done. And in Lori Robinson’s case, things got done.

I use the military because it exaggerates the point. Trust matters. Trust comes from being a part of a culture or organization with a common set of values and beliefs. Trust is maintained when the values and beliefs are actively managed. If companies do not actively work to keep their Golden Circle in balance—clarity, discipline and consistency—then trust starts to break down. A company, indeed any organization, must work actively to remind everyone WHY the organization exists. WHY it was founded in the first place. What it believes. They need to hold everyone in the company accountable to the values and guiding principles. It’s not enough to just write them on the wall—that’s passive. Bonuses and incentives must revolve around them. The company must serve their people the same way they expect their people to serve the company.

With balance, those who are good fits can trust that everyone is on board for the same reasons. It’s also the only way that each individual in the

system can trust that others are acting to “leave the organization in a better way than we found it,” to quote General Robinson again. This is the root of passion. Passion is not an input, it’s an output. We exude passion when we feel like we are a part of something, something bigger than ourselves. If people do not trust that a company is organized to advance the WHY, then the passion is diluted. Without managed trust, people will show up to do their jobs but they will worry primarily about themselves. This is the root of office politics—people acting within the system predominantly for their own gain, often at the expense of others, even of the company. If leaders don’t trust their people, then the people will not trust their leaders, and self-interest becomes the overwhelming motivation. This may work for a while, but over time the organization will get weaker and weaker.

Herb Kelleher, the visionary behind Southwest Airlines, understood this better than most. He recognized that to get the best out of his employees he needed to create an environment in which they felt like the company cared about them. He knew that they would naturally excel if they felt the work they did made a difference. When a journalist asked Kelleher who came first to him, his shareholders or his employees, his response was heresy at the time (and to a large degree still is). “Well, that’s easy,” he said, “employees come first, and if employees are treated right, they treat the outside world right, the outside world uses the company’s product again, and that makes the shareholders happy. That really is the way that it works and it’s not a conundrum at all.”

The Influence of Others

Whom do you trust more, someone you know or someone you don’t know? What do you trust more, a claim made in a piece of advertising or a recommendation from a friend? Whom do you trust more, the waiter who tells you “Everything on the menu is great,” or the waiter who tells you to avoid the chicken casserole? Are these questions too easy? Then how about this one: Why should anyone trust you?

The feeling of trust is lodged squarely in the same place as the WHY—the limbic brain—and it's often powerful enough to trump empirical research, or at least seed doubt. And it is that limbic brain that is constantly evaluating everything we hear, trying to assess if we can trust what we hear or if we need to exercise caution. This means that everyone else's brain is doing the same thing when we say anything.

Personal recommendations go a long way. We trust the judgment of others. And those we know trust us. It's part of the fabric of strong cultures. But we don't trust the judgment of just anyone. We are more likely to trust those who share our values and beliefs. And when we believe someone has our best interest in mind because it is in their best interest to do so, the whole group benefits. The advancements of societies depend a great deal on the trust shared between those with a common set of values and beliefs.

A trusted recommendation is powerful enough to trump facts and figures and even multimillion-dollar marketing budgets. Think of the new parents who want to do everything right for their child. They decide to get a new car—something safe, something to protect their newborn. They spend a week reading all the reviews; they've seen all the advertising, and they decide that on Saturday they are buying a Chevy Malibu. The facts are in and their minds are made up. Friday night they head to a dinner at a friend's house. Standing by the chip bowl is their friend, the local car enthusiast. Our intrepid young parents walk up to their friend and proudly announce that they have decided to buy a Chevy Malibu. Without a thought their friend replies, "Why would you do that? The Honda Accord is the safest car on the road. If you care about your kid, you'll get the Honda."

Desiring to be good parents and trusting their friend's opinion, our young parents will do one of three things. They will change their minds and buy a Honda; they will go forward with their original decision, despite lingering doubts about whether they are indeed doing the right thing; or they will go back to the drawing board and redo all their research in order to reassure themselves of their decision. No matter how much rational information they have at their fingertips, unless that decision also feels right, stress will go up and confidence will go down. However you slice it,

the opinions of others matter. And the opinions of those we trust matter most.

This idea is so well understood by marketers that there is an entire cottage industry trying to scale the “trusted recommendation of our friends.” One way that businesses do this is through peer review and star-rating systems. If lots of “regular people” like this product, so the thinking goes, then we will trust that it’s good. And that model works—really well! The number of times we buy something solely because it gets a lot of stars from a lot of people is, if we think about it, insanely high. But knowing that better reviews translate into more sales, many companies, rather than make better products to get better reviews, find ways to game the system instead. This is why the FTC insists that reviewers or companies disclose paid endorsements. But even that’s not enough to protect us. I can’t argue that star rankings aren’t helpful, but we do need to be a little cynical. I can tell you from what I know about the publishing world, for example, that the number of authors who know how to game the rankings to make their books get more stars and look more popular, all to influence us to buy their book, would shock you. So who are we to trust?

Celebrity and influencer endorsements are another attempt to scale the trusted recommendation. Beyond wanting access to their followers, many companies want to benefit from the goodwill a celebrity or influencer has built up in the market. They are hoping to buy a recommendation from someone we already trust. Better yet, they hope the glow of the celebrity’s or influencer’s halo will reflect on them, making them seem more values-based and trustworthy than they may be. If they put Beyoncé in their marketing, for example, they will be associated with her efforts to empower women, and we will trust them even more! But this only works if the company has already established their own commitment to women’s empowerment. Otherwise, the association is totally inauthentic and ignores the value of The Golden Circle.

A celebrity or influencer is no different than the products a company produces—they are another WHAT to the company’s WHY. If we are to transfer our trust of the endorser to the company, the company must first

share the beliefs and qualities that endorser embodies. Companies with deep pockets can afford to pay any celebrity or an influencer with a massive following to help bump sales. But that's expensive, unsustainable and has diminishing returns. The only way to build a trust that lasts is to start with WHY.

Trust can absolutely be transferred. But it requires a company to have a clear sense of its own WHY and a strict filter through which celebrities and influencers are evaluated. There must be values alignment. Likewise, a celebrity or influencer with a clear sense of their own WHY must have a strict filter through which they evaluate relationships with brands. If they give an endorsement just for the money, they can do damage to a hard-built reputation and, over time, will become a lot less trusted in the market. We even have a term for that—"selling out." Sometimes it's obvious when a company or an individual "sells out" and sometimes we just get a gut feeling that the relationship between them doesn't make sense.

The most authentic and powerful kind of influence a company or a person can command is the kind that looks exactly like a trusted friend's recommendation. The ones where someone wants to talk about a product or a service even when there is no affiliate payment, prompts or incentives. Ones in which someone wants to share what they know or have discovered for our benefit, not theirs...just like a friend.

So how do we inspire enough people, influencers or not, to tell their friends about our products or ideas so that those who believe what we believe want to know more, do more or be a part of whatever we are doing? Put simply, how do we make a tipping point tip?

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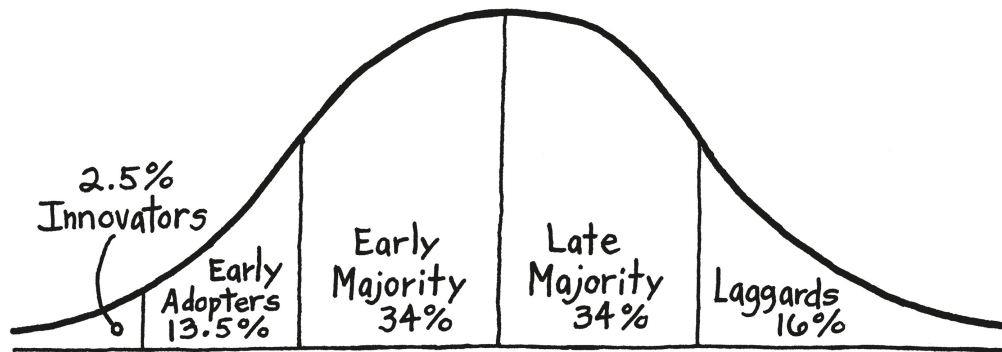
HOW A TIPPING POINT TIPS

In 2000, Malcolm Gladwell created his own tipping point when he shared with us how tipping points happen in business and in society. In his aptly named book *The Tipping Point*, Gladwell identifies groups of necessary populations he calls connectors and influencers. With little doubt Gladwell's ideas are spot-on. But it still begs the question, why should an influencer want to tell anyone about you? Marketers are always trying to influence the influencers, but few really know how (other than paying them or giving them free stuff). We can't dispute that tipping points happen and the conditions that Gladwell articulates are right, but can a tipping point happen intentionally? They can't just be an accidental phenomenon. If they exist, then we should be able to design one, and if we can design one, we should be able to design one that lasts beyond the initial tip. It's the difference between a fad and an idea that changes an industry or society forever.

In his 1962 book *Diffusion of Innovations*, Everett M. Rogers was the first to formally describe how innovations spread through society. Thirty years later, in his book *Crossing the Chasm*, Geoffrey Moore expanded on Rogers's ideas to apply the principle to high-tech product marketing. But

the Law of Diffusion of Innovations explains much more than just the spread of innovation or technology. It explains the spread of ideas.

If you don't know the law, you're likely already familiar with some of its terminology. Our population is broken into five segments that fall across a bell curve: innovators, early adopters, early majority, late majority and laggards.



As the law states, the first 2.5 percent of the population are the innovators, and the next 13.5 percent are early adopters. Innovators, Moore says, pursue new products or ideas aggressively and are intrigued by any fundamental advance; being first is a central part of their lives. As their name suggests, innovators are the small percentage of the population that challenges the rest of us to see and think of the world a little differently. They are the big idea people.

Early adopters are similar to innovators in that they appreciate the advantages wrought by new ideas or technologies. They are early to recognize the value of innovation and are quite willing to put up with imperfection because they can see the potential. Although willing to take the risk to try something new, early adopters are not idea generators like the innovators. But both groups are similar, as Moore says, in that they rely heavily on their intuition. They trust their gut.

Early adopters, like innovators but to a lesser degree, are willing to pay a premium or suffer some level of inconvenience to own a product or espouse an idea that feels right. Those on the left side of the diffusion curve were the ones who stood in line for six hours to be first to buy the latest iPhone, even

though they could have walked into a store a week later and bought one without waiting. They camped outside movie theaters for twenty-four hours so they could be first to see the new Star Wars movie. These are also the personality types who bought flat-screen TVs when they first came out, even though they cost upward of \$40,000 and the technology was still far from perfect. Their willingness to suffer an inconvenience or pay a premium had less to do with how great the product was and more to do with their own sense of who they are. They wanted to be the first. And though it seems mad to the rest of us, to them it was worth it.

My friend Nathan fits this profile. I once walked around his house and counted no fewer than twelve Bluetooth headphones. I asked him why he had so many. “Did they all break?” I asked. “No,” he replied, “they came out with a new one.” (There were also about five laptops, a small collection of old iPhones and boxes of other gadgets lying about that never quite worked that well.) Nathan is an early adopter.

The next 34 percent of the population are the early majority, followed by the late majority and finally the laggards on the far right side of the spectrum. Laggards are the ones who buy a new technology not because they want to but because their old familiar model is no longer manufactured. The early and late majority are more practical-minded. For them, rational factors matter more. The early majority is slightly more comfortable with new ideas or technologies, while the late majority is not.

The farther right you go on the curve, the more you will encounter the clients and customers who may need what you have but don’t necessarily believe what you believe. As clients, they are the ones for whom, no matter how hard you work, it’s never enough. Everything usually boils down to price with them. They are rarely loyal. They rarely give referrals and sometimes you may even wonder out loud why you still do business with them. “They just don’t get it,” our gut tells us. The importance of identifying this group is so that you can avoid doing business with them. Why invest good money and energy to go after people who, at the end of the day, will do business with you if you meet their practical requirements but will never be loyal if you don’t? It’s not too hard to recognize where

people fall on the spectrum once you're in a relationship with them; the opportunity is to figure out which is which before you decide to work with them.

We all sit at different places on this spectrum depending on the product or idea. Most of us are fiercely loyal to certain brands and ideas at various times and demonstrate left-side-of-the-curve behavior. And for other brands or ideas we exhibit right-side-of-the-curve behavior. When we sit on one side of the spectrum, we often have a hard time understanding those on the other side because their behavior doesn't make sense to us. My sister is an early adopter when it comes to fashion trends, whereas I'm firmly in the late majority. It took years and a lot of peer pressure from my sister before I ever bought a pair of overpriced designer blue jeans. I admit they look good, but I still think they aren't worth the money, and I can't understand why my sister thinks they are.

In contrast, I'm an early adopter for new gadgets. I bought a Bluetooth-enabled, self-cooling mattress pad when it first came out. My sister can't understand why I waste my money on all that "useless stuff," as she puts it. "Just use a fan or turn up the air-conditioning, if you're hot," she says. We will never see eye to eye on this.

Each of us assigns different values to different things and our behaviors follow accordingly. This is one of the major reasons why it is nearly impossible to "convince" someone of the value of your brand or ideas based on rational arguments and tangible benefits. It's the ol' Ferrari and Honda Odyssey debate again. Designer jean companies (or my sister) can talk to me until they are blue in the face about the importance of fabric quality, design and workmanship—it goes in one ear and out the other. I'm convinced beyond a shadow of a doubt of the rational benefits of my mattress pad; still my sister won't hear a word of it. And so the game of manipulation ensues. Again, although effective, manipulations don't breed loyalty and they increase costs and stress for all parties involved.

Most people or organizations that have something to sell, be it a product, service or idea, hope to achieve some level of mass-market success or acceptance. Most hope to penetrate the bell of the curve. Getting there,

however, is easier said than done. When you ask small businesses about their goals, many of them will tell you they want to be a billion-dollar business in X number of years. The odds of that happening, unfortunately, don't look good. Of the 33 million small businesses registered in the United States, just under 700 have reached unicorn status (defined as a private company with a billion dollar or more valuation). And 98 percent of all businesses in America have fewer than one hundred employees. In other words, mass-market success is really hard to achieve.

Big companies have similar challenges repeating their mass-market success. Just because they've done it once or twice doesn't mean they know how to do it every time. In 2006, the Zune, Microsoft's entry into the multi-gigabyte MP3 player market, for example, was pegged to "take on the iPod." It didn't happen. In 2014, we were told that we would all be wearing Google Glass, Google's wearable computer that looks like a pair of glasses. In 2015, it was pulled off the market. Nor do any of us use an Amazon phone (yes, that was a thing too).

Even if a product is superior to whatever else is available, it does not guarantee anything. Turns out there is more to succeeding than just making a product and marketing it. The superior quality of Betamax technology (which has mostly been forgotten) also failed to beat out the substandard VHS technology as the standard format for videotape in the 1980s. Turns out better isn't always better. Like any natural law, the Law of Diffusion must be considered if mass-market acceptance is important to you. Refusal to do so will cost a lot of money and may result in a mediocre success, if not complete failure.

There is an irony to mass-market success, as it turns out. It's near impossible to achieve if you point your marketing and resources to the middle of the bell, that is, if you attempt to woo those who represent the middle of the curve without first appealing to the early adopters. It can be done in rare cases, for a short time, but at massive expense. The majority group is more cynical, more practical and more risk averse than innovators and early adopters. They are the ones who are first to complain or ask for their money back if something doesn't work out. This is why we have to

offer guarantees, drop our price or offer value-added services. We're attempting to reduce the risk tolerance of these practical-minded people until they feel comfortable to buy. We have to manipulate them. They may buy, but they won't be loyal. Again, loyalty is when people are willing to suffer some inconvenience or pay a premium to do business with you, sometimes even turn down a better offer from someone else. Something the later majority rarely does.

According to the Law of Diffusion, mass-market success can only be achieved after you penetrate between 15 percent and 18 percent of the market. That's because, according to Rogers, the early majority won't try something new until someone else has tried it first. Once you hit that critical mass, a social phenomenon happens: the tipping point just tips. It is at this point that a product gains mass-market acceptance, a company becomes more stable or an idea becomes a movement. When that happens, the growth is not only exponential, it is automatic. It just goes.

The goal of business then should not be to try to sell to anyone who might buy our product—the majority—but rather to find people who believe what we believe, the left side of the bell curve. They perceive greater value in what we do and will happily pay a premium or suffer some sort of inconvenience to be a part of our cause. They are the ones who, of their own volition, will tell others about us. That 15 to 18 percent is not made up of people who are simply willing to pay for what we're offering. It is the percentage of people who share our beliefs and want to incorporate our ideas, our products, our services or our brand into their own lives as WHATs to their own WHYs. They look to WHAT we do as a tangible element that demonstrates their own purpose, cause or belief to the outside world. Their willingness to pay a premium or suffer inconvenience to use our product or service says more about them than it does about us and our products. Their ability to easily see WHY they need to incorporate our products into their lives makes this group the most loyal customers. They are also the most loyal shareholders and the most loyal employees. No matter where they sit in the spectrum, these are the people who not only

love us but talk about us. Get enough of the people on the left side of the curve on our side and they encourage the rest to follow.

I can always tell when a leader has embraced the Law of Diffusion when I ask them what their conversion is on new business efforts. Many answer proudly, “Ten percent.” Even if you ignore the principles of The Golden Circle, the law of averages says you can win about 10 percent of the business. Throw enough spaghetti against the wall and some of it sticks. To grow the business, all you need to do is more prospecting, which is why growing a business by aiming at the middle of the curve is so expensive. Though the business may grow, the average will stay about the same, and 10 percent is not enough for the system to tip.

Likewise, 10 percent of our existing customers or clients will naturally show loyalty to us. But why are they so loyal? Like our inability to explain why we love our spouses, the best we can muster up to explain what makes them such great clients is “They just get it.” And though this explanation may feel right, it is completely un-actionable. How do you get more people to “get it”? This is what Moore refers to as the “chasm,” the transition between the early adopters and the early majority, and it’s hard to cross. But not if you know WHY. If you have the discipline to focus on the early adopters, the majority will come along eventually. But it must start with WHY.

Refusing to Consider the Law of Diffusion Will Cost You

In 1997, TiVo was racing to market with a remarkable innovation. The company was one of the pioneers of DVR technology. They were one of the first to make hard drives to replace DVD players and allow us to record and pause live TV and skip commercials. There was little debate at the time that they had the single highest-quality product in the category. They had plenty of venture capital funding. And their marketing worked better than expected. They had achieved an unaided awareness that most brands can only dream of. Like Kleenex, Band-Aids and Q-tips, TiVo became a generic term used to describe all devices with the same function. And just as we

“Google” things today, regardless of the search engine we use, back then we “TiVoed” things, regardless of whether we owned a TiVo or not.

When TiVo shipped in 1999, Mike Ramsay and Jim Barton, two former colleagues who had founded TiVo, were certain the TV-viewing public was ready. One market researcher estimated that the product could reach 760,000 subscribers by the end of the first year. But despite the excitement among analysts and technophiles, the product launch was a huge disappointment. TiVo only sold about 48,000 units the first year. And it didn’t get much better.

In 2002, after TiVo had been on the market nearly three years, a headline in *Advertising Age* summed it up best: “More U.S. Homes Have Outhouses than TiVos.” (At the time, there were 671,000 homes with outhouses in the United States, compared with 510,000 homes with TiVo.) Not only were sales poor, but the company had not fared well for its shareholders either. At the time of the initial public offering in the fall of 1999, TiVo stock traded at slightly over \$40 per share. The next year it hit its high at \$100. The stock declined steadily after that and, except for three short periods since 2001, has never since traded over \$10.

Analysts were stumped as to why the TiVo didn’t do better. TiVo seemed to have everything going for them: a great quality product, money and ideal market conditions. Except they made one fatal error that cost them everything. Recognizing the mass appeal of the product, they ignored the principles of the Law of Diffusion and targeted the middle of the bell curve. Instead of targeting innovators and early adopters with WHY the company or the product existed, they attempted to appeal to the cynical, risk-averse majority by trying to explain WHAT the product did.

They basically said to the mass market:

We’ve got a new product.

It pauses live TV.

Skips commercials.

Rewinds live TV.

Memorizes your viewing habits and records shows on your behalf without your needing to set it.

The practical-minded, technophobic mass market's response was predictable. "I don't understand it. I don't need it. I don't like it. You're scaring me." There were a small number of loyalists, probably about 10 percent, those who just "got it," who didn't need an explicit articulation of WHY, but there were not enough of them to create the tipping point that TiVo needed and predicted.

People don't buy WHAT you do, they buy WHY you do it. TiVo should have marketed to the left side of the curve and told them what they believed. They should have talked about WHY the product was invented. The features and benefits would then have become the proof of the higher cause. If their Golden Circle was in balance and if they had aimed their message at the innovators and early adopters, the outcome might have been quite different. Compare the original list of features and benefits with a revised message that starts with WHY:

If you're the kind of person who likes to have total control over every aspect of your life, boy do we have a product for you.

It pauses live TV.

Skips commercials.

Rewinds live TV.

Memorizes your viewing habits and records shows on your behalf without your needing to set it.

In this version, all the features and rational benefits serve as tangible proof of WHY the product exists, not the reasons to buy, per se. The WHY is the belief that drives the decision, and WHAT it does provides us a way to rationalize the appeal of the product.

In an attempt to explain their failure, TiVo offered a very rational explanation of what was happening. "Until people get their hands on it," Rebecca Baer, a spokeswoman for TiVo, told *The New York Times* in 2000, "they don't understand why they need this." If this line of logic were true,

then no new technology would ever take hold. A fact that is patently untrue. Others theorized that TiVo failed because cable companies started putting hard drives in all their cable boxes and that the cable companies had better distribution than TiVo. But we know that people often go out of their way, pay a premium or suffer an inconvenience to buy a product that resonates on a visceral level with them. Until recently, people who wanted a custom Harley-Davidson motorcycle waited upward of six months to a year for delivery of their product. Consumers could have just walked into a Kawasaki dealership and walked right out with a brand-new bike. They could have found a very similar model with similar power and maybe even for less money. But they suffered the inconvenience willingly, not because they were in the market for a motorcycle, but because they wanted a Harley.

Indeed Ms. Baer was correct about the mass market's failure to understand the value of their product. But that's not the consumer's fault. It was TiVo's job to properly communicate and rally the left side of the bell curve, to educate and encourage the adoption; that was the reason so few people "got their hands on it." TiVo did not start with WHY, and they ignored the left side of the curve. TiVo was not the first to ignore these sound principles and won't be the last.

When you start with WHY, those who believe what you believe are drawn to you for very personal reasons. It is those who share your values and beliefs, not those who are concerned solely with the price or features of your products, who will cause the system to tip. Your role in the process is to be crystal clear about what purpose, cause or belief you exist to champion, and to show how your products and services help advance that cause. It was not the technology that failed, it was how the company tried to sell it.

Give the People Something to Believe In

On August 28, 1963, 250,000 people from across the country descended on the National Mall in Washington, D.C., where Martin Luther King Jr. gave his famous "I Have a Dream" speech. The organizers didn't send out

250,000 invitations, and there was no mass email or website to check the date. How did they get a quarter of a million people to show up on the right day at the right time?

During the early 1960s, the country was torn apart by racial tensions. There were riots in dozens of cities in 1963 alone. America was a country scarred by inequality and segregation. How the civil rights movement lifted an idea that “all men are created equal” to become a movement with the power to change a country is grounded in the principles of The Golden Circle and the Law of Diffusion.

Dr. King was not the only person alive during that time who knew WHAT had to change to bring about civil rights in America. He had many ideas about WHAT needed to happen, but so did others. And not all of his ideas were good. He was not a perfect man; he had his complexities.

But Dr. King was absolute in his conviction. He *knew* change had to happen in America. His clarity of WHY, his sense of purpose, gave him the strength and energy to continue his fight against often seemingly insurmountable odds. There were others like him who shared his vision of America, but many of them gave up after too many defeats. Defeat is painful. And the ability to continue head-on, day after day, takes something more than knowing what legislation needs to be passed. It technically only takes a small number of supporters to pass legislation, but leaders of the civil rights movement needed to do more than that, they had to change the country. For civil rights to truly take hold, its organizers had to rally enough people to create a tipping point that would make the change last. Only if they could rally enough people to join the cause—not because those people had to, but because they wanted to—could any significant change endure. It would take others who believed what King believed to effect lasting change.

The details of HOW to achieve civil rights or WHAT needed to be done were debatable, and different groups tried different strategies. Violence was employed by some, appeasement by others. Regardless of HOW or WHAT was being done, there was one thing everyone had in common—WHY they were doing it. It was not just Martin Luther King’s unflappable conviction

that was able to stir a population, but his ability to put his WHY into words. Dr. King had a gift. He talked about what he believed. And his words had the power to inspire:

“I believe.”

“I believe.”

“I believe.”

“[T]here are two types of laws,” he shared, “just and unjust.” Dr. King expounded: “A just law is a man-made code that squares with the moral law.... An unjust law is a code that is out of harmony with the moral law.... Any law that uplifts the human personality is just. Any law that degrades human personality is unjust. All segregation statutes are unjust because segregation distorts the soul and damages the personality.” His belief was bigger than the civil rights movement. It was about all of mankind and how we treat each other. Of course, his WHY developed as a result of the time and place in which he was born and the color of his skin, but the civil rights movement served as the ideal platform for Dr. King to bring his WHY, his belief in equality, to life.

People heard his beliefs and his words touched them deep inside. Those who believed what he believed took that cause and made it their own. And they told people what they believed. And those people told others what they believed. Some organized to get that belief out more efficiently.

And in the summer of 1963, a quarter of a million people showed up and got to hear Dr. King deliver his “I Have a Dream” speech on the steps of the Lincoln Memorial.

But how many people showed up for Dr. King?

Zero.

They showed up for themselves. It was what *they* believed. It was what *they* saw as an opportunity to help America become a better version of itself. *They* wanted to live in a country that reflected their own values and beliefs, and that desire inspired them to get on a bus to travel for eight hours to stand in the sun in the middle of August to be a part of the March. Being

in Washington was simply one of the things they did to prove what they believed. Showing up that day was one of the WHATs to their own WHY. This was a cause and it was their cause.

Dr. King's speech itself served as a visceral reminder of the belief shared by everyone who stood there listening. And that speech was about what he believed, not how they were going to do it. He gave the "I Have a Dream" speech, not the "I Have a Plan" speech. It was a statement of purpose and not a comprehensive twelve-point plan to achieving civil rights in America. Dr. King offered America a place to go, not a plan to follow.

Dr. King's articulation of his belief was something powerful enough to rally those who shared that belief even if they weren't personally affected by the inequalities. Nearly a quarter of the people who came to the rally that day were white. This was a belief not about Black America, this was a belief about a shared America. Dr. King was the leader of a cause. A cause for all those who believed what he believed, regardless of skin color.

It wasn't the details of his plans that earned him the right to lead. It was what he believed and his ability to communicate it clearly that people followed. In essence, he, like all great leaders, became the symbol of the belief. Dr. King came to personify the cause. To this day we build statues of him to keep that belief alive and tangible. People followed him not because of his idea of a changed America. People followed him because of *their* idea of a changed America. The part of the brain that influences our behavior and decisions does not have the capacity for language. We have trouble saying clearly, in emotional terms, why we do what we do and offer rationalizations that, though valid and true, are not powerful enough to inspire others. So when asked why they showed up that day, people said simply, "Because I believe."

More than anything else, what Martin Luther King Jr. gave us was clarity, a way to explain how we felt. He gave us the words that inspired us. He gave us something to believe in, something we could easily share with our friends. Everyone at the Mall that day shared a set of values and beliefs. And everyone there that day, regardless of skin color or sex, showed up

with common cause. It was that shared belief that fueled a movement to change a nation.

We believed.

We believed.

We believed.

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PART 4

HOW TO RALLY THOSE WHO BELIEVE

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8

START WITH WHY, BUT KNOW HOW

Energy Excites. Charisma Inspires.

RAH!!!! With a roar, Steve Ballmer, the man who replaced Bill Gates as CEO of Microsoft, burst onto the stage of the company's annual global summit meeting. Ballmer loved Microsoft—he said so in no uncertain words. He also knew how to pump up a crowd. His energy was almost folkloric. He pumped his fists and ran from one end of the stage to the other, he screamed and he sweated. He was remarkable to watch and the crowd loved it. As Ballmer proved, without a doubt, energy can motivate a crowd. But can it inspire a population? Would energy be enough to keep a company of about 80,000 people focused? What would happen the next day or the next week when Ballmer's energy was not there to motivate his employees?

In contrast, Bill Gates was shy and awkward, a social misfit. He did not fit the stereotype of the leader of a multibillion-dollar corporation. He was not the most energetic public speaker. When Bill Gates spoke, however,

people listened intently. They hung on his every word. When Gates spoke, he didn't rally a room, he inspired it. Those who heard him took what he said and carried his words with them for weeks, months or years. Bill Gates didn't have energy, but Bill Gates had charisma.

Energy can motivate. It is easy to see, easy to measure and easy to copy. Charisma, in contrast, is hard to define, near impossible to measure and difficult to copy. But charisma is what we need if we want to inspire. Charisma has nothing to do with energy. Energy comes from a good night's sleep or lots of caffeine. Charisma comes from a clarity of WHY, from absolute conviction in an ideal bigger than oneself.

All great leaders have charisma because all great leaders start with WHY. It wasn't Bill Gates's passion for computers that inspired us when he led Microsoft, it was his undying optimism that even the most complicated problems could be solved. He believed we could find ways to remove obstacles to ensure that everyone could live and work to their greatest potential. And that belief inspired his vision of a PC on every desk. It wasn't just that Gates saw the impact of WHAT the new technology could do; he also saw WHY we needed it. And that is what drew us to him.

Energy can always be injected into an organization to motivate people to do things. Like bonuses, promotions, other carrots and even a few sticks, energy is a manipulation that can, for sure, get people to work harder. However, as with all manipulations, the gains are short-term. Energy is hard to keep up and it only excites us for a brief time. A leader would need endless reserves of energy to keep motivating us over and over each time morale dips. That's not loyalty. That's the employee version of repeat business. What's more, over time, it would simply lose its impact.

Charisma is different. Charisma commands loyalty. Loyalty among employees is demonstrated when they don't need daily shots of energy. While we might get excited about WHAT we're doing, we are inspired by WHY we're doing it. We don't want to come to work to lay bricks, we want to come to work to build a cathedral.

When a WHY is clear, those who share that belief will be drawn to it and maybe want to take part in bringing it to life. And as a belief amplifies,

it can have the power to rally even more believers to raise their hands and declare, “I want to help.” With a group of believers all rallying around a common purpose, cause or belief, amazing things can happen. But it takes more than inspiration to become great. Inspiration only starts the process; you need something more to drive a movement.

The Chosen Path

Raised in Ohio, sixty miles from Dayton, Neil Armstrong grew up on a healthy diet of stories about the Wright brothers. From a very early age he dreamed of flying. He’d make model airplanes, read magazines about flying and stare at the heavens through a telescope mounted on the roof of his house. He even got his pilot’s license before he got his driver’s license. Armstrong was destined to become an astronaut. A few of us, like Armstrong, might have childhood dreams that turn into professional realities. For the rest of us, however, our careers paths are more like Jeff Sumpter’s.

While Sumpter was in high school, his mother arranged for him to get a summer internship at the bank where she worked. Four years after he finished high school, he called the bank to see if they had some part-time work for him, which they did. Eventually they offered him a full-time job, and WHAMO!, Jeff had a career as a banker. In fact, after fifteen years in the industry he and a colleague by the name of Trey Maust went on to start their own bank, Lewis & Clark Bank in Oregon.

Sumpter is very good at what he does—he’s been a top-performing loan officer throughout his career and Lewis & Clark Bank, of which he is now president and CEO, has expanded locations. He’s well liked and well respected among his colleagues and clients. But Jeff will admit that he doesn’t have much of a passion for banking, per se. Though he’s not living out his childhood dream, he is passionate for something. It’s not banking, it’s not WHAT he does, that gets him out of bed every morning. It’s WHY he does it—to support small businesses in order to positively impact the local community.

Our career paths are largely incidental. I never planned to be doing what I'm doing now. As a kid I wanted to be an aeronautical engineer, but in college I set my sights on becoming a criminal prosecutor. Once I was enrolled in law school, however, I became disillusioned with the idea of being a lawyer. It just didn't feel right. I was attending school in England, where law is one of the last truly "English" professions and not wearing a pin-striped suit to an interview could hurt my chances of getting a job. This was not my cup of tea.

I happened to be dating a young woman who was studying marketing at Syracuse University. She could see what inspired me and what frustrated me about the law and suggested I try my hand in the marketing field. And WHAMO!, I'd gotten myself a new career in marketing. But that's just one of the things I've done—it was not my passion and it was not how I defined my life. My cause—to inspire people to do the things that inspire them—is WHY I get out of bed every day. My excitement comes from trying to find new ways, different WHATs, to bring my cause to life, like, for example, writing this book.

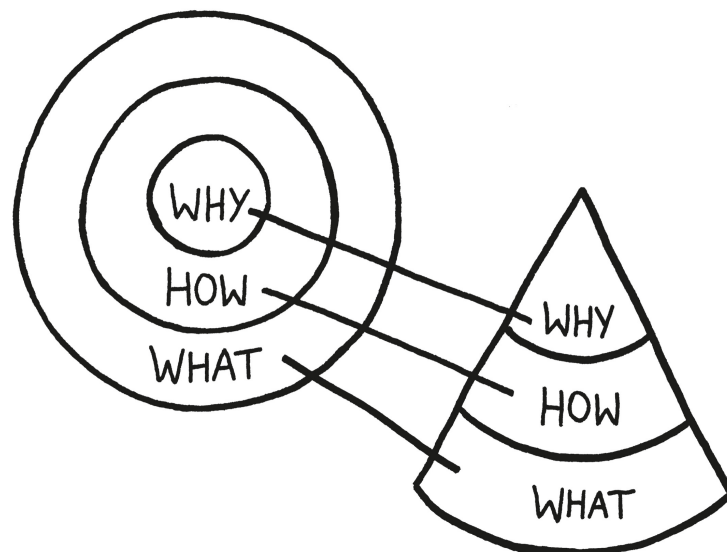
We may not be doing exactly WHAT we imagined when we were young. Our WHATs often change over time. But our WHY—our driving purpose, cause or belief—never changes. If our Golden Circle is in balance, the WHATs, the tangible things we can do to breathe life into that cause, are flexible. An airline was just one outlet for Herb Kelleher to spread his belief in freedom (he was an attorney first). Putting a man on the moon was one goal John F. Kennedy used to rally people to bring to life his belief that service to the nation—and not being serviced by the nation—would lead America to advance and prosper. Apple gave Steve Jobs a way to challenge the status quo and do something big in the world.

Living through the computer revolution, Bill Gates saw the computer as a perfect technology to help us all become more productive and achieve our greatest potential. But developing software was merely one of the things Bill Gates did to bring his cause to life. When he stepped down as CEO of Microsoft in 2000, he established the Bill & Melinda Gates Foundation. The work it does has nothing to do with software, but it is still bringing his

WHY to life. The foundation's mission statement is "to create a world where every person has the opportunity to live a healthy, productive life." Whereas before Gates helped people live more productive lives with technology, today he does it through advancements in health. For Gates, all that has changed is WHAT he is doing to bring his cause to life. A charismatic leader can do many things, but their WHATs will always be ways to bring their WHY to life.

Amplify the Source of Inspiration

The Golden Circle is not just a communication tool; it also provides some insight into how great organizations are organized. As we start to add dimension to the concept of The Golden Circle, it is no longer helpful to look at it as a purely two-dimensional model. If it is to provide any real value in how to build a great organization in our very three-dimensional world, The Golden Circle needs to be three-dimensional. The good news is, it is. It is, in fact, a top-down view of a cone. Turn it on its side and you can see its full value.



The cone represents a company or an organization—an inherently hierarchical and organized system. Sitting at the top of the system,

representing the WHY, is a leader, the keeper of the vision; in the case of a company, that's usually the CEO (or at least we hope it is). The next level down, the HOW level, typically includes the executives who are inspired by the vision and know HOW to bring it to life. Don't forget that a WHY is just a belief, HOWs are the actions we take to realize that belief and WHATs are the results of those actions. No matter how charismatic or inspiring the leader is, if there are not people in the organization inspired to bring that vision to reality, to build an infrastructure with systems and processes, then at best inefficiency reigns, and at worst failure results.

In this rendering the HOW level represents a person or a small group responsible for building the infrastructure that can make a WHY tangible. That may happen in operations, finance, marketing, human resources and all the other C-suite departments. Beneath that, at the WHAT level, is where the rubber meets the road. It is at this level that the majority of the employees sit and where all the tangible stuff actually happens.

I Have a Dream (and He's Got the Plan)

Dr. King said he had a dream, and he inspired people to make his dream their own. What Ralph Abernathy lent the movement was something else: he knew what it would take to realize that dream, and he showed people HOW to do it. He gave the dream structure. Dr. King spoke about the philosophical implications of the movement, while Abernathy, Dr. King's onetime mentor, longtime friend and financial secretary and treasurer of the Southern Christian Leadership Conference, would help people understand the specific steps they needed to take to advance their cause. Abernathy would step in after a rousing address by Dr. King and say, "Now, let me tell you what that means for tomorrow morning."

Martin Luther King Jr. was the leader, but he couldn't change America alone. Though Dr. King inspired the movement, to actually move people to action requires organizing. And, as is the case with almost all great leaders, there were many others around Dr. King who knew better HOW to do that. For every great leader, for every WHY-type, there is an inspired HOW-type

or group of HOW-types who take the intangible cause and build the infrastructure that can give it life. That infrastructure is what actually makes any measurable change or success possible.

The keeper of the vision sits at the top of the cone—at the start, the point of WHY—while the HOW-types sit below and are responsible for actually making things happen. The leader imagines the destination and the HOW-types find the route to get there. A destination without a route leads to meandering and inefficiency, something a great many WHY-types will experience without the help of others to ground them. A route without a destination, however, may be efficient, but to what end? It's all fine and good to know how to drive, but it's more fulfilling when you have a place to go. For Dr. King, Ralph Abernathy was one of the people who knew HOW to make the cause actionable and tangible. Dr. King's job was to share principles and broad strategy. Abernathy was responsible for the more practical stuff. As he recalled, "I would almost always close out the meeting with a plea to 'stay off the buses' or 'meet at such-and-such a church' or 'be sure not to resist when you are arrested'—whatever practical advice was needed to put the current plan into operation."

In the case of every great charismatic leader who has ever achieved anything of significance, there was always a person or small group lurking in the shadows who knew HOW to take the vision and make it a reality. Dr. King had a dream. But no matter how inspiring a dream may be, a dream that cannot come to life stays a dream. Dr. King dreamed of many of the same things as countless other African Americans who grew up in pre-civil rights America. He spoke of many of the same themes. He felt the same outrage against an unjust system. But it was King's unflappable optimism, his belief in nonviolent civil disobedience and his words that inspired a population.

Dr. King didn't change America by himself. He wasn't a legislator, for example, but legislation was created to give all people in the United States equal rights regardless of skin color. It wasn't Dr. King who changed America; it was the movement of millions of others whom he inspired that changed the course of history. But how do you organize millions of people?

Forget millions, how do you organize hundreds or tens of people? The vision and charisma of the leader are enough to attract the innovators and the early adopters. Trusting their guts and their intuition, these people will make the greatest sacrifices to help see the vision become a reality. With each success, with every tangible demonstration that the vision can in fact become reality, the more practical-minded majority starts to take interest. What was previously just a dream soon becomes a provable and tangible reality. And when that happens, a tipping point can be reached and then things really get moving.

Those Who Know WHY Need Those Who Know HOW

“If it hadn’t been for my big brother, I’d have been in jail several times for checks bouncing,” said Walt Disney, only half joking, to a Los Angeles audience in 1957. “I never knew what was in the bank. He kept me on the straight and narrow.” Walt Disney was a WHY-type, a dreamer whose dream came true thanks to the help of his more sensible older brother Roy, a HOW-type.

Walt Disney began his career creating cartoon drawings for advertisements but moved quickly to making animated movies. It was 1923 and Hollywood was emerging as the heart of the movie business, and Walt wanted to be part of it. Roy, who was eight years older, had been working at a bank. Roy was always in awe of his brother’s talent and imagination, but he also knew that Walt was prone to taking risks and neglecting business affairs. Like all WHY guys, Walt was busy thinking about what the future looked like and often forgot he was living in the present. “Walt Disney dreamed, drew and imagined, Roy stayed in the shadow, forming an empire,” wrote Bob Thomas, a Disney biographer. “A brilliant financier and businessman, Roy helped turn Walt Disney’s dreams into reality, building the company that bears his brother’s name.” It was Roy who founded the Buena Vista Distribution Company that made Disney films a central part of American childhood. It was Roy who created the merchandising business that transformed Disney characters into household names. But Roy never

wanted to be the front man; he preferred to stay in the background and focus on HOW to build his brother's vision.

The pessimists are usually right, to paraphrase author Thomas Friedman, but it's the optimists who change the world. Bill Gates imagined a world in which the computer could help us all reach our greatest potential. And it happened. Now he imagines a world in which malaria does not exist. And it will happen. The Wright brothers imagined a world in which we'd all take to the skies as easily as we catch the bus. And it happened. WHY-types have the power to change the course of industries or even the world...if only they knew HOW.

WHY-types are the visionaries, the ones with the overactive imaginations. They tend to be optimists who believe that all the things they imagine can actually be accomplished. HOW-types live more in the here and now. They are the realists and have a clearer sense of all things practical. WHY-types are focused on the things most people can't see, like the distant future. HOW-types are focused on the realities of the present, the things most people can see. They also tend to be better at building structures and processes and getting things done. One is not better than the other, they are just different ways people naturally see and experience the world. Gates is a WHY-type. So were the Wright brothers. And Steve Jobs. And Herb Kelleher. But they didn't accomplish what they accomplished alone. They couldn't. They needed those who knew HOW.

Most people in the world skew more toward a HOW-type. Most people are quite functional in the real world and can do their jobs and do very well. Some may be very successful and even make millions of dollars, but they will never build billion-dollar businesses or change the world. Though working alongside a WHY-type gives a greater sense of purpose and meaning to any HOW-type's work, practically speaking, HOW-types don't need WHY-types to do well. In stark contrast, WHY-types need HOW-types. Without someone by their side who is inspired by their vision and has the knowledge to make it a reality, most WHY-types end up as frustrated or starving visionaries, people with all the answers who will struggle to fulfill their dreams and potential.

Although so many of them fancy themselves visionaries, in reality most successful entrepreneurs are HOW-types. Ask an entrepreneur what they love about being an entrepreneur and most will tell you they love to build things. That they talk about building is a sure clue that they know HOW to get things done. A business is a structure—systems and processes that need to be assembled. It is the HOW-types who are more adept at building those processes and systems. But most companies, no matter how well built, do not become billion-dollar businesses or change the course of industries. To reach the billion-dollar status, to alter the course of an industry, requires a very special and rare partnership between one who knows WHY and those who know HOW.

In nearly every case of a person or an organization that has gone on to inspire people and do great things, there exists this special partnership between WHY and HOW. Bill Gates, for example, may have been the visionary who imagined a world with a PC on every desk, but Paul Allen built the company. Herb Kelleher was able to personify and preach the cause of freedom, but it was Rollin King who came up with the idea for Southwest Airlines. Steve Jobs was the rebel's evangelist, but Steve Wozniak is the engineer who made the Apple work. Jobs had the vision, Woz had the goods. It is the partnership of a vision of the future and the talent to get it done that makes an organization great.

This relationship starts to clarify the difference between a vision statement and a mission statement in an organization. The vision is the public statement of the intent, the cause the company exists to advance. It is literally the vision of a future that does not yet exist. The mission statement is a description of the route, the guiding principles—HOW the company intends to create that future. When both of those things are stated clearly, the WHY-type and the HOW-type are both certain about their roles in the partnership. Both are working together with clarity of purpose and a plan to get there. For it to work, however, requires more than a set of skills, it requires trust.

As discussed at length in part 3, trusting relationships are invaluable for us to feel safe. Our ability to trust people or organizations allows us to take

risks and feel supported in our efforts. And perhaps the most trusting relationship that exists is between the visionary and the builder, the WHY-type and the HOW-type. In organizations able to inspire, the best chief executives are WHY-types—people who wake up every day to lead a cause and not just run a company. In these organizations, the best chief financial officers and chief operating officers are high-performing HOW-types, those with the strength of ego to admit they are not visionaries themselves but are inspired by the vision and know how to build the structure that can bring it to life. The best HOW-types generally do not want to be out front preaching the vision; they prefer to work behind the scenes to build the systems that can make the vision a reality. It takes the combined skill and effort of both for great things to happen.

It's not an accident that these unions of WHY and HOW so often come from families or old friendships. A shared upbringing and life experience increases the probability of a shared set of values and beliefs. In the case of family or childhood friends, upbringing and common experiences are nearly exactly the same. That's not to say you can't find a good partner somewhere else. It's just that growing up with somebody and having a common life experience increases the likelihood of a shared common worldview.

Walt Disney and Roy Disney were brothers. Bill Gates and Paul Allen went to high school together in Seattle. Herb Kelleher was Rollin King's divorce attorney and old friend. Martin Luther King Jr. and Ralph Abernathy both preached in Birmingham, long before the civil rights movement took form. And Steve Jobs and Steve Wozniak were best friends in high school. The list goes on.

To Run or to Lead

We can't lead a company, a company is a structure. We can only lead people. We can, however, run a company. And for all the talented HOW-types running today's organizations, they can indeed achieve success that will last their lifetimes, but they will spend their lifetimes running their companies.

There are many ways to be successful and drive profits. Any number of manipulations, only some of which I've touched upon in this book, work quite well. Even the ability to create a tipping point is possible without creating lasting change. It's called a fad. But great organizations function exactly like any social movement. They inspire people to talk about a product or idea, include that product in the context of their lifestyle, share the idea or even find ways to advance the prosperity of the organization itself. Great organizations not only excite the human spirit, they inspire people to take part in helping to advance the cause without needing to pay them or incentivize them in any particular way. No cash-back incentives or mail-in rebates required. People feel compelled to spread the word, not because they have to but because they want to. They willingly take up arms to share the message that inspires them. And this is the only way to build an organization that is guaranteed to survive and thrive beyond a founder's lifetime.

Build a Megaphone That Works

After a three-month selection process, BCI finally chose a new ad agency to help develop a campaign to launch their new product line. Big Company Incorporated, my hypothetical company, is a well-known brand operating in a fairly cluttered market space. As a manufacturer, their products are sold via a third-party sales force, often on the shelves of big-box retailers, so they don't have direct control over the sales process. The best they can do is to try to influence the sale from a distance—with marketing. BCI is a good company with a strong culture. The employees respect the management, and in general the company does good work. But over the years the competition has grown fairly stiff. And although BCI has a good product and competitive pricing, it is still tough to maintain strong growth year over year. This year, BCI management is particularly excited because the company is launching a new product they really think will make BCI stand out. To help promote it, BCI's agency has launched a major new ad campaign.

“From the leading maker,” says the new ad, “comes the newest, most innovative product you’ve ever seen.” The ad goes on to talk about all the new features and benefits, and includes something about the “quality you’ve come to expect from BCI,” something the BCI executives felt quite strongly about including. BCI executives have worked hard to build their company’s reputation and they want to leverage it. They are very excited about their new campaign and are really banking on the success of this product to help drive sales in general. They know they do good work, and they want to get the message out. They need it to be loud. And with a budget of millions of dollars to advertise their new product, in that respect, BCI succeeds.

But there is a problem.

BCI and their agency do a good job of telling people about their new product. The work is quite creative. They are able to explain what is new and special about their latest innovation, and focus groups agree that the new product is much better than that of the competition. The millions of dollars in media ensure that lots of people see their advertising and see it often. Their reach and frequency, the measurement commonly used by ad agencies to gauge the number of people exposed to the advertising, is very good. There is no doubt that their message is loud. The problem is, it isn’t clear. It is all WHATs and HOW and no WHY. Even though people learn what the product does, no one knows what BCI believes. And as we know, people don’t buy WHAT you do, they buy WHY you do it. The good news is, it’s not a complete loss; the products will sell as long as the ads are on the air and the promotions remain competitive. It’s an effective strategy but an expensive way to make money.

What if Martin Luther King Jr. had delivered a comprehensive twelve-point plan about achieving civil rights in America, a plan more comprehensive than any other plan for civil rights ever offered? Booming through the speakers that summer’s day in 1963, his message would have been loud. Microphones, like advertising and PR, are fantastic for making sure a message is heard. Like BCI, King’s message would still have reached thousands of people. But his belief would not have been clear.

Volume is reasonably easy to achieve. All it takes is money or stunts. Money can pay to keep a message front and center. And publicity stunts are good at getting on the news. But neither plants seeds of loyalty. Some reading this may remember that Oprah Winfrey once gave away a free car to every member of her studio audience. It happened back in 2004, and many people still refer to the stunt. But few if any could recall the model of car she gave away. That's the problem. It was Pontiac that donated \$7 million worth of cars, 276 of their new G6 model, to be exact. And it was Pontiac that saw the stunt as a way to market their new car. Although the stunt worked well to reinforce Oprah's generous nature, something with which we are all familiar, few remember that Pontiac was a part of the event. The stunt didn't do anything to reinforce some purpose, cause or belief that Pontiac represents. We had no idea what Pontiac's WHY was before the stunt, so it's hard for the publicity stunt to do much more than, well, be a stunt to get some publicity. With no sense of WHY, there is nothing else it's doing.

For a message to have real impact, to affect behavior and seed loyalty, it needs more than publicity. It needs to publicize some higher purpose, cause or belief to which those with similar values and beliefs can relate. Only then can the message create any lasting mass-market success. For a stunt to appeal to the left side of the curve of the Law of Diffusion, WHY the stunt is being performed, beyond the desire to generate press, must be clear. Though there may be short-term benefits without clarity, loud is nothing more than excessive volume. Or in business vernacular: clutter. And companies wonder why differentiation is such a challenge these days. Have you heard the volume coming from some of them?

In contrast, what would have been the impact of Dr. King's speech had he not had a microphone and loudspeakers? His vision would have been no less clear. His words would have been no less inspiring. He knew what he believed and he spoke with passion and charisma about that belief. But only the few people with front-row seats would have been inspired by those words. A leader with a cause, whether it be an individual or an organization, must have a megaphone through which to deliver their message. And it

must be clear and loud to work. Clarity of purpose, cause or belief is important, but it is equally important that people hear you. For a WHY to have the power to move people it must not only be clear, it must be amplified to reach enough people to tip the scale.

It's no coincidence that the three-dimensional Golden Circle is a cone. It is, in practice, a megaphone. An organization effectively becomes the vessel through which a person with a clear purpose, cause or belief can speak to the outside world. But for a megaphone to work, clarity must come first. Without a clear message, what will you amplify?

Say It Only If You Believe It

Dr. King used his megaphone to rally throngs of people to follow him in pursuit of social justice. The Wright brothers used their megaphone to rally their local community to help them build the technology that could change the world. Thousands of people heard John F. Kennedy's belief in service and rallied to put a man on the moon in less than a decade. The ability to excite and inspire people to go out of their way to contribute to something bigger than themselves is not unique to social causes. Any organization is capable of building a megaphone that can achieve a huge impact. In fact, it is one of the defining factors that makes an organization great. Great organizations don't just drive profits, they lead people; they change the course of industries, and sometimes our lives, in the process.

A clear sense of WHY sets expectations. When we don't know an organization's WHY, we don't know what to expect, so we expect the minimum—price, quality, service, features—the commodity stuff. But when we do have a sense for the WHY, we expect more. For those not comfortable being held to a higher standard, I strongly advise against trying to learn your WHY or keeping your Golden Circle in balance. Higher standards are hard to maintain. It requires the discipline to constantly talk about and remind everyone WHY the organization exists in the first place. It requires that everyone in the organization be held accountable to HOW you do things—to your values and guiding principles. And it takes time and

effort to ensure that everything you say and do is consistent with your WHY. But for those willing to put in the effort, there are some great advantages.

Sir Richard Branson first built Virgin Records into a multibillion-dollar retail music brand. Then he started a successful record label. Later he started an airline that is today considered one of the premier airlines in the world. He then started a soda brand, wedding-planning company, insurance company and mobile phone service. And the list goes on. Likewise, Apple sells us computers, phones, watches, headphones and was able to replicate their capacity for innovation again and again. The ability of some companies not to just succeed but to repeat their success is due to the loyal followings they command, the throngs of people who root for their success. In the business world, they said Apple was a lifestyle brand. They underestimated Apple's power. Gucci is a lifestyle brand—Apple changed the course of industries. By any definition such companies don't function like corporate entities. They exist as social movements.

Repeating Greatness

Ron Bruder is not a household name, but he is a great leader. In 1985, he stood at a crosswalk with his two daughters waiting for the light to change so they could cross the street. A perfect opportunity, he thought, to teach the young girls a valuable life lesson. He pointed across the street to the red glow of the "Do Not Walk" signal and asked them what they thought that sign meant. "It means we have to stand here," they replied. "Are you sure?" he asked rhetorically. "How do you know it's not telling us to run?"

Soft-spoken and almost always wearing a well-tailored three-piece suit when he comes to work, Bruder looks like what you would imagine a conservative executive to look like. But don't assume you know how things work simply based on what you see. Bruder is anything but a stereotype. Though he has enjoyed the trappings of success, he is not motivated by them. They have always been the unintended by-product of his work. Bruder is driven by a clear sense of WHY. He sees a world in which people

accept the lives they live and do the things they do not because they have to but because no one ever showed them an alternative. This is the lesson he was teaching his daughters that day at the crosswalk—there is always another perspective to be considered. That Bruder always starts with WHY has enabled him to achieve great things for himself. But more significantly, it is his ability to share his WHY through the things he does that inspires those around him to do great things for themselves.

Like most of us, the career path Bruder has followed is incidental. But WHY he does things has never changed. Everything Bruder has ever done starts with his WHY, his unyielding belief that if you can simply show someone that an alternative route is possible, it can open the possibility that such a route can be followed. Like many inspiring leaders, he has changed the course of an industry. But Ron Bruder is no one-hit wonder. He has been able to repeat his success multiple times and change the course of multiple industries.

A senior executive at a large food conglomerate that sold vegetables, canned goods and meats decided to buy a travel agency for his nephew. He asked Bruder, as the chief financial officer of the company at the time, to take a look at the financials of the agency before he went through with the purchase. Seeing an opportunity others didn't, Bruder decided to join the small travel agency to help lead it. Once there, he saw how all the other travel agencies worked and took an alternative course. Greenwell became the first travel agency on the eastern seaboard to take advantage of new technologies and fully computerize their operations. Not only did they become one of the most successful companies in the region, but after only a year, their business model became a standard for the whole industry. Then Bruder did it again.

A former client of Bruder's, Sam Rosengarten, was in some dirty businesses—coal, oil and gas; all industries that created brownfields, land that had been contaminated by their operations. Little could be done with brownfields. They were too polluted to develop, and the liability to clean them up was so high that the insurance premiums alone made it too prohibitive to even try. But Bruder doesn't see challenges the same way as

everyone else. Most avoided brownfields because they could only see the cost to clean them up. Bruder focused instead on the actual cleaning. His alternative perspective revealed the perfect solution.

Bruder had already formed his real estate development company, the Brookhill Group, and with eighteen employees, he was doing quite well. Knowing what he needed to do to seize the opportunity, he approached Dames & Moore, one of the largest environmental engineering companies in the world, and shared his new perspective with them. They loved his idea and formed a partnership to pursue it. With the engineering company's 18,000 people on board, the perceived risk was greatly minimized and the insurance companies were happy to offer affordable insurance. With affordable insurance in place, Credit Suisse First Boston offered financing that gave Brookhill the ability to buy, remediate, redevelop and sell almost \$200 million worth of former environmentally contaminated properties. Brookhill, so called because Bruder comes from Brooklyn and, as he puts it, "it's a long, uphill climb to get out of Brooklyn," was the pioneer of the brownfield redevelopment industry. An industry that thrives to this day. Bruder's WHY not only steered a path that was good for business but, in the process, also helped clean up the environment.

It doesn't matter WHAT Ron Bruder does. The industries and the challenges are incidental. What never changes is WHY he does things. Bruder knows that, no matter how good an opportunity looks on paper, no matter how smart he is and no matter his track record, he would never be able to achieve anything unless there were others to help him. He knows that success is a team sport. He has a remarkable ability to attract those who believe what he believes. Talented people are drawn to him with one request: "How can I help?" Having defied accepted perspectives and revolutionized more than one industry, Bruder set his sights on a bigger challenge: world peace. He founded Education for Employment (EFE), the megaphone that would help him do it.

EFE has made significant headway in helping young men and women in the Middle East and North Africa alter the course of their lives and, indeed, the course of the region. Just as he taught his daughters at the crosswalk that

there is always an alternative route, Bruder brings an alternative perspective to the problems in the Middle East region. Like all of his past successes, EFE is driving businesses and doing a tremendous amount of good in the process. Bruder doesn't run companies, he leads movements.

All Movements Are Personal

It started on September 11, 2001. Like so many of us, Bruder turned his attention to the Middle East after the attacks to ask why something like that could happen. He understood that if such an event could happen once, it could happen again, and for the lives of his own daughters he wanted to find a way to prevent that.

In the course of trying to figure out what he could do, he made a remarkable discovery that went much deeper than protecting his daughters or even preventing terrorism in the United States. Bruder realized the problems we face with terrorism in the West have less to do with how young girls and boys in other parts of the world perceive America and more to do with what they think about themselves and how they see their futures.

When Ron reflected on the world as it was, he realized the vast majority of young people in America woke up in the morning with a feeling that there is opportunity for them in the future. Regardless of the economy, most young boys and girls who grow up in the United States have an inherent sense of optimism that they can achieve something if they want to—to live the American Dream. A young boy or girl growing up in the developing world probably does not wake up every day with the same feeling. Even if they have the desire, the same optimism is not there. It is too easy to point and say that the culture is different. That is not actionable. The real reason, he discovered, is that there was a distinct lack of institutions to give young people in other regions a sense of optimism about their future. A college education in Jordan, for example, may offer some social status, but it doesn't necessarily prepare a young adult for the existing job market. Which means, someone may get a degree and still be unqualified and

unemployable. The education system, in cases like this, perpetuates a systemic cultural pessimism.

EFE works with companies across the Middle East and North Africa to find out exactly what they need, then develops curriculum to teach young adults hard skills and human skills that will qualify them for those jobs. The students get an education that makes them feel like they have opportunity in life, to feel like they can be in control of their own destinies. The organization is a way for Bruder to share his WHY on a global scale—to teach people that there is always an alternative to the path they think they are on.

EFE is not an American charity hoping to do good in faraway lands. It is a global network. In each country where it operates, EFE creates a nonprofit that runs independently, with locals making up the majority of the board. Local leaders take personal responsibility to give young men and women that feeling of opportunity by giving them the skills, knowledge and, most importantly, the confidence to choose an alternative path for themselves. Each is tasked with leading the movement, spreading the message and giving hope to the young men and women in their respective nations. And for Maeen Aleryani, the former CEO of EFE-Yemen, because he started with WHY, he was able to achieve things that most people thought impossible.

In Yemen, though the law required children to get nine years of education, it was loosely enforced and many children, especially girls, didn't even get close to the minimum. Inspired by Bruder, Aleryani saw an amazing opportunity for young men and women to change their perspective and take greater control of their own future. He set out to find money to jump-start his EFE operation in Sana'a, Yemen's capital, and in one week was able to raise \$50,000. The speed at which he raised that amount is pretty good even by our philanthropic standards. But this is Yemen, and Yemen has no culture of philanthropy, making his achievement that much more remarkable. Yemen is also one of the poorest nations in the region. But when you tell people WHY you're doing what you're doing, remarkable things happen.

Across the region, everyone involved in EFE believes that they can help teach their brothers and sisters and sons and daughters the skills that will help them change the path that they *think* they are on. They are working to help the youth across the region believe that their future is bright and full of opportunity. And they don't do it for Bruder, they do it for themselves. That's the reason EFE will change the world.

Sitting at the top of the megaphone, at the point of WHY, Bruder's role is to inspire, to start the movement. But it is those who believe who will effect the real change and keep the movement going. Anyone, regardless of where they live, what they do, or their nationality, can participate in this movement. It's about feeling like we belong. If you believe that there is an alternative path to the one we're on, and all we have to do is point to it, then visit efe.org and find out more about how you can help. To change the world takes the support of all those who believe.

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KNOW WHY. KNOW HOW. THEN WHAT?

They marched in, single file. Not a word was spoken. No one made any eye contact with anyone else. They all looked the same. Their heads shaved, their clothes gray and tattered. Their boots dusty. One by one, they filled a large, cavernous room, like a hangar from a science fiction movie. The only color was gray. The walls were gray. Dust and smoke filled the space, making even the air look gray.

Hundreds, maybe even thousands, of these drone-people sat on neatly organized benches. Row after row after row. A sea of gray conformity. They all watched a projection of a huge talking head on the screen in the front of the room that filled the entire wall. This apparent leader recited dogma and propaganda, stating proudly that they were in complete control. They had achieved perfection. They were free of pests. Or so they thought.

Running down one of the tunnels that led into the cavernous hangar, a lone blond woman. She wore bright red shorts and a crisp white T-shirt. Like a lighthouse, her complexion and the color of her clothes seemed to shine through gray air. Pursued by security, she ran with a sledgehammer. This would not end well for the status quo.

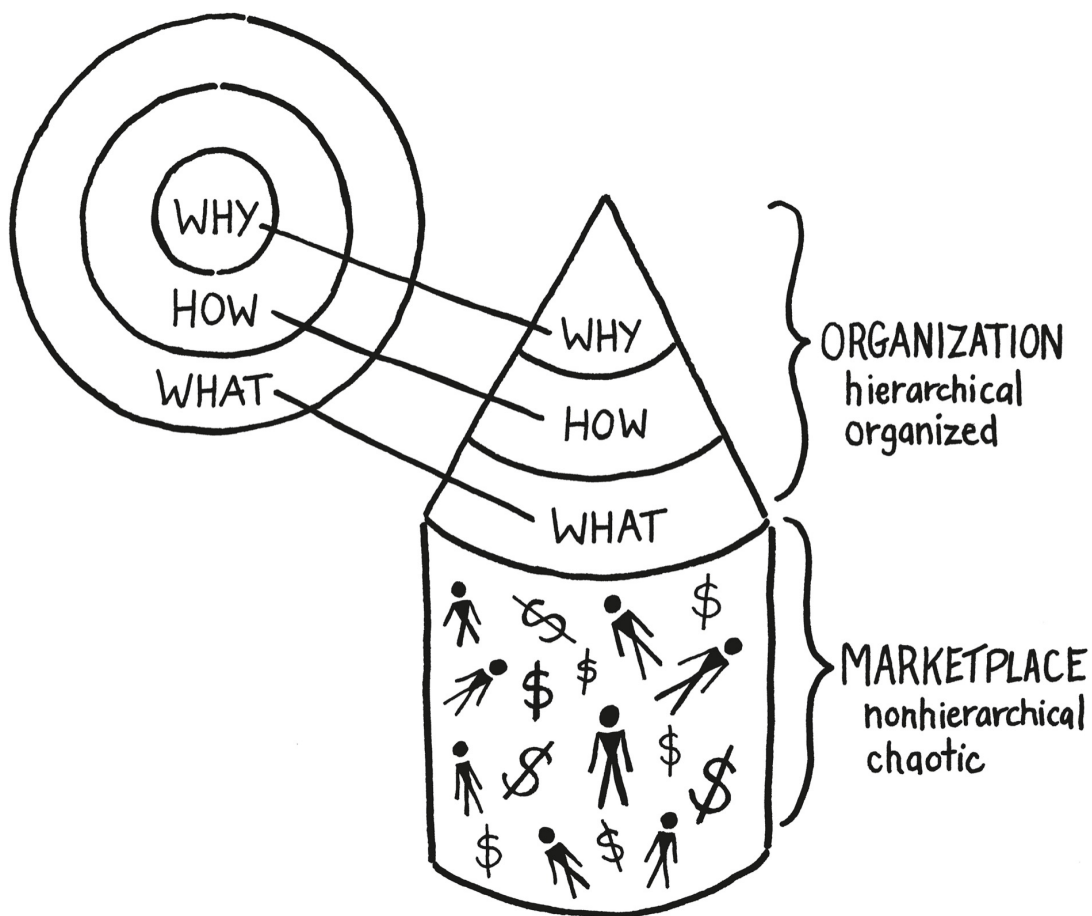
On January 22, 1984, Apple launched their Macintosh computer with their now-famous commercial depicting an Orwellian scene of a totalitarian regime holding control over a population and a promise that “1984 won’t be like 1984.” This advertising was much more than just advertising. It was not about the features and benefits of a new product. It was not about a “differentiating value proposition.” It was, for all intents and purposes, a manifesto. A poetic ode to Apple’s WHY, it was the film version of an individual rebelling against the status quo, igniting a revolution. And though their products have changed and fashions have changed, this commercial is as relevant today as it was decades ago when it first aired. And that’s because a WHY never changes. WHAT you do can change with the times, but WHY you do it never does.

The commercial was one of the many things the company has done or said over the years to show or tell the outside world what they believed. All Apple’s advertising and communications, their products, partnerships, their packaging, their store design, they were all WHATs to Apple’s WHY, proof that they were driven to empower the individual to challenge the status quo. Ever notice that their advertising rarely if ever shows groups enjoying their products? Always individuals. Their famous “Think Different” campaign depicted individuals, not groups, who thought differently. The ads showed pictures of Pablo Picasso, Martha Graham, Jim Henson, Alfred Hitchcock to name a few, with the line “Think Different” on the upper-right-hand side of the page. Apple did not embody the rebel spirit because they associated themselves with these known rebels. They chose known rebels because they embodied the same rebel spirit Apple did. The WHY came before the creative solution in the advertising.

Speak Clearly and Ye Shall Be Clearly Understood

An organization is represented by the cone in the three-dimensional view of The Golden Circle. This organized system sits atop another system: the marketplace. The marketplace is made up of all the customers and potential customers, all the press, all the shareholders, all the competition, all the

suppliers and all the money. This system is inherently chaotic and disorganized. The only contact that the organized system has with the disorganized system is at the base—at the WHAT level. Everything an organization says and does, all the products and services that the company sells, all the marketing and advertising it puts out, communicates the leader's vision to the outside world. Again, people don't buy WHAT you do, they buy WHY you do it, and if all the things happening at the WHAT level do not clearly represent WHY the company exists, then the ability to inspire is severely diminished.



When a company is small, this is not an issue because the founder has plenty of direct contact with the outside world. Trusted HOW-types may be in short supply, and the founder opts to make a majority of the big decisions. The founder or leader actually goes out and talks to customers,

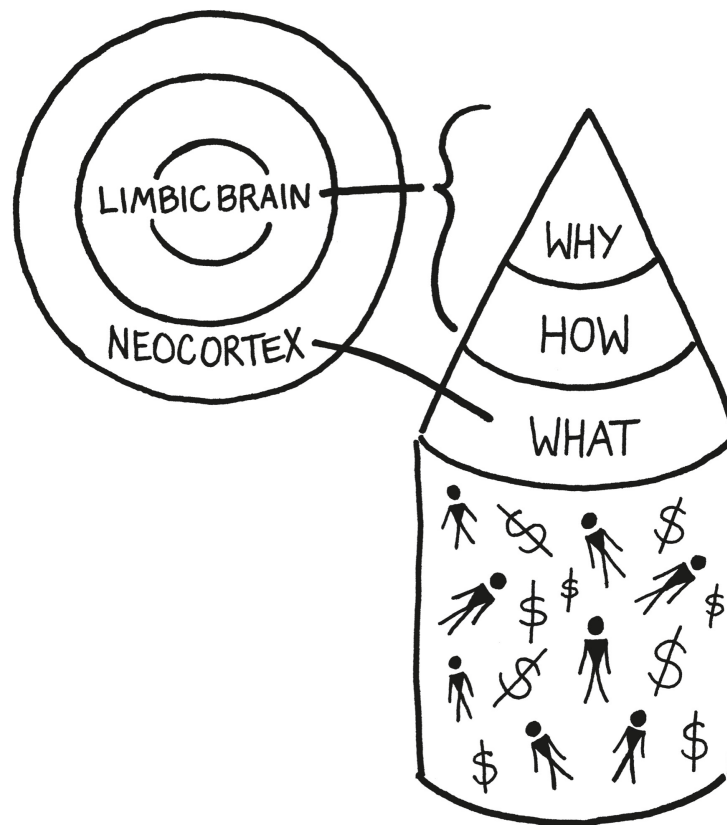
sells the product and hires most, if not all, of the employees. As the company grows, however, systems and processes are added and other people will join. The cause embodied by an individual slowly morphs into a structured organization and the cone starts to take shape. As it grows, the leader's role changes. They will no longer be the loudest part of the megaphone; they will become the source of the message that is to flow through the megaphone.

When a company is small, it often revolves around the personality of the founder. There is no debate that the founder's personality is the personality of the company. This doesn't change just because a company is successful. What's the difference between Steve Jobs the man and Apple the company? Nothing. What's the difference between Sir Richard Branson's personality and Virgin's personality? Nothing. As a company grows, the CEO's job is to personify the WHY. To ooze of it. To talk about it. To preach it. To be a symbol of what the company believes. They are the intention, and WHAT the company says and does is their voice. Great founders understand that their role is not simply to run the company. Just as Martin Luther King Jr. was to his movement, they must become symbols of their cause.

As the organization grows, the leader becomes removed, further and further away from WHAT the company does, and even further away from the outside market. I love asking CEOs what their biggest priority is, and depending on their size or structure, I generally get one of two answers: customers or shareholders. Sadly, there aren't many CEOs of companies of any reasonable size who have daily contact with customers anymore. And customers and shareholders alike both exist outside the organization in the chaotic world of the marketplace. Just as the cone demonstrates, the CEO's job, the leader's responsibility, is not to focus on the outside market—it's to focus on the layer directly beneath: HOW. The leader must ensure that there are people on the team who believe what they believe and know HOW to build it. The HOW-types are responsible for understanding WHY and must come to work every day to develop the systems and hire the people who are ultimately responsible for bringing the WHY to life. The general employees are responsible for demonstrating the WHY to the outside world in

whatever the company says and does. The challenge is whether they are able to do it clearly.

Remember the biology of The Golden Circle. The WHY exists in the part of the brain that controls feelings and decision-making but not language. WHATs exist in the part of the brain that controls rational thought and language. Comparing the biology of the brain to the three-dimensional rendering of The Golden Circle reveals a profound insight.



The leader sitting at the top of the organization is the inspiration, the symbol of the reason we do what we do. They represent the emotional limbic brain. WHAT the company says and does represents the rational thought and language of the neocortex. Just as it is hard for people to speak their feelings, like someone trying to explain why they love their spouse, it is equally hard for an organization to explain its WHY. The part of the brain that controls feelings and the part that controls language are not the same. Given that the cone is simply a three-dimensional rendering of The Golden

Circle, which is firmly grounded in the biology of human decision-making, the logic follows that organizations of any size will struggle to clearly communicate their WHY. Translated into business terms this means that trying to communicate your differentiating value proposition is really hard.

Put bluntly, the struggle that so many companies have to differentiate or communicate their true value to the outside world is not a business problem, it's a biology problem. Just like a person struggling to put their emotions into words, we rely on metaphors, imagery and analogies to try to communicate how we feel. Absent the proper language to share our deep emotions, our purpose, cause or belief, we tell stories. We use symbols. We create tangible things for those who believe what we believe to point to and say, "That's why I'm inspired." If done properly, the marketing, branding and products and services all serve as a clear megaphone—a way for organizations to communicate to the outside world. Communicate clearly and you shall be understood.

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10

COMMUNICATION IS NOT ABOUT SPEAKING, IT'S ABOUT LISTENING

Martin Luther King Jr., a man who would become a symbol of the entire civil rights movement, chose to deliver his famous “I Have a Dream” speech in front of another symbol: the Lincoln Memorial. Like King, Lincoln stands (or, in the case of the memorial, sits) as a symbol of the American value of freedom for all. Great societies understand the importance of symbols as a way of reinforcing their values, of capturing their beliefs. Dictators also understand the importance of symbols. But in their case, the symbols are often used to reinforce their ultimate authority. Symbols help us make tangible that which is intangible. And the only reason symbols have meaning is because we infuse them with meaning. That meaning lives in our minds, not in the item itself. Only when the purpose, cause or belief is clear can a symbol command great power.

The flag, for example, is a symbol of our nation’s values and beliefs. Which is why we follow the flag into battle. That’s some serious power. Ever notice the patch of the American flag on a soldier’s right arm? It’s

backward. There was no mistake made, it's like that on purpose. A flag flying on a staff, as an army was rushing into battle, would appear backward if viewed from the right side. To put it the "the right way around" on the right shoulder would make it appear as if the soldier were in retreat.

Our flag is infused with so much meaning that some have tried to pass laws banning its desecration. It's not the material out of which the flag is sewn that people aim to protect. The laws they propose have nothing to do with the destruction of property. Their goal is to protect the meaning the symbol represents: the WHY. The laws they drafted tried to protect the intangible set of values and beliefs by protecting the symbol of those values and beliefs. Though the laws have been struck down by the Supreme Court, they have spurred contentious and emotionally charged debates. They pit our desire for freedom of expression against our desire to protect a symbol of that freedom.

Ronald Reagan, the Great Communicator, knew the power of symbols well. In 1982, he was the first president to invite a "hero" to sit in the balcony of the House Chamber during the State of the Union address, a tradition that has continued every year since. A man who exuded optimism, Reagan knew the importance of symbolizing the values of America instead of just talking about them. His guest, who sat with the First Lady, was Lenny Skutnik, a government employee who had dived into the icy Potomac just days before to save a woman who had fallen from a helicopter that was attempting to rescue her after an Air Florida plane crashed into the river. Reagan was trying to make a point, that words are hollow but deeds and values are deep. After he told Skutnik's story he waxed, "Don't let anyone tell you that America's best days are behind her, that the American spirit has been vanquished. We've seen it triumph too often in our lives to stop believing in it now." Skutnik became Reagan's symbol of courage.

Most companies have logos, but few have been able to convert those logos into meaningful symbols. Because most companies are bad at communicating what they believe, it follows that most logos are devoid of any meaning. At best they serve as icons to identify a company and its products. A symbol cannot have any deep meaning until we know WHY it

exists in terms bigger than simply to identify the company. Without clarity of WHY, a logo is just a logo.

To say that a logo stands for quality, service, innovation and the like only reinforces its status as just a logo. These qualities are about the company or the product, and not about the cause. Remember the dictators. They understand the power of symbols, except the symbols are about themselves. Too many companies act like dictators—it's all about them. They tell us how great they are, but they do not inspire us with a vision of the world that we can share. As a result, like a dictator, companies will find it hard to command loyalty beyond the life of the product (Remember the RAZR). And to take the analogy a step further, the way dictators maintain their power is heavily slanted toward manipulation. Using promises and threats, playing on our aspirations and our anxieties for their benefit. For companies to be perceived as great leaders and not dictators, all their symbols, including their logos, need to stand for something in which we can all believe.

There is a very simple test any company can apply to gauge whether their logo has become a symbol for a larger cause. It's the Swag Test. If we get some swag with a logo on it—a T-shirt or a baseball cap, for example—if we proudly wear the T-shirt when we go out with friends, it's because that logo is now a symbol of who we are and what we believe. But if we keep that T-shirt to sleep in or paint the house in, then it's just a logo of a company that doesn't reflect anything about what we stand for. The best example of this is the Harley-Davidson logo.

There are people who have Harley-Davidson tattoos on their bodies. That's insane! They actually tattooed a corporate logo on their skin. Some of them don't even own the product! Why would rational people tattoo a corporate logo on their bodies? The reason is simple. After years of Harley being crystal clear about what they believe, after years of being disciplined about a set of values and guiding principles and after years of being doggedly consistent about everything they say and do, their logo has become a symbol. It no longer simply identifies a company and its products; it identifies a belief.

In truth, most people who tattoo Harley-Davidson logos on their bodies have no idea what the stock price of Harley is. They have no idea about some management shake-up the week before. That symbol is no longer about Harley. The logo embodies an entire value set—their own. The symbol is no longer about Harley, it's about them. Randy Fowler, a former U.S. Marine who became the general manager of a Harley-Davidson dealership in California, proudly sports a large Harley tattoo on his left arm. "It symbolizes who I am," he says. "Mostly, it says I'm an American." Customer and company are now one and the same. The meaning of Harley-Davidson has value in people's lives because, for those who believe in Harley's WHY, it helps them express the meaning of their own lives.

Because of Harley's clarity, discipline and consistency, most will know what a Harley symbol means. That's the reason why when someone walks into a bar with a big Harley logo on their arm we take a step back and give them a wide berth. The symbol has become so meaningful, in fact, that 5 percent of Harley-Davidson revenues are strictly from merchandising. That may not sound like a lot until you realize that it's worth over \$250 million a year with a profit margin of about 40 percent, compared to the margin on motorcycles, which is about 15 to 20 percent. That's remarkable.

It's not just logos, however, that can serve as symbols. Symbols are any tangible representation of a clear set of values and beliefs. An ink-stained finger for first-time voters in a fledgling democracy is a symbol of a new beginning. A London double-decker bus or a cowboy hat—both are symbols of national cultures. But national symbols are easy because most nations have a clear sense of culture that has been reinforced and repeated for generations. It is not a company or organization that decides what its symbols mean, it is the group outside the megaphone, in the chaotic marketplace, who decides. If, based on the things they see and hear, the outsiders can clearly and consistently report what an organization believes, then, and only then, can a symbol start to take on meaning. It is the truest test of how effective a megaphone has been produced—when clarity is able to filter all the way through the organization and come to life in everything that comes out of it.

Go back to Apple's "1984" commercial. For those who have seen it, does it make you think about Apple and its products or do you simply like the sentiment? Or the line "Think Different." Does it speak to you?

In its day, Mac customers loved this commercial; it may even have given them goose bumps when they watched it—a surefire test that the WHY was connecting with them on a visceral or limbic level. In fact, this commercial, after they learned it was from Apple, may have reinforced their decision to buy a Mac, whether for the first time or the tenth time. This commercial, like all Apple's advertising, was one of the things Apple said or did to reinforce what they believed. It was every bit consistent with the clear belief they embodied. And if someone who was not an Apple lover still related to the commercial, odds were they still liked the idea of thinking differently. The message of that ad was one of the things Apple did to tell their story. It was one of the WHATs to their WHY. It was a symbol. It is for these reasons that we say of a piece of advertising, "It really speaks to me." It's not really speaking to us, it's speaking to the millions of people who saw the ad. When we say that something like that "speaks to me," what we're really saying is, through all this clutter and noise, I can hear that. I can hear it and I will listen. This is what it means for a message that comes out of the megaphone to resonate.

Everything that comes out of the base of the megaphone serves as a way for an organization to articulate what it believes. What a company says and does are the means by which the company speaks. Too many companies put a disproportionate amount of weight on their products or services simply because those are the things that bring in the money. But there are many more things at the base of the megaphone that play an equal role in speaking to the outside world. Though products may drive sales, they alone cannot create loyalty. In fact, a company can create loyalty among people who aren't even customers. I spoke favorably of Apple long before I bought one. And I spoke disparagingly of a certain PC brand even though I'd been buying their products for years.

Apple's clarity, discipline and consistency—their ability to build a megaphone that was clear and loud—is what commanded such loyalty.

They have been accused of having a cult-like following. Those inside the company were often accused of following the “cult of Steve.” Whether a compliment or an insult, if any company can be accused of creating a cult-like following, it means their megaphone is working. It is proof that others have taken on the cause and made it their own. That experts described Apple products and marketing as a “lifestyle” reinforces that people who love Apple products are using WHAT Apple does to demonstrate their own personal identity. We call it “lifestyle marketing” because people have integrated commercial products into the style of their lives. Apple, with great efficiency, built a perfectly clear megaphone, leveraged the Law of Diffusion and invited others to help spread the gospel—not for the company, for themselves.

Even their promotions and partnerships served as tangible proof of what they believed. In 2003 and 2004, Apple ran a promotion for iTunes with Pepsi—the cola branded as “the choice of the next generation.” It made sense that Apple would do a deal with Pepsi, the primary challenger to Coca-Cola, the status quo. Everything Apple said and did served as tangible proof of what they believed. The reason I use Apple so extensively throughout this book is that Apple was so disciplined in HOW they did things and so consistent in WHAT they did that, love them or hate them, we all have a sense of their WHY.

Most of us didn’t read books about them. We didn’t personally know Steve Jobs. We haven’t spent time roaming the halls of Apple’s headquarters to get to know their culture. The clarity we have about what Apple believed comes from one place and one place only: Apple. People don’t buy WHAT you do, they buy WHY you do it, and Apple said and did only the things they believed. If WHAT you do doesn’t prove what you believe, then no one will know what your WHY is and you’ll be forced to compete on price, service, quality, features and benefits—the stuff of commodities. Apple had a clear and loud megaphone and was exceptionally good at communicating their story.

The Celery Test

In order to improve HOW and WHAT we do, we constantly look to what others are doing. We attend conferences, read books, talk to friends and colleagues to get their input and advice, and sometimes we are also the dispensers of advice. We are in pursuit of understanding the best practices of others to help guide us. But it is a flawed assumption that what works for one organization will work for another. Even if the industries, sizes and market conditions are the same, the notion that “If it’s good for them, it’s good for us” is simply not true.

I know of a company with an amazing culture. When asked, the employees say they love that all the conference rooms have ping-pong tables in them. Does that mean that if another company were to put ping-pong tables in all their conference rooms their culture would automatically improve? Of course not. But this is an example of “best practices.” The idea that copying WHAT or HOW things are done at high-performing organizations will inherently work for you is just not true. Remember the Ferrari and the Honda? What is good for one company is not necessarily good for another. Put simply, best practices are not always best.

It is not just WHAT or HOW you do things that matters; what matters more is that WHAT and HOW you do things is consistent with your WHY. Only then will your practices indeed be best. There is nothing inherently wrong with looking to others to learn what they do; the challenge is knowing what practices or advice to follow. Fortunately, there is a simple way you can find out exactly WHAT and HOW is right for you. I call it the Celery Test.

Imagine you go to a dinner party and somebody comes up to you and says, “You know what you need in your organization? M&M’s. If you’re not using M&M’s in your business, you’re leaving money on the table.”

Somebody else comes up to you and says, “You know what you need? Oat milk. The data shows that all the people are buying oat milk these days. You should be selling oat milk in this economy.”

While you're standing over the punch bowl, yet another person offers some sage advice. "Oreo cookies," he says. "We made millions from implementing Oreo cookies in our organization. You've got to do it."

Still somebody else comes up to you and says, "Celery. You've got to get into celery."

You get all this great advice from all these highly accomplished people. Some of them are in the same industry. Some of them are more successful than you. Some of them have offered similar advice to others with great success. Now, what do you do?

You go to the supermarket and you buy celery, oat milk, Oreos and M&M's. You spend a lot of time at the supermarket walking the aisles. You spend a lot of money because you buy everything. You may or may not get any value from some or all of these products; there are no guarantees. Worse, if you're budget-constrained, you had to whittle down your choices again. And then which do you choose?

One thing's for sure: when you're standing in line at the supermarket with all of these items in your arms, your celery, oat milk, Oreos and M&Ms, nobody can see what you believe. What you do is supposed to serve as the tangible proof of what you believe, and you bought everything.

But what if you knew your WHY before you went to the supermarket? What if your WHY is to do only things that are healthy? To always do the things that are good for your body? You'll get all the same good advice from all the same people; the only difference is, the next time you go to the supermarket, you'll buy only oat milk and celery. Those are the only products that make sense. It's not that the other advice isn't good advice, it's just not good for you. The advice doesn't fit.

If you filter your decisions through your WHY, you spend less time at the supermarket and you spend less money, so there's an efficiency advantage also. You're guaranteed to get value out of all the products you bought. And, most importantly, when you're standing in line with your products in your arms, everybody can see what you believe. With only celery and oat milk it's obvious to people walking by what you believe. "I can see that you believe in looking after your health," they may say to you.

“I feel the same way. I have a question for you.” Congratulations. You just attracted a customer, an employee, a partner or a referral simply by making the right decisions. Simply ensuring that WHAT you do proves what you believe makes it easy for those who believe what you believe to find you. You have successfully communicated your WHY based on WHAT you do.

This is an idealistic concept and in the real world that level of discipline is not always possible. I understand that sometimes we have to make short-term decisions to pay bills or get some short-term advantage. That’s fine. The Celery Test still applies. If you want a piece of chocolate cake, go right ahead. The difference is, when you start with WHY, you know full well that the chocolate cake is a short-term decision that doesn’t fit with your beliefs. You’re under no illusions. You know you are only doing it for the short-term sugar rush and you’ll have to work a little harder to get it out of your system. I have seen too many companies that either come across a new opportunity or get funding from a venture capitalist who doesn’t care about their cause and think that these things are going to set them on their path to glory, only to have their business blow up or deflate over time. They were seduced by the chocolate cake and just couldn’t resist. They ignored the Celery Test.

Starting with WHY not only helps you know which is the right advice for you to follow, but also to know which decisions will put you out of balance. You can certainly make those decisions if you need to, but don’t make too many of them; otherwise over time, no one will know what you believe.

But here’s the best part. As soon as I told you the WHY, you knew that we were going to buy only celery and oat milk even before you read it. As soon as I gave you the filter, as soon as I said the WHY, you knew exactly what decisions to make before I said so.

That’s called scale.

With a WHY clearly stated in an organization, anyone within the organization can make a decision as clearly and as accurately as the founder. A WHY provides the clear filter for decision-making. Any

decisions—hiring, partnerships, strategies and tactics—should all pass the Celery Test.

The More Celery You Use, the More Trust You Earn

Mark Rubin is a good parent. He spends a lot of time with his two daughters, Lucy and Sophie. One Saturday afternoon, his wife, Claudine, took Lucy to a friend's for a playdate and Mark was left home to look after five-year-old Sophie. Feeling a little tired, Mark really wanted to just have a little time to relax on the couch and not have to play tree house again for the ninth time that day. To keep Sophie occupied, he opted for the TV as babysitter. Mark had two movies to choose from. He hadn't seen either of them or heard anything about them in the press or from friends with small children. Both movies were cartoons. Both were age-appropriate. Both had high star ratings. The only difference was that one of the movies was from some company he'd never heard of and the other was from Disney. Which one did he choose? Which one would you choose?

The answer is so clear it verges on a silly question. We inherently trust the movie from Disney a little more. Disney is not a perfect company. They occasionally have management and leadership issues. Their stock price sometimes goes down. They have lawsuits filed against them all the time. Some would lump them in with all the other nasty corporations that work to appease Wall Street. So why would we trust them more?

Disney operates with a clear sense of WHY—they exist to promote good, clean family fun and everything they say and do has, for decades, worked to prove it. The reason we trust Disney is simple; we know what they believe. They pass the Celery Test. They have been so consistent over time in everything they say and do that parents trust them enough to expose their children to Disney content without vetting it first. This has nothing to do with quality products. This is not rational.

In Violation of Celery

Birkenstock sandals, tie-dyed T-shirts, daisy chains and a VW van. All are symbols of the hippie ideals of peace, love and all things vegetarian. So it was a bit of a surprise in 2004 when Volkswagen introduced a \$70,000 luxury model to their lineup. The company famous for putting a vase for fresh flowers on the dashboard of their new Beetle introduced the Phaeton in an attempt to compete with high-end luxury cars, including the Mercedes-Benz S-Class and the BMW 7 Series. The V-8, 335-horsepower car boasted some of the most advanced features in the industry, like an air compressor suspension system and a draftless, four-zone climate control. It even included an electronically controlled shiatsu massage system in the seats. The car was an astounding achievement. It was very comfortable and was a monster on the road, outperforming other more established luxury cars in its class. The critics loved it. But there was a small problem. Despite all the facts and figures, features and benefits, and regardless of the world-renowned German engineering, few people bought one. It just didn't make sense. What VW had done was inconsistent with what we knew them to believe.

Volkswagen, which translated means “people’s car,” had spent generations making cars for you and me. Everyone knew what VW stood for—power to the people. It brought its cause to life with products that were all about quality that the average person could afford. But in a single swoop of German ingenuity, VW put itself completely out of balance. This is not like Dell coming out with an MP3 player or United starting the low-cost airline Ted. In those cases, we had no idea what the companies’ WHYs were. Absent any knowledge or feeling for their WHY, we couldn’t bring ourselves to buy products from them that were anything beyond WHAT they did. In this case, VW had a clear WHY, but WHAT they produced was completely misaligned. They failed the Celery Test.

Toyota and Honda knew this better than Volkswagen. When they decided to add luxury models to their lineups, they created new brands, Lexus and Acura, respectively, to do it. Toyota had become a symbol of

efficiency and affordability to the general population. They had built their business on a suite of low-cost cars. They knew that the market would not pay a premium for a luxury car with the same name or with the same logo on the hood.

If a company tries too many times to “seize market opportunities” inconsistent with their WHY, over time their WHY will go fuzzy and their ability to inspire and command loyalty will deteriorate.

What companies say and do matters. A lot. It is at the WHAT level that a cause is brought to life. It is at this level that a company speaks to the outside world, and it is when they do so that we can learn what the company believes.

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PART 5

THE BIGGEST CHALLENGE IS SUCCESS

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11

WHEN WHY GOES FUZZY

Goliath Flinched

“A lot of what goes on these days with high-flying companies and these overpaid CEOs, who’re really just looting from the top and aren’t watching out for anybody but themselves, really upsets me. It’s one of the main things wrong with American business today.” This is the sentiment passed down from the founder of what was, for a while, one of the most vilified companies in recent history.

Raised on a farm in America’s heartland, he came of age during the Great Depression. This probably explained his predisposition for frugality. Standing five feet nine inches and weighing only 130 pounds when he played football in high school, Sam Walton, the founder of Walmart, learned early on the value of working hard. Working hard leads to winning. And as the quarterback on his high school football team, he won a lot. In fact, they went on to become state champs. Walton got so used to winning all the time that he couldn’t fully visualize what losing looked like. He simply couldn’t imagine it. Walton even philosophized that always thinking about winning probably became a self-fulfilling prophecy for him. Even

during the Depression, he had a highly successful paper route that earned him a decent wage for the times.

By the time Sam Walton died, he had taken Walmart from a single store in Bentonville, Arkansas, and turned it into a retail colossus with 40 million people shopping in the stores per week and \$44 billion in annual sales. But it takes more than a competitive nature, a strong work ethic and a sense of optimism to build a company big enough to equal the twenty-third-largest economy in the world.

Walton wasn't the first person with big dreams to start a small business. Many small business owners dream of making it big. I meet a lot of entrepreneurs, and it is amazing how many of them tell me their goal is to build a billion-dollar company. The odds, however, are significantly stacked against them. There are some 33 million registered businesses in the United States today and only a thousand of them get to be Fortune 1000 companies, which these days requires about \$1.5 billion in annual revenues. That means that less than .003 percent of all companies make it to the illustrious list. To have such an impact, to build a company to a size where it can drive markets, requires something more.

Sam Walton did not invent the low-cost shopping model. The five-and-dime variety store concept had existed for decades, and Kmart and Target opened their doors the same year as Walmart, in 1962. Discounting was already a \$2 billion industry when Walton decided to build his first Walmart. There was plenty of competition beyond Kmart and Target, some of it much better funded and with better locations and seemingly better opportunities for success than Walmart. Sam Walton didn't even invent a better way of doing things than everyone else. He admitted to "borrowing" many of his ideas about the business from Sol Price, the founder of FedMart, a retail discounter founded in Southern California during the 1950s.

Walmart was not the only retail establishment capable of offering low prices either. Price, as we've already established, is a highly effective manipulation. But it alone does not inspire people to root for you and give you the undying loyalty needed to create a tipping point to grow to massive

proportions. Being cheap does not inspire employees to give their blood, sweat and tears. Walmart did not have a lock on cheap prices, and cheap prices are not what made it so beloved and ultimately so successful.

For Sam Walton, there was something else, a deeper purpose, cause or belief that drove him. More than anything else, Walton believed in people. He believed that if he looked after people, people would look after him. The more Walmart could give to employees, customers and the community, the more that employees, customers and the community would give back to Walmart. “We’re all working together; that’s the secret,” said Walton.

This was a much bigger concept than simply “passing on the savings.” To Walton, the inspiration came not simply from customer service but from service itself. Walmart was WHAT Walton built to serve his fellow human beings. To serve the community, to serve employees and to serve customers. Service was a higher cause.

The problem was that his cause was not clearly handed down after he died. In the post-Sam era, Walmart slowly started to confuse WHY it existed—to serve people—with HOW it did business—offering low prices. They traded the inspiring cause of serving people for a manipulation. Their driving motivation became all about being “cheap,” which meant efficiency and margins became the name of the game. “A computer can tell you down to the dime what you’ve sold, but it can never tell you how much you could have sold,” Walton once said. There is always a price to pay for the money you make, and given Walmart’s sheer size, that cost wasn’t paid in dollars and cents alone. In Walmart’s case, forgetting their founder’s WHY came at a very high human cost as well. Ironical, considering the company’s founding cause.

The company once renowned for how it treated employees and customers was scandal-ridden for almost a decade. Nearly every scandal centered on how poorly they treated their customers and their employees. At one point, Walmart faced seventy-three class-action lawsuits related to wage violations and had already paid hundreds of millions of dollars in past judgments and settlements. A company that believed in the symbiotic relationship between corporation and community managed to drive a wedge

between themselves and so many of the communities in which they operated. There was a time when legislators helped pass laws to allow Walmart into new communities; now lawmakers rallied to keep them out. Fights to block Walmart from opening new stores erupted across the country. In New York, for example, city representatives in Brooklyn joined forces with labor unions to block the opening of a new store because of Walmart's reputation for unfair labor practices.

The way Walmart thought, acted and communicated after the passing of their inspired leader was not a result of their competitors outsmarting them. Kmart filed for Chapter 11 bankruptcy protection in 2002 and merged with Sears three years later. And Sears is a shadow of its former self, with fewer than twenty stores left. A far cry from the 687 stores it had in its heyday. Walmart's annual revenue is nearly six times more than Target each year, and even the mighty Amazon only passed Walmart sales for the first time in 2021. Looking beyond discount retailing, Walmart operates the largest supermarket in the world. Outside competition is not what hurt the company. The greatest challenge Walmart faced over the years came from one place: itself.

For Walmart, WHAT they did and HOW they did it hadn't changed. And it had nothing to do with Walmart being a "corporation"; they were one of those before the love started to decline. What changed was that their WHY went fuzzy. And everyone knew it. A company that was once so loved simply stopped being loved anymore. The negative feelings people had for the company were real, but the part of the brain that is able to explain why they felt so negatively toward the company had trouble explaining what changed. So people rationalized and pointed to the most tangible thing they could see—size and money. If the general public, as outsiders, had lost clarity regarding Walmart's WHY, it was a sign that the WHY had gone fuzzy inside the company also. If it's not clear on the inside, it will never be clear on the outside. What was clear was that the Walmart of those years was not the Walmart that Sam Walton built. So what happened?

It's too easy to say that they only cared about their bottom line. That may be true. But what happened that made them change from being cause

first to money first? All companies have to make money, and simply achieving financial success doesn't explain the shift. There is a deeper reason, the real reason things change when companies succeed. It is not destiny or some mystical business cycle that transforms successful companies into impersonal Goliaths. It's people.

Achievement vs. Success

There is an irony to success. Many people achieve great things but still don't feel successful. That's because success and achievement are not the same thing, even though we often mistake one for the other. Achievement is something you reach or attain, like a goal. It is something tangible, clearly defined and measurable. Success, in contrast, is a feeling or a state of being. "She feels successful. She *is* successful," we say, using the verb *to be* to suggest this state of *being*. While we can easily lay down a path to reach a goal, laying down a path to reach that intangible feeling of success is more elusive. In my vernacular, achievement comes when you pursue and attain WHAT you want. Success comes when you are clear in pursuit of WHY you want it. The former is motivated by tangible factors while the latter by something deeper in the brain, where we lack the capacity to put those feelings into words.

Success comes when we wake up every day in that never-ending pursuit of WHY we do WHAT we do. Our achievements, WHAT we do, serve as the milestones to indicate we are on the right path. It is not an either/or—we need both. A wise man once said, "Money can't buy happiness, but it pays for the yacht to pull alongside it." There is great truth in this statement. The yacht represents achievement; it is easily seen and, with the right plan, completely attainable. The thing we pull alongside represents that hard-to-define feeling of success. Obviously, this is much harder to see and attain. Achievement and success are distinct concepts, and sometimes they go together and sometimes they don't. More importantly, some people, while in pursuit of success, simply mistake WHAT they achieve as the final destination. This is the reason they never feel satisfied no matter how big

their yacht is, no matter how much they achieve. The false assumption we often make is that if we simply achieve more, the feeling of success will follow. But it rarely does.

In the course of building a business or a career, we become more confident in WHAT we do. We become greater experts in HOW to do it. With each achievement, the tangible measurements of success and the feeling of progress increase. Life is good. However, for most of us, somewhere in the journey we forget WHY we set out in the first place. This is true for individuals and organizations alike. What many entrepreneurs experience as individuals is the same transition that Walmart and other big companies either have gone through or are going through. And the greater the scale of the operation, the greater the impact of a fuzzy WHY. Employees, customers and the community will all feel it.

Those with an ability to never lose sight of WHY, no matter how little or how much they achieve, can inspire us. Those with the ability to never lose sight of WHY and also achieve the milestones that keep everyone focused in the right direction are the great leaders. For great leaders, The Golden Circle is in balance. They are in pursuit of WHY, they hold themselves accountable to HOW they do it and WHAT they do serves as the tangible proof of what they believe. But most of us, unfortunately, reach a place where WHAT we are doing and WHY we are doing it eventually fall out of balance. We get to a point when WHY and WHAT are not aligned. It is the separation of the tangible and the intangible that marks the split.

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SPLIT HAPPENS

Walmart started small. So did Microsoft. So did Apple. So did General Electric and Ford and almost every other company that made it big. They didn't start by acquisition or spin-off, or achieve mass scale overnight. Nearly every company or organization starts the same way: with an idea. No matter whether an organization grows to become a multibillion-dollar corporation like Walmart or fails in the first few years, most of them started with a single person or small group of people who had an idea. Even the United States of America started this way.

At the beginning, ideas are fueled by passion—that very compelling emotion that causes us to do quite irrational things. That passion drives many people to make sacrifices so that a cause bigger than themselves can be brought to life. Some drop out of school or quit a perfectly good job with a good salary and benefits to try to go it alone. Some work extraordinarily long hours without a second thought, sometimes sacrificing the stability of their relationships or even their personal health. This passion is so intoxicating and exciting that it can affect others as well. Inspired by the founder's vision, many early employees demonstrate classic early-adopter behavior. Relying on their gut, these first employees also quit their perfectly

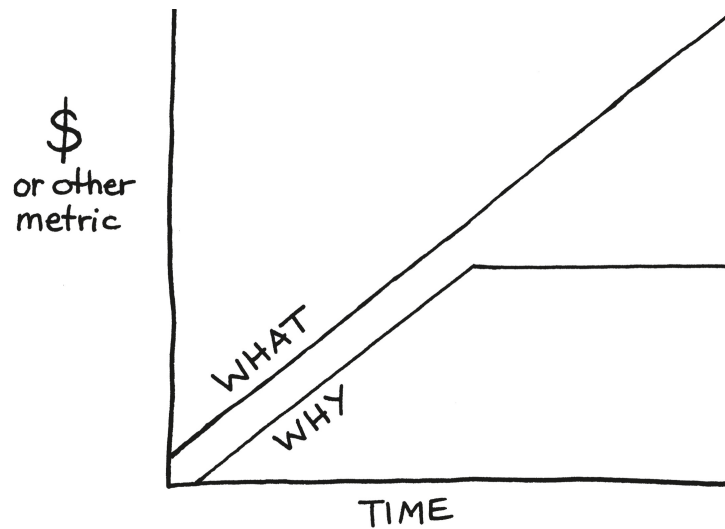
good jobs and accept lower salaries to join an organization with a 90 percent statistical chance of failing. But the statistics don't matter; passion and optimism reign and energy is high. Like all early adopters, the behavior of those who join early says more about them than it does about the company's prospects.

The reason so many small businesses fail, however, is because passion alone can't cut it. For passion to survive, it needs structure. A WHY without the HOWs, passion without structure, has a very high probability of failure. Remember the dot-com boom? Lots of passion but not so much structure. An uncomfortably high number of entrepreneurial ventures have the opposite problem, however. Those leaders know how to build the systems and processes to grow their companies. They become part of the statistical 10 percent of small businesses that don't fail in their first three years. Many may go on to do quite well, in fact. Their challenge is different. Passion may need structure to survive, but for structure to grow, it needs passion.

I've known highly successful business owners who had passion enough to start businesses and the knowledge to build the systems and structures to survive and even do very well. But having spent so many years focused on converting their visions into viable businesses, many started to fixate on WHAT the organization did or HOW to do it. Poring over financials or some other easily measured result, and fixating on HOW they were to achieve those tangible results, they stopped focusing on WHY they started the business in the first place. This is what happened at Walmart. A company obsessed with serving the community became obsessed with achieving its goals.

Walmart used to think, act and communicate from the inside out of The Golden Circle—from WHY to WHAT. But as they grew more successful, the process reversed. WHAT now came first, and all their systems and processes were in pursuit of those tangible results. The reason the change happened is simple—their WHY went fuzzy and they suffered a split.

The Biggest Challenge Is Success



The single greatest challenge any organization will face is...success. When the company is small, the founder will rely on their gut to make all the major decisions. From marketing to product, from strategy to tactics, hiring and firing, the decisions the founder makes will feel right. But as the organization grows, as it becomes more successful, it becomes physically impossible for one person to make every major decision. Not only must others be trusted and relied upon to make big decisions, but those people will also start making hiring choices. And slowly but surely, as the megaphone grows, the clarity of WHY starts to dilute.

Whereas gut was the filter for early decisions, rational cases and empirical data often serve as the sole basis for later decisions. Organizations that go through the split are no longer inspired by a cause greater than themselves. They simply come to work, manage systems and try to reach certain preset goals. There is no longer a cathedral to build. The passion is gone and inspiration is at a minimum. At that point, for most who show up every day, what they do is just a job (if this is how the people on the inside feel, imagine how they think about or treat the people outside the company). It is no wonder that manipulations start to dominate not only how the company sells its wares but even how they retain employees.

Bonuses, promotions and other enticements, even instilling fear in people, become the only way to hold on to talent. That's hardly inspiring.

This diagram depicts the life of an organization. The top line represents the growth of WHAT the organization does. For a company, that measurement is usually money—profits, revenues, EBITA, share price or growth in market share. But the metric can be anything, depending on what the organization does. If the organization rescues lost puppies, then the metric would be the number of puppies successfully rescued. It is inherently simple to measure the growth of WHAT an organization does. WHATs, after all, are tangible and easy to count.

The second line represents the WHY, the clarity of the founding purpose, cause or belief. The goal is to ensure that as the measurement of WHAT grows, the clarity of the WHY stays closely aligned. Put another way, as the volume of the megaphone increases, the message traveling through it must stay clear.

The volume of the megaphone comes solely from growth of WHAT. As this metric grows, any company can become a “leading” company. But it is the ability to inspire, to maintain clarity of WHY, that gives only a few people and organizations the ability to lead. The moment at which the clarity of WHY starts to go fuzzy is the split. At this point organizations may be loud, but they are no longer clear.

When organizations are small, WHAT they do and WHY they do it are in close parallel. Born out of the personality of the founder, it is relatively easy for early employees to “get it.” Clarity of WHY is understood because the source of passion is near—in fact it physically comes to work every day. In most small businesses all the employees are crammed into the same room and socialize together. Simply being around a charismatic founder allows that feeling of being a part of something special to flourish. Although there may be some efficiencies to be gained, for small businesses that are perfectly comfortable staying small, the need to articulate the WHY is not as important. For organizations that want to pass the School Bus Test, to become billion-dollar organizations or work at a scale large enough to shift markets or society, the need to manage through the split is paramount.

The School Bus Test is a simple metaphor. If a founder or leader of an organization were to be hit by a school bus, would the organization continue to thrive at the same pace without them at the helm? So many organizations are built on the force of a single personality that their departure can cause significant disruption. The question isn't if it happens—all founders eventually leave or die—it's just a question of when and how prepared the organization is for the inevitable departure. The challenge isn't to cling to the leader, it's to find effective ways to keep the founding vision alive forever.

To pass the School Bus Test, for an organization to continue to inspire and lead beyond the lifetime of its founder, the founder's WHY must be extracted and integrated into the culture of the company. What's more, a strong succession plan should aim to find a leader inspired by the founding cause and ready to lead it into the next generation. Future leaders and employees alike must be inspired by something bigger than the force of personality of the founder and must see beyond profit and shareholder value alone.

Microsoft experienced a split, but it is not so far down the line that it can't be put back on track. There was a time not too long ago that people at Microsoft showed up at work every day inspired to change the world. And they did. What Microsoft achieved, putting a PC on every desk, dramatically changed the way we live. But then their WHY went fuzzy. It started under Gates's leadership, but the split accelerated under his successor Steve Ballmer. No longer were Microsoft's people instructed to find new ways to help customers be more productive so that they could achieve their greatest potential. Instead, Microsoft was just a device and software company obsessed with quarterly results and "beating Apple."

If you visited Microsoft's headquarters in Redmond, Washington, during this time, you would have found that although their WHY had gone fuzzy, it was not lost. That sense of a cause, that desire to change the world again, was still there, kept alive by those who still believed in it. When Ballmer was replaced in 2014 by Satya Nadella, Microsoft had a remarkable opportunity to clarify their WHY and regain the spirit that inspired their

original success. And it looks like that is exactly what they are doing. A company that was hardly a shiny object in the tech world has once again become a place where the best and brightest want to work. Microsoft had enough money to survive a split until a new, inspiring leader came along. However, let this be a warning to other companies whose WHY has gone fuzzy, other companies that manage the WHAT and continue to ignore the WHY. Continue on that path and you end up looking like America Online, a company so far past the split that their WHY is indeed lost. There is barely a hint of the original WHY left anymore. In fact, it was diluted so many times that the company, a once-great pioneer, barely exists at all.

America Online used to inspire. Like Google today, it was the hot company to work for. People clamored to move to Virginia to work for this amazing company that was changing the rules of business. And it was true that, like all inspiring companies, AOL set in motion changes that profoundly altered how we do almost everything. They inspired a nation to get online. Their cause was clear and their decisions were governed by their WHY. Their goal was to get more people online, even if their decisions in pursuit of that goal wreaked havoc on their business in the short term. With their WHY in focus, AOL pulled ahead of their competition by deciding to change from hourly pricing for internet access to unlimited monthly pricing, a decision that created so much traffic it shut down their servers. Given the impact, the decision was neither practical nor rational, but it was the right choice to help bring their cause to life. That their systems shut down with the additional traffic only pushed them to work harder to cope with it, to ensure that America could, in fact, get and stay online.

In those days, having an AOL email address was a point of pride—a sign of being one of those who was a part of the internet revolution. These days, still having an AOL email address is a symbol of having been left behind. That the meaning of something as simple as *@aol.com* has changed so dramatically is additional proof that the brand is no longer associated with any sense of cause. It is not inspiring anymore, not to those who maintain the brand and not to those on the outside. We don't talk about AOL like we used to, and we certainly don't feel the same way about it either. We don't

compare it to Google or Facebook or any of the other industry-changing companies or brands of today. Like a massive freight train with brakes applied, it took years for that train to come to a complete stop. It's simple physics. AOL's size helped them putter along for a while, but without a more compelling purpose, cause or belief, the company eventually became just a collection of stuff, which was then chopped up and sold off for scrap (technology or customers), a sad reality considering how inspiring AOL used to be.

It is not a coincidence that successful entrepreneurs long for the early days when their companies were much smaller (and often still struggling). It is no accident that big companies talk about a "return to basics." What they are alluding to is a time before the split, a time when the WHY was so clear and so inspiring. And they are right to look back. They do indeed need to return to a time when WHAT they did was in perfect parallel to WHY they did it. If they continue down the path of focusing on their growth of WHAT at the expense of WHY—more volume and less clarity—their ability to thrive and inspire for years to come is dubious at best. Companies like Walmart, Microsoft, Starbucks, the Gap, Dell and so many others that used to be loved all went through a split. Some, like Microsoft, seem to be refocusing on their WHY; however, if the others cannot recapture their WHY and reinspire those inside and outside their organization, every one of them will end up looking more like AOL than the companies they once were.

What Gets Measured Gets Done

In the fall of her freshman year in college, Christina Harbridge set out to find a part-time job. Intrigued by the prospect of working in the antiques business, she answered a newspaper ad in Sacramento to do office work for a "collector." Harbridge soon found out, however, that the job was filing papers for a collections agent, and even then she wasn't entirely sure what that meant.

The collections office consisted of a huge room with dozens of phone stations, each staffed by a debt collector making call after call to a long list of businesses and individuals who owed money. The setup of the room meant there was no privacy—everyone could hear everyone else’s calls. Harbridge was taken aback by the harshness of the tone that all the collectors used with those from whom they aimed to collect unpaid debts. “They would hound them, and practically threaten them,” she said. “They would do anything it took to get information from them.”

Harbridge recognized that the owner of the company and the collectors were all kind, gracious people. They helped each other out, listened to each other’s problems and even joined together to sponsor a homeless family during the holidays. But when they were on the phone to collect a debt, these same people turned passive-aggressive, rude and often mean. It’s not because they were bad people, it’s because they were incentivized to be that way.

Their aggressive behavior made perfect sense. “What gets measured gets done,” as well-known sales coach Jack Daly says. And in the world of debt collecting, callers are often given bonuses based on how much money they collect. This has resulted in an entire industry that threatens, badgers, hounds and provokes. It didn’t take long until Harbridge found herself adopting the same attitude whenever she talked with debtors. “I began treating people on the phone the way everybody else in the office treated them,” she said.

Feeling like WHAT she was doing was completely out of balance with her WHY, Harbridge decided there had to be another way. “I got it in my head that I was going to start an agency that collected by being nice,” she said. People in the collections business thought Harbridge naive, if not crazy. And maybe she was.

In 1993, Harbridge moved to San Francisco and started her own collections firm, Bridgeport Financial, steeped in the belief that agents would have more success treating people with respect than badgering them. Harbridge built her company on her WHY—that everyone has a story and everyone deserves to be listened to. Her approach was to have her agents

try to establish rapport with the debtor on the other end of the phone in the course of a three-minute conversation. The goal was to learn everything they could about the person's circumstances: Did they have the means to pay the debt? Would they honor a payment plan? Was the reason for the failure to pay reflective of a short-term situation? "We would get people to tell us the truth," she said. "Sure, we had a legal department, but we tried to avoid using it." Harbridge knew, however, that no matter her intentions, if she measured the results the same way as others, the same awful behavior would result. So she came up with an entirely new way to incentivize her people. She found a way to measure WHY.

At Bridgeport Financial, bonuses were not given for the amount of money that was collected; they were given based on how many "thank-you" cards her agents sent out. This is harder than it sounds. Sending out a card thanking someone for the time they spent talking on the phone requires a few things. First, Harbridge had to hire people who believed what she believed. She had to hire good fits. If her employees didn't believe that everyone deserves to be listened to, it wouldn't work. Only good-fit hires would be capable of creating an environment on the telephone that would actually warrant sending a thank-you card, even though the purpose of the call was to ask for money. Harbridge measured WHY her company existed, not WHAT they did, and the result was a culture in which compassion was valued above all.

But what about the other results? What about her financial results, the ones most businesses pursue first? Bridgeport Financial collected 300 percent more than the industry average. What's more, most of the people and companies who were initially being pursued ended up doing repeat business with the original company that sent the collections agency after them in the first place. This is almost unprecedented in the collections industry.

Harbridge's business succeeded not just because she knew WHY she was doing what she was doing but because she found a way to measure the WHY. The company's growth was loud and her cause was clear. She started with WHY and the rest followed.

Most organizations today use very clear metrics to track the progress and growth of WHAT they do—usually it's money. Unfortunately, we have very poor measurements to ensure that a WHY stays clear. For more than two decades, Dwayne Honoré has run his own commercial construction company in Baton Rouge, Louisiana, a trade he learned from his father. A leader with a deep sense of purpose, he devised some years ago a brilliant system to ensure that his values are reinforced in his company's culture. He figured out how to measure something most people can only pay lip service to: work-life balance. Honoré believed that people should not spend all their time at work, but rather they should work to spend more of their time with their families.

Every employee at Honoré Construction was required to clock in each morning and clock out each evening. But there was a catch. They had to clock in between 8:00–8:30 a.m. and out by 5:00–5:30 p.m. If they stayed any later, they were taken out of a bonus pool. Because employees knew they had to leave by 5:30 p.m., wasted time dropped to a minimum. Productivity was high and turnover was low. Consider how much you get done the day before you go on vacation. Now imagine every day is like that. That's what Dwayne Honoré figured out how to do. Because he figured out how to measure a value he holds dear, that value was embraced. Most importantly, because Honoré's actions passed the Celery Test, others could clearly see what he believed.

Money is a perfectly legitimate measurement of goods sold or services rendered. But it is no calculation of value. Just because somebody makes a lot of money does not necessarily mean that they provide a lot of value. Likewise, just because somebody makes a little money does not necessarily mean they provide only a little value. Simply measuring the number of goods sold or the money brought in is no indication of value. Value is a feeling, not a calculation. It is perception. One could argue that a product with more bells and whistles that sells for less is the greater value. But by whose standard?

My uncle used to make tennis rackets. His rackets were made in the exact same factory as a name-brand racket. They were made of the same

material on the same machine. The only difference was that when my uncle's rackets came off the assembly line, they didn't put the well-known brand logo on the product. My uncle's rackets sold for less money, in the same big-box retailer, next to the name-brand rackets. Month after month, the name-brand rackets outsold the generic-brand ones. Why? Because people perceived greater value from the name-brand rackets and felt just fine paying a premium for that feeling. On a strictly rational scale, the generic rackets offered better value. But again, value is a perception, not a calculation, which is the reason companies make such a big deal about investing in their brand.

A strong brand, like all other intangible factors that contribute to the perception of value, starts with a clear sense of WHY. If those outside the megaphone share your WHY and if you are able to clearly communicate that belief in everything you say and do, trust emerges and value is perceived. When that happens, loyal buyers will always rationalize the premium they pay or the inconvenience they suffer to get that feeling. To them, the sacrifice of time or money is worth it. They will try to explain that their feeling of value comes from quality or features or some other easy-to-point-to element, but it doesn't. Those are external factors and the *feeling* they get comes completely from inside them. When people can point to a company and clearly articulate what the company believes and use words unrelated to price, quality, service and features, that is proof the company has successfully navigated the split (or hasn't faced one yet). When people describe the value they perceive with visceral, excited words like "love," that is a sure sign that a clear sense of WHY exists.

Good Successions Keep the WHY Alive

There were three words missing from Bill Gates's goodbye speech when he officially left Microsoft in June 2008. They are three words he probably didn't even realize needed to be there.

"I'll be back."

Though Gates abdicated his role as CEO of Microsoft to Steve Ballmer in 2000 to lend more time and energy to the Gates Foundation, he still maintained a role and a presence at the Microsoft headquarters in Redmond, Washington. His plan was always to completely leave the company in the care of others, but like a lot of founders, Gates forgot to do one thing that would allow his plan to work. This one oversight would have a devastating impact on Microsoft.

Bill Gates is special. Not just because of his brain or his management style. Though important, those two things alone are not the formula for building a \$60 billion corporation from scratch. Like all visionary leaders, Bill Gates is special because he embodies what he believes. He was the personification of Microsoft's WHY. And for that reason, he served as a physical beacon, a reminder of WHY everyone came to work.

When Gates founded Microsoft with Paul Allen in 1975, he did so to advance a higher cause: if you give people the right tools, and make them more productive, then everyone, no matter their lot in life, will have an opportunity to achieve their real potential. "A PC in every home and on every desk," he envisioned; remarkable from a company that didn't even make PCs. He saw the PC as the great equalizer. Microsoft's most successful software, Windows, allowed anyone to have access to powerful technology. Tools like Word, Excel and PowerPoint gave everyone the power to realize the promise of the new technology—to become more efficient and productive. Small businesses, for example, could look and act like big businesses. Microsoft's software helped Gates advance his cause to empower the "everyman."

Gates put a PC on every desk and in doing so he changed the world. As the physical embodiment of the company's WHY, the "everyman" who fulfilled an amazing potential, what would happen when he was gone?

Gates himself has always held that he receives a "disproportionate" amount of attention for his role at Microsoft, much of it, of course, due to his exceptional wealth. Like all inspired leaders, he recognizes that his role is to lead the cause, but it is others who will be physically responsible for bringing that cause to life. Martin Luther King Jr. could not have changed

America walking across a bridge in Selma, Alabama, with only five prominent civil rights leaders. It took the thousands of people marching behind them to spur change. Gates recognizes the need for people to produce real change, but he neglected to remember that any effective movement, social or business, needs a leader to march in the front, preaching the vision and reminding people WHY they showed up in the first place. Though King needed to cross the bridge from Selma on his march to Montgomery, it was what it meant to cross the bridge that mattered. Likewise, in business, though profit and shareholder value are valid and essential destinations, they do not inspire people to come to work.

Although Microsoft went through the split years ago, moving from a cause-driven company that intended to change the world with its products into a device and services company that was more concerned about the financial quarter than the world, at least having Gates hanging around helped Microsoft maintain a loose sense of WHY they existed. After Gates left, however, Microsoft did not have sufficient systems to measure and preach their WHY anymore. Worse, Steve Ballmer didn't seem to care much about WHY at all. This had an exponential negative impact on the culture and the brand as time passed. And it made the work of reclaiming their WHY that much more difficult for Satya Nadella, who took over leadership in 2014.

Such a departure as Gates's is not without precedent among companies founded by equally visionary leaders. Steve Jobs, the physical embodiment of the rabble-rousing revolutionary, a man who also personified his company's WHY, left Apple in 1985 after a legendary power struggle with Apple's president, John Sculley, and the Apple board of directors. The impact on Apple was profound.

Originally hired by Jobs in 1983, Sculley was a perfectly capable executive with a proven track record. He knew WHAT to do and HOW to do things. He was considered one of the most talented marketing executives around, having risen quickly through the ranks of PepsiCo. At Pepsi, he created the wildly successful "Pepsi Challenge" taste test advertising campaign, leading Pepsi to overtake Coca-Cola for the first time. But the

problem was, Sculley was a bad fit at Apple. He ran the company as a business and was not there to lead the cause.

It is worth considering how such a bad fit as Sculley even got the job at Apple in the first place. Simple—he was manipulated. Sculley did not approach Jobs and ask to be a part of Apple's cause. The way the real story unfolded made the fallout almost predictable. Jobs knew he needed help. He knew he needed a HOW guy to help him scale his vision. He approached Sculley, a man with a solid résumé, and said, "Do you want to sell sugar water your whole life or do you want to change the world?" Playing off Sculley's ego, aspirations and fears, Jobs completed a perfectly executed manipulation. And with it, Jobs was ousted from his own company a few years later.

Apple thrived on Steve Jobs's fumes for a few years as businesses started buying up Macintoshes and software developers continued to create new software. But it wouldn't be long until the company would begin to falter. Apple just wasn't what it used to be. It had gone through the split and ignored it. The WHY was getting fuzzier and fuzzier with each passing year. The inspiration was gone. Literally.

With an executive like Sculley running the business, there was no one to lead the cause. New products were "less revolutionary and more evolutionary," reported *Fortune* magazine at the time, "some people might even call them dull." Weary of Apple's "right brain" ways, Sculley reorganized the company repeatedly, each time trying to get back what Apple clearly had lost. He brought in new executive staff to help. But all they were doing was trying to manage HOW the company worked when it was the WHY that needed attention. Needless to say, morale was dismal. It wasn't until Jobs returned in 1997 that everyone inside and outside the company was reminded WHY Apple existed. With clarity back, the company quickly reestablished its power for innovation, for thinking different and, once again, for redefining industries. With Jobs at the helm again, the culture for challenging the status quo, for empowering the individual, returned. Every decision was filtered through the WHY, and it worked. Like most inspiring leaders, Jobs trusted his gut over outside

advice. He was regularly criticized for not making mass-market decisions, such as letting people clone the Mac. He couldn't; those actions would have violated what he believed. They failed the Celery Test.

When the person who personifies the WHY is around, they are the “thing” that people can point to for clarity and direction. However, when they depart, their absence often leaves a void. For a WHY to remain clear beyond the founder, it must be immortalized. It must be written down. There needs to be a document that recounts WHY the company was founded. The history must be passed down so that future CEOs have something to point to for clarity and direction. In fact, such a document would also be used to select the successor. Sadly, most boards choose a successor based on someone's business acumen alone, with little attention paid to whether they buy into the cause or not. Any CEO who isn't completely bought into the WHY will come aboard to run the company and will likely focus more attention on the growth of WHAT and less attention on the clarity and advancement of the WHY. Worse, they may try to implement their own vision without considering the cause that originally inspired most people to show up in the first place. And when that happens, the leader can accidentally work against the culture of the company, undoing it, instead of leading or building upon it. The result is diminished morale, mass exodus, poor performance and a slow and steady transition to a culture of mistrust and an every-man-for-himself attitude.

It happened at Dell. Michael Dell had a cause when he started his company. From the start, he focused on efficiency as a way of getting more computing power into more hands. Unfortunately, it was a cause that he too forgot or failed to pass on clearly before he stepped down as CEO of Dell Corp. in July 2004. Almost immediately, the company started to weaken—customer service, for one, plummeted—and Dell came back in less than three years.

Michael Dell recognized that without him present to keep energy focused on the reason Dell Corp. was founded, the company became more obsessed with WHAT at the expense of WHY. “The company was too focused on the short term, and the balance of priorities was way too leaning

toward things that deliver short-term results—that was the major root cause,” Dell told *The New York Times* in September 2007. The company had in fact become so dysfunctional that some managers were compelled to falsify earnings reports between 2003 and 2006 in order to meet sales targets, suggesting a corporate culture that put undue pressure on managers to meet bottom-line targets. In the meantime, the company had missed significant market shifts, most notably the potential of the consumer market, and lost its edge with component suppliers as well. And in 2006, Hewlett-Packard swept past Dell as the largest seller of PCs worldwide. Dell had gone through the split and failed to recognize the reason it wasn’t the company it used to be.

Starbucks is another good example. In 2000, Howard Schultz resigned as CEO of Starbucks; for the first time in its history, and despite 50 million customers per week, the company started to crack.

If you look back at the history of Starbucks, it thrived not because of its coffee but because of the experience it offered to customers. It was Schultz who brought that WHY to the company when he arrived in 1982, ten years after Gordon Bowker, Jerry Baldwin and Zev Siegl first started selling coffee beans in Seattle. In the early days it was about the coffee. Schultz, frustrated that the founders of Starbucks couldn’t see the larger vision, set out to put the company on a new course, the course that ultimately turned Starbucks into the company we know today. Schultz had been enamored of the espresso bars of Italy, and it was his vision of building a comfortable environment between work and home, the “third space,” as he called it, that allowed Starbucks to single-handedly create a coffee-shop culture in the United States that had until then only existed on college campuses.

That was the time when Starbucks stood for something. It reflected an underlying belief about the world. It was that idea that people bought, not the coffee. And it was inspiring. But Starbucks, like so many before it, went through the inevitable split. They too forgot about WHY the company was founded and started focusing on the results and the products. I remember a time in the early days of Starbucks when the barista would ask, “For here or to go?” If I said, “For here,” they would give me my coffee in a ceramic cup

and my Danish on a ceramic plate. Two perfect details that helped bring the company's belief to life. Then at some point, it just stopped. The default for coffee became the paper cup, and the default for a pastry became the paper bag. Something changed in how it felt to go to a Starbucks. Nothing says to a customer "We love you, now get out" like a paper cup. It was no longer about the third space. It had become about the coffee. The company's WHY was going fuzzy. Thankfully, Schultz was there, the physical embodiment of the WHY, to remind people of the higher cause. But in 2000 he left, and things got worse.

Starbucks had grown from having fewer than 1,000 stores to having 13,000 stores in only ten years. Eight years and two CEOs later, the company was dangerously overextended just as it was facing an onslaught of competition from McDonald's, Dunkin' Donuts and other unexpected places. In a now-famous memo that Schultz wrote to his successor, Jim Donald, just months before returning to take the helm, he implored Donald to "make the changes necessary to evoke the heritage, the tradition and the passion that we all have for the true Starbucks experience." The reason the company was floundering was not that it grew too fast but that Schultz had not properly infused his WHY into the organization so that the organization could manage the WHY without him. In early 2008, Schultz replaced Donald with a leader who could better steer the company back to a time before the split: himself. Schultz retired in 2018 only to return again in 2022 as interim CEO to, once again, help right the ship.

None of these executives are considered God's gift to management. Steve Jobs's paranoia, for example, was well-documented, and Bill Gates is socially awkward. Their companies are thousands of people deep, and a single leader alone can't pull all the strings or push all the buttons to make everything work properly. They rely on the brains and the management skills of teams of people to help them build their megaphones. They rely on people who share their cause. In this respect, they are no different from other executives. But what they all have in common, something that not all CEOs possess, is that they physically embody the cause around which they built their companies. Their physical presence reminds every executive and

every employee WHY they show up to work. Put simply: they inspire. So what happens when Dell leaves again? Is Apple the same company without Steve Jobs? Do they still set the tone for entire industries, forcing the market to follow their lead? And now that Schultz has stepped down from Starbucks (again), will they pick someone who will start with WHY this time? Can the companies these inspiring leaders once led stay true to their WHYS?

Steve Ballmer, a smart man by all accounts, did not embody Gates's vision of the world. He had the image of a powerful executive who saw numbers, competitors and markets. He was a man with a gift for managing the WHAT line. Like John Sculley at Apple, Jim Donald at Starbucks and Kevin Rollins at Dell—all the CEOs who replaced the visionary founders or executives—Ballmer might have been the perfect man to work alongside a visionary, but he wasn't the perfect man to replace one.

The entire culture of all these companies was built around one person's vision. The only succession plan that will work is to find a CEO who believes in and wants to continue to lead that movement. Ballmer knew how to rally the company, but he struggled to inspire it.

Successful succession is more than selecting someone with an appropriate skill set—it's about finding someone who is in lockstep with the original cause around which the company was founded. Great second or third CEOs pick up the original banner and lead the company into the next generation. That's why we call it succession, not replacement. There is a continuity of vision. A company may do well for a while under a HOW-type leader, especially if there is a strong WHY-based culture that already exists. But over time, with the focus on the wrong thing, cracks will start to show and the company will move from a "great company" to become a "once-great company." The ability to inspire employees and customers will be replaced with an obsession to satisfy a shareholder first. The ability to innovate and lead industries eventually gives way to trying to keep up with the latest trends.

One of the reasons Southwest Airlines has been so good at succession is because its cause is so ingrained in its culture. The vision is also written

down and posted on every corner of every hallway in their Dallas headquarters. They understand that each successive CEO must be someone who believes in and lives and breathes the WHY. Howard Putnam was the first president of Southwest after Kelleher. Though he was a career airline guy, it was not his résumé that made him so well suited to lead the company. He was a good fit. Putnam recounts the time he met with Kelleher to interview for the job. Putnam leaned back in his chair and noticed that Kelleher had slipped his shoes off under the desk. More significantly, Putnam noticed the hole in one of Kelleher's socks. It was at that point that Putnam felt he was the right man for the job. He loved that Kelleher was just like everyone else. He too had holes in his socks.

Although Putnam felt Southwest was right for him, how do we know if he was right for Southwest? I had a chance to spend half a day with Putnam to talk. At one point in the afternoon I suggested we take a break and grab a Starbucks. The mere suggestion incensed him. "I'm not going to Starbucks!" he cracked. "I'm not paying five dollars for a cup of coffee. And what the heck is a Frappuccino anyway?" It was at that point I realized how perfect a fit Putnam was for Southwest. He was an everyman. A Dunkin' guy. He was a perfect man to take the torch from Kelleher and charge forward. Southwest inspired him. In the case of Howard Putnam, Kelleher hired somebody who could represent the cause.

The same could be said for Colleen Barrett, who became president of Southwest in 2001, some thirty years after working as Kelleher's secretary in his San Antonio law firm. By 2001, the company had nearly 30,000 employees and a fleet of 344 planes. By the time she took over, Barrett says that running the company had become "a very collective effort." Kelleher stopped his day-to-day involvement in the company but left a corporate culture so strong that his presence in the hallways was no longer needed.

Leading a WHY-focused company requires the right kind of leader. Colleen Barrett has freely admitted she was not the smartest executive out there. She was quite self-deprecating in her personal assessment, in fact. But as the leader of the company, being the smartest was not her job. Her

job was to lead the cause. What made her the best choice to lead was that she personified the values and reminded everyone WHY they were there.

The good news is, it will be easy to know if a successor is carrying the right torch. Simply apply the Celery Test and see if what the company is saying and doing makes sense. Test whether WHAT they are doing effectively proves WHY they were founded. If we can't easily assess a company's WHY simply from looking at their products, services, marketing and public statements, then odds are high that they don't know what it is either. If they did, so would we.

When the WHY Goes, WHAT Is All You'll Have Left

On April 5, 1992, at approximately eight in the morning, Walmart lost its WHY. On that day, Sam Walton, Walmart's inspired leader, the man who embodied the cause around which he built the world's largest retailer, died in the University of Arkansas Medical Science Hospital in Little Rock of bone marrow cancer. Soon after, Walton's oldest son, S. Robson Walton, who succeeded his father as chairman of the company, gave a public statement in which he indicated there would be no changes in the corporate direction, control or policy. Sadly for Walmart employees, customers and shareholders, that is not what happened.

Sam Walton was the embodiment of the everyman. Though he was named the richest man in America by *Forbes* magazine in 1985, a title he held until he died, he never understood the importance others placed on money. Certainly, Walton was a competitor, and money was a good yardstick of success. But that's not what gave Walton or those who worked at Walmart the feeling of success. It was people Walton valued above all else. People.

"Look after people, and people will look after you" was his belief, and everything Walton and Walmart did proved it. In the early days, for example, Walton insisted on showing up for work on Saturdays out of fairness to his store employees who had to work weekends. He remembered birthdays and anniversaries and even that a cashier's mother had just

undergone gallbladder surgery. He chastised his executives for driving expensive cars and resisted using a corporate jet for many years. If the average American didn't have those things, then neither should those who are supposed to be their champions.

Walmart never went through a split under Walton's command, because Walton never forgot where he came from. "I still can't believe it was news that I get my hair cut at the barbershop. Where else would I get it cut?" he said. "Why do I drive a pickup truck? What am I supposed to haul my dogs around in, a Rolls-Royce?" Often seen wearing his signature tweed jacket and a trucker's cap, Walton was the embodiment of those he aimed to serve—the average American.

With a company so beloved by employees, customers and communities, Walton made only one major blunder. He didn't immortalize his cause into clear enough words so that others could continue to lead the cause after he died. It's not entirely his fault. The part of the brain that controls the WHY doesn't control language. Unfortunately, like many inspiring founder-leaders, the best Walton could articulate was HOW to bring his cause to life. He talked about making products cheap to make things more affordable to the average working American. He talked about building stores in rural communities so that the backbone of America's workforce didn't have to travel to the urban centers. It all made sense. All his decisions passed the Celery Test. It was the WHY upon which the company was built, however, that was left unsaid.

Walton was involved in the company until just before his death, when his ailing health prevented him from participating any longer. Like all organizations with founder-leaders whose physical presence helps keep the WHY alive, his continued involvement in the company had reminded everyone WHY they came to work every day. He inspired everyone around him. Walmart ran on the fumes of Sam Walton and his WHY for a short time after he died. But as the WHY started to get fuzzier and fuzzier, the company changed direction. From then on, there would be a new motivation at the company, and it was something that Walton himself cautioned against: chasing money.

Costco was cofounded in 1983 by WHY-type Jim Sinegal and HOW-type Jeffrey Brotman. Sinegal learned about discount retailing from Sol Price, the same person from whom Sam Walton admitted to “borrowing” much of what he knew about the business. And, like Walton, Sinegal believed in people first. “We’re going to be a company that’s on a first-name basis with everyone,” he said in an interview on ABC’s newsmagazine show *20/20*. Following the same formula as other inspiring leaders, Sinegal ensured that Costco looked after its employees, and his successors have continued to do so. Historically, they have paid their people about 40 percent more than those who work at Sam’s Club, the Walmart-owned discount warehouse. And Costco offers above-average benefits, including health coverage for more than 90 percent of their employees. As a result, their turnover is consistently five times lower than Sam’s Club’s.

Like all companies built around a cause, Costco relied on their megaphone to help them grow. They didn’t have a PR department, and they didn’t spend money on advertising. The Law of Diffusion is all that Costco needed to get the word out. “Imagine that you have 120,000 loyal ambassadors out there who are constantly saying good things about you,” quipped Sinegal, recognizing the value of trust and loyalty over advertising and PR.

For years, Wall Street analysts criticized Costco’s strategy of spending so much on their people instead of on cutting costs to boost margins and help share value. Wall Street would have preferred the company to focus on WHAT they did at the expense of WHY they did it. A Deutsche Bank analyst told *Fortune* magazine, “Costco continues to be a company that is better at serving the club member and employee than the shareholder.”

Fortunately, Sinegal trusted his gut more than he trusted Wall Street analysts. “Wall Street is in the business of making money between now and next Tuesday,” he said to a *20/20* reporter, Bill Ritter. “We’re in the business of building an organization, an institution that we hope will be here fifty years from now. And paying good wages and keeping people working with you is very good business.”

The amazing insight in all of this is not just how inspiring Sinegal was, but that almost everything he said and did echoed Sam Walton. Walmart got as big as it did doing the exact same thing—focusing on WHY and ensuring that WHAT they did proved it. Money is never a cause, it is always a result. Costco never lost sight of this. Walmart was not so lucky. On that fateful day in April 1992, Walmart was set on a slope that would take them further and further away from their WHY.

In the years after Sam Walton's death, Walmart was battered by scandals of mistreating employees and customers all in the name of shareholder value. Their WHY went so fuzzy that even when they did things well, few were willing to give them credit. The company, for example, was among the first major corporations to develop an environmental policy aimed at reducing waste and encouraging recycling. But Walmart's critics had grown so skeptical of the company's motives that the move was largely dismissed as posturing. "Walmart has been working to improve its image and lighten its environmental impact for several years now," an opinion blog published on the *New York Times* website on October 28, 2008, read. "Walmart is still selling consumerism even as it pledges to cut the social and environmental costs of making the stuff in its stores." Costco, on the other hand, was later than Walmart to announce an environmental policy yet received a disproportionate amount of positive attention. The difference is that people *believed* it when Costco did it. When people know WHY you do WHAT you do, they are willing to give you credit for everything that could serve as proof of WHY. When they are unclear about your WHY, WHAT you do has no context. Even though the things you do or decisions you make may be good, they won't make sense to others without a clear understanding of WHY.

And what of the results? Still running on the memory of Sam Walton, Walmart's culture stayed intact at first, and the values of Costco's and Walmart's stocks were about even for a few years after Walton died. But as Walmart continued to run its business in a post-Sam, post-split manner, and Costco maintained clarity of WHY, the difference in values changed dramatically. An investment in Walmart on the day Sam Walton died would

have earned a shareholder a just over 1,000 percent gain at the time this book was edited in 2023. An investment made in Costco on the same day would have netted a nearly 7,000 percent gain.

Costco's advantage was that the embodiment of their WHY, Jim Sinegal, was still there as CEO until 2011 and then as a member of the board of directors until he retired in 2018. The things he said and did helped reinforce to all those around him what the company stood for. Staying true to that WHY, Sinegal drew a \$430,000 salary, a relatively small amount given the size and success of the company. At Walmart's peak, Sam Walton never took a salary of more than \$350,000 per year, also consistent with what he believed. Remember what he said: "A lot of what goes on these days with high-flying companies and these overpaid CEOs, who're really just looting from the top and aren't watching out for anybody but themselves, really upsets me. It's one of the main things wrong with American business today." David Glass, who was the first man to take over as CEO after Sam Walton and had spent considerable time around him, stayed true to the same values.

Successive CEOs attempted to carry the torch that Walton had lit. But with each succession that torch, that clear sense of purpose, cause and belief, grew dimmer and dimmer. Michael T. Duke, the company's fourth CEO, took over in early 2009. Duke's goal was to restore the luster and the clarity of Walmart's WHY.

And to do it, he started by paying himself a base salary of \$1.1 million, and then awarding himself another \$3.1 million in "performance based" compensation, alongside enormous stock options, so that he earned a total compensation of \$28.4 million as president and CEO of Wal-Mart Stores, a 117 percent increase compared to his earnings the previous year.

Duke, like Steve Ballmer at Microsoft, basically abandoned the WHY and put excessive focus on the short-term financial results. It was under his leadership that the most damage to Walmart's culture and brand happened. Sadly, he seemed to embody Sam Walton's observations about the state of American business more than his ideals. He appeared to have been more interested in serving his own interests than advancing any cause.

Fortunately, in 2014, the company's fifth CEO, Doug McMillon, took over. He, like Nadella at Microsoft, has worked hard to go back to the philosophical roots of the company. He invokes Walton's words and has worked to bring Sam's WHY back to Walmart. Under McMillon's leadership, their culture has improved, the brand's luster is on the mend and the stock is three times more valuable than it was under Mike Duke. This is the great irony. Focusing on the WHY instead of obsessing about the numbers actually yields better results.

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PART 6

DISCOVER WHY

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13

THE ORIGINS OF A WHY

It started in Vietnam War-era Northern California, where antigovernment ideals and disdain for large centers of power ran rampant. Two young men saw government and corporations as the enemy, not because they were big, per se, but because they squashed the spirit of the individual. The men imagined a world in which an individual had a voice. They imagined a time when an individual could successfully stand up to incumbent power, old assumptions and status quo thoughts and successfully challenge them. Even redirect them. They hung out with hippie types who shared their beliefs, but they saw a different way to change the world that didn't require protesting or engaging in anything illegal.

Not only was the political revolutionary spirit running high in Northern California, but it was also the time and place of the computer revolution. And in this technology they saw the opportunity to start their own revolution. "The Apple gave an individual the power to do the same things as any company," Wozniak recounts. "For the first time ever, one person could take on a corporation simply because they had the ability to use the technology." Wozniak engineered the Apple I and later the Apple II to be simple enough for people to harness the power of the technology. Jobs

knew how to sell it. Thus was born Apple Computer. A company with a purpose—to give the individual the power to stand up to established power. To empower the dreamers and the idealists to challenge the status quo and succeed. But their cause, their WHY, started long before Apple was born.

In 1971, working out of Wozniak's dorm room at UC Berkeley, the two Steves made something they called the Blue box. Their little device hacked the phone system to give people the ability to avoid paying long-distance rates on their phone bills. Apple computers didn't exist yet, but Jobs and Woz were already challenging a Big Brother-type power, in this case, American Telephone and Telegraph (AT&T), which at the time was the monopoly phone company. Technically, what the Blue box did was illegal, and with no desire to challenge power by breaking the law, Jobs and Woz never actually used the device themselves. But they liked the idea of giving other individuals the ability to avoid having to play by the rules of monopolistic forces, a theme that would repeat many more times in Apple's future.

On April 1, 1976, they repeated their pattern again. They took on the giants of the computer industry, most notably Big Blue, IBM. Before the Apple, computing still meant using a punch card to give instructions to a huge mainframe squirreled away in a computer center somewhere. While IBM had targeted their technology to corporations, Apple used theirs as a tool for individuals to target corporations. With clarity of purpose and amazing discipline, Apple Computer's success seemed to follow the Law of Diffusion almost by design. In its first year in business, the company sold \$1 million worth of computers to those who believed what they believed. By year two, they had sold \$10 million worth. By their third year in business they were a \$100-million company, and they attained billion-dollar status within only six years.

Already a household name, in 1984 Apple launched the Macintosh with their famed "1984" commercial, which aired during the Super Bowl. Directed by Ridley Scott, director of cult classics like *Blade Runner*, the commercial also changed the course of the advertising industry. The first "Super Bowl commercial," it ushered in the annual tradition of big-budget,

cinematic Super Bowl advertising. With the Macintosh, Apple also changed the tradition of how things were done with computers. They challenged the standard of Microsoft's DOS, the standard operating system used by most personal computers at the time. The Macintosh was the first mass-market computer to use a graphical user interface and a mouse, allowing people to simply "point and click" rather than input code. Ironically, it was Microsoft that took Apple's concept to the masses with Windows, Gates's version of the graphical user interface. Apple's ability to ignite revolutions and Microsoft's ability to take ideas to the mass market perfectly illustrate the WHY of each company and, indeed, their respective founders. Jobs had always been about challenge and Gates has always been about getting to the most people.

Apple would continue to challenge with other products that followed the same pattern. The iPod and, more significantly, iTunes challenged the status quo business model of the music industry. While the industry, in order to protect their outdated business model (selling CDs in music stores), was busy suing thirteen-year-olds who were downloading music off the internet, Apple was focused on redefining the online music market altogether. The pattern repeated when Apple introduced the iPhone. The status quo dictated that cellular providers and not phone manufacturers decided the features and capabilities of phones. T-Mobile, Verizon Wireless and Sprint, for example, told Motorola, LG and Nokia what to do. Apple changed all that when they announced that, with the iPhone, they would be telling the provider what the phone would do. Ironically, the company that Apple challenged with their Blue box decades before exhibited classic early-adopter behavior this time around. AT&T was the only one to agree to this new model, and so another revolution was ignited. Apple's keen aptitude for innovation was born out of its WHY and, save for the years Jobs was missing (1985 and 1997), it remained unchanged for decades.

Apple's ability to do what they did had nothing to do with industry expertise. All computer and technology companies had open access to talent and resources and were just as qualified to produce all the products Apple made. It had to do with a purpose, cause or belief that started many years

earlier with a couple of idealists in Cupertino, California. “I want to put a ding in the universe,” Steve Jobs had said. And that’s exactly what Apple did in the industries in which it competed. Apple was born out of its founders’ WHY. There was no difference between one or the other. Apple was just one of the WHATs to Jobs’s WHY. The personalities of Jobs and Apple were exactly the same. In fact, the personalities of all those who were viscerally drawn to Apple were similar. There was no difference between an Apple customer and an Apple employee. One believed in Apple’s WHY and chose to work for the company, and the other believed in Apple’s WHY and chose to buy its products. It was just a behavioral difference. Loyal shareholders were no different either. WHAT they bought was different, but the reason they bought it and remained loyal was the same. The products of the company became symbols of their own identities. The diehards outside the company were said to be a part of the cult of Apple. The diehards inside the company were said to be a part of some sort of cult too. Their symbols were different, but their devotion to the cause was the same. That we used the word “cult” implies that we recognized that there was a deep faith, something irrational, that all those who believed shared. And we were right. Jobs, his company, Apple’s loyal employees and customers all existed to push the boundaries. They all fancied a good revolution.

Just because Apple’s WHY was so clear did not mean everyone was drawn to it. Some people liked them and some didn’t. Some people embraced them and some were repelled by them. But it cannot be denied: they stood for something. The Law of Diffusion says that only 2.5 percent of the population has an innovator mentality—they are a group of people willing to trust their intuition and take greater risks than others. Perhaps it is no coincidence that, for decades, Microsoft Windows held about 96 percent of the world’s computer operating systems, whereas Apple maintained about 2.5 percent. Even today, over three quarters of operating systems are still Windows based. Most people don’t want to challenge the status quo.

Though Apple employees believed the company’s success came from its products, the fact is that a lot of companies made quality products. Apple’s products were indeed best for those who related to Apple’s WHY. It was

Apple's belief that came through in all they thought, said and did that made them who they were. They were so effective at it, they were able to clearly identify their own products simply by preceding the product name with the letter "i." But they didn't just own the letter, they owned the *word* "i." They were a company that championed the creative spirit of the individual, and their products, services and marketing simply proved it.

The WHY Comes from Looking Back

Conservative estimates put the numbers at three to one. But some historians have said the English army was outnumbered by six to one. Regardless of which estimates you choose to believe, the prospects for Henry V, king of England, did not look good. It was late October in the year 1415 and the English army stood ready to do battle against a much bigger French force at Azincourt in northern France. But the numbers were just one of Henry's problems.

The English army had marched over 250 miles, traveling for nearly three weeks, and had lost almost 40 percent of their original numbers to sickness. The French, in stark contrast, were better rested and in much better spirits. The better-trained and more experienced French were also excited at the prospect of exacting their revenge on the English to make up for the humiliation of previous defeats. And to top it all off, the French were vastly better equipped. Though the English were lightly armored, whatever protection they had was no match for the superior weight of the French armor. But anyone who knows their medieval European history already knows the outcome of the Battle of Agincourt. Despite the overwhelming odds, the English won. But what does the Battle of Agincourt have to do with finding your WHY?

The English had one vital piece of technology that was able to confound the French and start a chain of events that would ultimately result in a French defeat. The English had the longbow, a weapon with astounding range for its time. Standing far from the battlefield, far enough away that heavy armor was not needed, the English could look down into the valley

and shower the French with arrows. But technology and range aren't what give an arrow its power. By itself, an arrow is a flimsy stick of wood with a sharpened tip and some feathers. By itself, an arrow cannot stand up to a sword or penetrate armor. What gives an arrow the ability to take on experience, training, numbers and armor is momentum. That flimsy stick of wood becomes a force only when hurtling through the air, moving fast in one direction.

Before it can gain any power or achieve any impact, an arrow must be pulled backward, 180 degrees away from the target. And that's also where a WHY derives its power. The WHY does not come from looking ahead at what you want to achieve and figuring out an appropriate strategy to get there. It is not born out of any market research. It does not come from extensive interviews with customers or even employees. It comes from looking in the complete opposite direction from where you are now. Finding WHY is a process of discovery, not invention.

Just as Apple's WHY developed during the rebellious 1960s and '70s, the WHY for every other individual or organization comes from the past. It is born out of the upbringing and life experience of an individual or small group. Every single person has a WHY and every single organization has one too. An organization, don't forget, is one of the WHATs, one of the tangible things a founder or group of founders has done in their lives to prove their WHY.

Every company, organization or group with the ability to inspire starts with a person or small group of people who were inspired to do something bigger than themselves. Gaining clarity of WHY, ironically, is not the hard part. The hard part is the discipline to trust one's gut, to stay true to one's purpose, cause or beliefs. Remaining completely in balance and authentic is the most difficult part. The few who are able to build a megaphone, and not just a company, around their cause are the ones who earn the ability to inspire. In doing so, they harness a power to move people that few can even imagine. Learning the WHY of a company or an organization, or understanding the WHY of any social movement, always starts with one thing: you.

I Am a Failure

There are a few months indelibly printed in my memory—September to December 2005. This was when I hit rock bottom.

I started my business in February 2002 and it was incredibly exciting. I was “full of piss and vinegar,” as my grandfather would say. From an early age, my goal was to start my own business. It was the American Dream, and I was living it. My whole feeling of self-worth came from the fact that I did it, I took the plunge. If anyone ever asked me what I did, I would pose like George Reeves from the old *Superman* TV series. I would put my hands on my hips, stick out my chest, stand at an angle and with my head raised high, I’d declare, “I am an entrepreneur.” What I did was how I defined myself, and it felt amazing. I wasn’t like Superman, I was Superman.

As anyone who starts a business knows, it is a fantastic race. There is a statistic that hangs over your head—over 90 percent of all new businesses fail in the first three years. For anyone with even a bit of a competitive spirit in them, especially for someone who defines themselves as an entrepreneur (hands on hips, chest out, standing at a slight angle), these overwhelming odds of failure are not intimidating, they only add fuel to the fire. The foolishness of thinking that you’re a part of the small minority of those who actually will make it past three years and defy the odds is part of what makes entrepreneurs who they are, driven by passion and completely irrational.

After year one, we celebrated. We hadn’t gone out of business. We were beating the odds. We were living the dream. Two years passed. Then three years. I’m still not sure how we did it—we never properly implemented any good systems and processes. But to heck with it, we’d beaten the odds. I had achieved my goal and that’s all that mattered. I was now a proud member of a very small group of people who could say, with statistical proof, that I was an American small business owner.

The fourth year would prove to be very different. The novelty of being an entrepreneur had worn off. I no longer stood like George Reeves. When asked what I did, I would now tell people that I did “positioning and

strategy consulting.” It was much less exciting and it certainly didn’t feel like a big race anymore. It was no longer a passionate pursuit, it was just a business. And the reality was that the business did not look that rosy.

We were never a runaway success. We made a living, but not much more. We had some Fortune 500 clients and we did good work. I was crystal clear on what we did. And I could tell you how we were different—how we did it. Like everyone else in the game, I would try to convince prospective clients how we did it, how we were better, how our way was unique...but it was hard work. The truth is, we beat the odds because of my energy, not because of my business acumen, and I didn’t have the energy to sustain that strategy for the rest of my life. I was aware enough to know that we needed better systems and processes if the business was to sustain itself.

I was incredibly demoralized. Intellectually, I could tell you what I needed to do, I just couldn’t do it. By September 2005 I was the closest I’ve ever been to being—if I wasn’t already—completely depressed. My whole life I’d been a pretty happy-go-lucky guy, so just being unhappy was bad enough. But this was worse.

The depression made me paranoid. I was convinced I was going to go out of business. I was convinced I was going to be evicted from my apartment. I was certain anyone who worked for me didn’t like me and that my clients knew I was a fraud. I thought everyone I met was smarter than me. I thought everyone I met was better than me. Any energy I had left to sustain the business now went into propping myself up and pretending that I was doing well.

I knew I needed to learn to implement more structure before everything crashed. I attended conferences, read books and asked successful friends for advice on how to do it. It was all good advice, but I couldn’t hear it. No matter what I was told, all I could hear was that I was doing everything wrong. Trying to fix the problem didn’t make me feel better, it made me feel worse. I felt more helpless. I started having desperate thoughts, thoughts that for an entrepreneur are almost worse than thoughts of dying: I thought about getting a job. Anything. Anything that would stop the feeling of falling I had almost every day.

I remember visiting the family of my future brother-in-law for Thanksgiving that year. I sat on the couch in the living room of his mother's house; people were talking to me, but I never heard a word. If I was asked questions, I replied only in platitudes. I didn't really desire or even have the ability to make conversation anymore. It was then that I realized the truth. Statistics notwithstanding, I was a failure.

As an anthropology major in college and a strategy guy in the marketing and advertising world, I had always been curious about why people do the things they do. Earlier in my career I started becoming curious about these same themes in the real world—in my case, corporate marketing. There is an old saying in the industry that 50 percent of all marketing works; the problem is, which 50 percent? I was always astounded that so many companies would operate with such a level of uncertainty. Why would anyone want to leave the success of something that costs so much, with so much at stake, to the flip of a coin? I was convinced that if some marketing worked, it was possible to figure out why.

All companies of equal resources have equal access to the same agencies, the same talent and the same media, so why is it that some marketing works and some doesn't? Working in an ad agency I'd seen it all the time. With conditions relatively equal, the same team could develop a campaign that would be hugely successful one year, then develop something the next year that would do nothing. Instead of focusing on the stuff that didn't work, I chose to focus on the stuff that worked to find out what it all had in common. The good news for me was there was not much to study.

How had Apple been able to so consistently out-market their competition over and over and over? What did Harley-Davidson do so well that they were able to create a following of people so loyal that they would tattoo a corporate logo on their bodies? Why did people love Southwest Airlines so much—they aren't really *that* special...are they? In an attempt to codify why these worked, I developed a simple concept I called The Golden Circle. But my little theory sat buried in my computer files. It was a pet project with no real application, just something I found interesting.

It would be months later that I met a woman at an event who took an interest in my perspectives in marketing. Victoria Duffy Hopper grew up in an academic family and had a lifelong fascination with human behavior. She was the first to tell me about the limbic brain and the neocortex. My curiosity piqued, I started reading about the biology of the brain, and it was then that I made the real discovery.

The biology of human behavior and The Golden Circle overlapped perfectly. While I was trying to understand why some marketing worked and some didn't, I had tripped over something vastly more profound. I discovered why people do what they do. It was then that I realized what was the real cause of my stress. The problem wasn't that I didn't know what to do or how to do it, the problem was I had forgotten WHY. I had gone through what I now know is a split, and I needed to rediscover my WHY.

To Inspire People to Do the Things That Inspire Them

Henry Ford is often quoted as saying, "If you think you can or you think you can't, you're right." He was a brilliant WHY-type who changed the way industry works. A man who embodied all the characteristics of a great leader, who understood the importance of perspective. I wasn't any dumber than I was when I started my business, probably the opposite, in fact. What I had lost was perspective. I knew what I was doing, but I had forgotten WHY. There is a difference between running with all your heart with your eyes closed and running with all your heart with your eyes wide open. For three years, my heart had pounded but my eyes had been closed. I had passion and energy, but I lacked focus and direction. I needed to remember what inspired my passion.

I became obsessed with the concept of WHY. I was consumed by the idea of it. It was all I talked about. When I looked back to my upbringing, I discovered a remarkable theme. Whether among friends, at school or professionally, I was always the eternal optimist. I was the one who inspired everyone to believe they could do whatever they wanted. This pattern is my WHY. To inspire. It didn't matter if I was doing it in marketing or

consulting. It didn't matter what types of companies I worked with or in which industries I worked. To inspire people to do the things that inspired them so that, together, we can change the world. That's the path to which my life and my work is now completely devoted. Henry Ford would have been proud of me. After months of thinking I couldn't, now I knew I could.

I made myself a guinea pig for the concept. If the reason I hit rock bottom was because my Golden Circle was out of balance, then I needed to get it back in balance. If it was important to start with WHY, then I would start with WHY in everything I did. There is not a single concept in this book that I didn't practice. I stood at the mouth of my megaphone and I talked about the WHY to anyone who would listen. Those early adopters who heard my cause saw me as a tool in their arsenal to achieve their own WHY. And they introduced me to others whom they believed I could inspire. And so the Law of Diffusion started to do its job.

Though The Golden Circle and the concept of WHY was working for me personally, I had a decision to make: Do I try to patent it, protect it and use it to make lots of money or do I give it away? This decision was to be my first Celery Test. My WHY was to inspire people to do the things that inspire them, and if I was to be authentic to that cause there was only one choice—to give it away, to talk about it, to share it. There would never be any secret sauce or special formula for which only I knew the ingredients. The vision was to have every person and every organization know their WHY and use it to benefit all they do. So that's what I set out to do—to advance a vision of the world in which the vast majority of people wake up inspired, feel safe wherever they are and end the day fulfilled by the work that they do.

The experiment worked. Prior to starting with WHY, I had been invited to give one public speech in my life. Now, I was being invited to share my vision with all sorts of organizations, all over the world. I was even given the chance to share it on television. Prior to The Golden Circle, I didn't know anyone in the military and had never done any government work. Now I was speaking to generals at the Pentagon and working with members of both parties in Congress.

I was not better connected than anyone else. I didn't have a better work ethic. I didn't have an Ivy League education and my grades in college were average. I was the same person. I knew the same things I did before. I was able to turn things around with all the things I already knew and did. The only difference was that I learned to start with WHY.

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14

THE NEW COMPETITION

If You Follow Your WHY, Then Others Will Follow You

“BANG!” The gun fires and the race is on. The runners take off across the field. It rained the day before and the ground is still damp. The temperature is cool. It is a perfect day for running. The line of runners quickly forms a pack. Like a school of fish, they come together as one. They move as one. The pack sets a pace to maximize their energy for the whole race. As with any race, in a short period of time the stronger ones start to pull ahead and the weaker ones start to fall behind. But not Ben Comen. Ben is left behind as soon as the starter gun sounds. Ben’s not the fastest runner on the team. In fact, he’s the slowest. He has never won a single race the entire time he’s been on the Hanna High School cross-country track team. Ben, you see, has cerebral palsy.

Cerebral palsy, a condition often caused by complications at birth, affects someone’s movement and balance. The physical problems endure for a lifetime. Misshapen spines create a twisted posture. Muscles are often withered and motor reflexes slow. Tightness in the muscles and joints also affects balance. Those with cerebral palsy often have an unsteady gait, their

knees knock and their feet drag. To an outsider, they may seem clumsy. Or even broken.

The pack pulls farther and farther ahead while Ben trails farther and farther behind. He slips on the wet grass and falls forward into the soft earth. He slowly picks himself up and keeps going. Down he goes again. This time it hurts. He gets back up and keeps running. Ben won't quit. The pack is now out of sight and Ben is running alone. It is quiet. He can hear his own labored breathing. He feels lonely. He trips over his own feet again, and down he goes yet another time. No matter his mental strength, there is no hiding the pain and frustration on his face. He grimaces as he uses all his energy to pull himself back to his feet to continue running. For Ben, this is part of the routine. Everyone else finishes the race in about twenty-five minutes. It usually takes Ben more than forty-five minutes.

When Ben eventually crosses the finish line he is in pain and he is exhausted. It took every ounce of strength he had to make it. His body is bruised and bloodied. He is covered in mud. Ben inspires us, indeed. But this is not a story of "When the going gets tough, the tough get going." This is not a story of "When you fall down, pick yourself up." Those are great lessons to learn, without a doubt, but we don't need Ben Comen to teach us those lessons. There are dozens of others we can look to for that, like an Olympic athlete, for example, who suffered an injury just months before the games only to come back to win a medal. Ben's lesson is deeper.

Something amazing happens after about twenty-five minutes. When everybody else is done with their race, they come back to run with Ben. Ben is the only runner who, when he falls, someone else will help pick him up. Ben is the only runner who, when he finishes, has a hundred people running behind him.

What Ben teaches us is special. When you compete against everyone else, no one wants to help you. But when you compete against yourself, everyone wants to help you. Olympic athletes don't help each other. They're competitors. Ben starts every race with a very clear sense of WHY he's running. He's not there to beat anyone but himself. Ben never loses sight of that. His sense of WHY he's running gives him the strength to keep

going. To keep pushing. To keep getting up. To keep going. And to do it again and again and again. And every day he runs, the only time Ben sets out to beat is his own.

Now think about how we do business. We're always competing against someone else. We're always trying to be better than someone else. Better quality. More features. Better service. We're always comparing ourselves to others. And no one wants to help us. What if we showed up to work every day simply to be better than ourselves? What if the goal was to do better work this week than we did the week before? To make this month better than last month? For no other reason than because we want to leave the organization in a better state than we found it?

All organizations start with WHY, but only the great ones keep their WHY clear year after year. Those who forget WHY they were founded show up to the race every day to outdo someone else instead of to outdo themselves. The pursuit, for those who lose sight of WHY they are running the race, is to win the medal or to beat someone else.

What if the next time someone asks, "Who's your competition?" we replied, "No idea." What if the next time someone pushes, "Well, what makes you better than your competition?" we replied, "We're not better than them in all cases." And what if the next time someone asks, "Well, why should I do business with you then?" we answer with confidence, "Because the work we're doing now is better than the work we were doing six months ago. And the work we'll be doing six months from now will be better than the work we're doing today. Because we wake up every day with a sense of WHY we come to work. Are we better than our competition? If you believe what we believe and you believe that the things we do can help you, then we're better. If you don't believe what we believe and you don't believe the things we can do will help you, then we're not better. Our goal is to find customers who believe what we believe and work together so that we can all succeed. We're looking for people to stand shoulder-to-shoulder with us in pursuit of the same goal. We're not interested in sitting across a table from each other in pursuit of a sweeter deal. And here are the things

we're doing to advance our cause..." And then the details of HOW and WHAT we do follow. But this time, we started with WHY.

Imagine if every organization started with WHY. Decisions would be simpler. Loyalties would be greater. Trust would be a common currency. If our leaders were diligent about starting with WHY, optimism would reign and innovation would thrive. As this book illustrates, there is precedence for this standard. No matter the size of the organization, no matter the industry, no matter the product or the service, if we all take some responsibility to start with WHY and inspire others to do the same, then, together, we can change the world.

And that's pretty inspiring.

. . .

If this book inspired you, please pass it on to someone you want to inspire.

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There is nothing that brings me more joy and happiness in this world than waking up every day with a clear sense of WHY—to inspire people to do the things that inspire them. It is a simple thing to do when surrounded by so many amazing people to inspire me.

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